



2012

NIC BANK LIMITED
Annual Report and
Financial Statements



POSITIONED
FOR **GROWTH**

SINCE
1959

BUSINESS HIGHLIGHTS

25%

Increase in
Profit Before
Tax to KES 4.5b

28%

Increase in Net
Interest Income
to KES 5.5b

26%

Increase in
Customer
Deposits to
KES 83b

26%

Increase in Loans
and Advances
to Customers
to KES 72b

37%

Increase in
Total Assets
to KES 108b

47%

Increase in
Equity to
KES 16b

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OUR MISSION

To be the leading financial services provider to our target market; we are committed to the highest standards of service and to exceeding our stakeholders' expectations.

OUR VISION

To establish long term, profitable customer relationships through the provision of a complete range of banking and financial services.

OUR VALUES



WHO WE ARE



JONATHAN SOMEN
Group Managing Director
Access Kenya

We were a small ISP and we were growing fast. We wanted to expand our operations and we approached many banks. NIC Bank understood that we had good control of our business, good cash flows and a feasible growth plan. They understood our vision and the importance of ICT to the Kenyan economy.

OUR HISTORY

NIC Bank (formerly National Industrial Credit Bank Limited) was incorporated in Kenya on 29th September 1959 as a joint venture between Mercantile Credit Limited and Standard Bank. NIC Bank was among the first non-bank financial institutions to provide hire purchase and installment credit finance facilities in Kenya.

NIC Bank went public by listing on the Nairobi Securities Exchange (NSE) in 1971. Barclays Bank (K) Limited (BBK) acquired 51% of NIC Bank's total shares through the acquisition of Mercantile Credit Limited in the 1970s and thereafter, Standard Bank's shareholding in the 1980s. Between 1993 and 1996, BBK divested all of its shares in NIC Bank by selling them to the public through the NSE. In order to effectively diversify into mainstream

commercial banking, NIC Bank merged with African Mercantile Bank Limited (AMBank) in November 1997, through a share swap.

In 2003, NIC launched "MOVE", a retail banking proposition that changed the banking scene in Kenya by offering the first "flat fee" current account in the market. In 2007, NIC Bank repositioned itself as a 'One Stop Shop' financial services supermarket. Diversification, both by geography and business lines, remains one of the pillars of NIC Bank Group's strategy, with the overall objective of achieving significant and sustainable earnings in each business line.

OUR PRODUCTS

The product range includes the following:

PERSONAL BANKING

- **Move Current Account**

This is an affordable account that gives customers access to secure alternate banking channels such as NIC online and NIC mobile. This account is appropriate for both salaried and self employed individuals and one has a choice of either paying a flat fee per month or paying-as-you-go.

- **Gold Account**

This is a superior banking solution that endeavors to make banking more convenient by offering a dedicated Relationship Officer, exclusive services at Gold Corners found at selected branches, and a Gold Visa Debit Card amongst other enhanced benefits for the discerning customer.

- **Platinum Account**

This is a premier account that offers exclusive VIP banking services, with a host of benefits including a dedicated Relationship Manager, a personalized Welcome Pack which includes a platinum card, preferential rates on mortgages and other bank loans, and negotiated rates for cash deposits and foreign exchange transactions.

- **Credit Cards**

NIC Bank offers two types of Visa branded Credit Cards; the Gold Credit Card and the Freedom Credit Card. These Cards enable you to carry out transactions in over 1 million outlets worldwide. The NIC Credit Cards have an added security feature in the form of SMS notifications whenever you transact. The NIC Gold Credit Card further gives you access to the VIP lounge at the Jomo Kenyatta International Airport and the Mombasa International Airport.

- **NIC Saver Account**

For customers who are keen on saving money, the NIC Saver offers a wide variety of savings accounts to suit individual tastes.



RAJINDER BARYAN
Managing Director,
Multiple Hauliers

Our 1st vehicle was purchased through NIC in 1973. Today, our fleet size has grown to over 700 trucks. We are one of the largest companies in the East African Region today. NIC Bank Group understands our business inside out and has always provided us with the support we needed to execute our growth plans.

WHO WE ARE (Continued)

- **NIC High Yield Deposit Account**

The account offers tiered interest rates payable half yearly. The account is ideal for saving cash to secure loans against deposits or even accumulating funds that one may require in future.

- **Young Movers Savings Account**

Parents and guardians can open this account, to encourage a savings culture in their children. It's features include; a low minimum opening balance, no monthly fees and competitive interest rates.

- **The Student Account**

This is tailored for the students. It has no transaction fees with a very minimum opening balance.



JITESH UPADHYAY

Managing Director Primrose Management Limited

Prestige Plaza is a family dream come true. We didn't know which bank would help us realize this dream. We approached NIC Bank Limited and there I met the team who were business-savvy and who anticipated my needs. Enthusiastically and with a positive attitude, the team said, "Yes, it can work". We have now grown to become one of the most successful shopping malls in the country, housing Nakumatt Prestige, the Prestige Palm Room conference and events facility, 2 large cinema screens, specialty shops, commercial banks & ATMs, a medical facility and a multi-cuisine food court among other recreational facilities.

BUSINESS BANKING

- **NIC Entrepreneur Account**

This is a contemporary business account that provides customized business solutions for clients' business needs. The NIC Entrepreneur Account is designed to give clients a total solution for all their business needs ranging from transactional, cash flow management, insurance, asset finance to investments.

This account also gives you access to the NIC Entrepreneur Club. The Club regularly hosts workshops that bring together business people across industries. At the workshops, clients network and receive valuable training on emerging issues and needs.

CORPORATE BANKING

- **Corporate Overdrafts**

This product caters for the financing of customer's working capital cycle taking into account the lead times in procurement of stocks, the manufacturing process and any terms of supplier credit including credit extended to customer.

- **Term Loans**

Companies often require financing for projects such as business expansion, purchase of stock, purchase of property, construction of business premises, amongst others. Term loans provide the much needed funding by matching the loan repayments to the customers cash flows.

- **Trade Finance**

NIC Group provides advice and services that importers and exporters need to achieve their international business objectives. The Bank offers an extensive range of trade related products some of which include:

- Documentary Credits
- Bills for Collection
- Open Accounts
- Advance Payments
- Guarantees and Indemnities
- Letters of Credit

INSTITUTIONAL BANKING

NIC Bank Group's Institutional Banking offering is designed for non-borrowing corporate organizations and not-for-profit institutions including local and international Non-Governmental organizations, donor-funded Government parastatals, donor-funded Government ministries, diplomatic missions and their affiliate donor/aid entities, faith-based organizations and local and multinational corporate organizations.

WHO WE ARE (Continued)

ASSET FINANCE

NIC Bank Group's Asset Finance offering has been around since 1959 and offers quick turnaround times and competitive interest rates. NIC Bank Group offers financing for a wide range of movable assets including:

- Motor Vehicles
- Plant & Machinery
- Construction Equipment
- Agricultural Equipment
- IT Equipment
- Other Specialized Equipment (medical, telecoms)

Leases

NIC Bank Group through partnerships with other market players who carry the asset risk, offer leases where customers take up assets on lease over specified periods of time. The customers get to enjoy use of the assets and derive benefits over that period.

Insurance Premium Financing (IPF)

We offer Insurance Premium Financing (IPF) which enables clients to pay for their insurance premiums in affordable installments over a period of time. IPF is also available through NIC Insurance Agents to customers of the Group.

CUSTODIAL SERVICES

Custodial services include storage and safekeeping of client securities (assets) including cash, title documents and deeds for pension schemes. We also collect dividends, interest and any other entitlements due to a scheme (pension scheme management). The activities of this business unit are regulated by the Retirement Benefits Authority (RBA) and the Capital Markets Authority (CMA).

TREASURY SERVICES

Cash Transactions or Bureau De Change

Bureau De Change transactions are over the counter transactions for purchase and sale of foreign currency. We accept over-the-counter cash for all the major foreign currencies.

Other products on offer include;

- Spot Foreign Exchange Operations
- Inward Foreign Remittances
- Outward Foreign Remittances
- Foreign Demand Drafts
- FX Accounts
- FX Deposits
- Forward Exchange Contracts

INVESTMENT BANKING THROUGH NIC CAPITAL

NIC Capital is a subsidiary of NIC Bank and has its origins in 2006 when the directors resolved to establish an investment bank that would support the ever growing advisory and financing needs of Kenyan corporates. NIC Capital, through its debt and equity platforms, advises companies on optimal capital raising alternatives. The Investment Bank is qualified in mergers & acquisitions, de-mergers, sale of stake, capital structure advisory as well as in pursuing capital raising initiatives – both in the private and public realms.



MS. MARCELLINA MWAURE

Managing Director, Tripple Tours & Travel Ltd

Tripple Tours & Travel was established in Kenya in 2003 and started off with only 4 employees. We currently have over 30 staff and have since grown to become an innovative independent Travel Management Company with offices in East Africa and South Sudan. A proven track record coupled with a suitable financial partner has made us the obvious travel company of choice for many multinationals, large corporate firms and individuals. We have banked with NIC since 2004 and the Bank has played a pivotal role in our expansion. If you're a small or large company looking for a financial partner with years of experience, we must point out that NIC Bank has the expertise and customised financial products to meet your business needs. Through NIC Bank's support, we have become part of RADIUS, the World's largest travel company and we can now compete in the big league.

WHO WE ARE (Continued)

STOCK BROKERAGE THROUGH NIC SECURITIES

NIC Securities Limited is a stock brokerage firm licensed by the Capital Markets Authority and a member of the Nairobi Securities Exchange. NIC Securities provides investors with a secure platform to participate in a diversified array of investments in the equity and bond markets, backed by solid advice from the research and advisory teams, to enable clients meet their return objectives.

BANCASSURANCE THROUGH NIC INSURANCE AGENTS

We offer insurance for all through our insurance brokerage function available at all the Group's branches. Products on offer include Health Insurance i.e. inpatient and outpatient medical covers; Business Risks Insurance which covers property damage, Group Personal Accident covers; Travel Insurance which covers medical expenses, loss of luggage, and emergency evacuation for travellers; Home Insurance for household property including personal effects and Motor Vehicle Insurance for both private and commercial vehicles.

VALUE ADDED SERVICES

- **Online Banking**

Customers have access to the NIC Online Banking service from anywhere in the world through the internet. The following are some features that clients enjoy once they have signed up on NIC Online:

- Checking account statements and balances
- Making Funds Transfers – Electronic Funds Transfers (EFTs) both within NIC Bank Group and to other banks in Kenya or abroad
- Bankers Cheques ordering
- Salary or supplier payment processing
- Analysis for loans and investment options
- M-Pesa functionality – Customers can make transfers to and from their M-Pesa accounts directly to and from their Bank accounts.

- **Mobile Banking**

NIC Mobile Banking gives customers access to their bank account at their convenience. By dialing *488# , customers can perform numerous transactions including airtime top-ups, bill payments, cash transfers to and from their M-Pesa accounts, Telegraphic and SWIFT transfers, all from their mobile phones.

NIC Bank has seamlessly integrated Safaricom's mobile money transfer service, M-Pesa, with its various service delivery channels making it more convenient for customers to access their funds through NIC Bank Group's ATMs, Online Banking and Mobile Banking.

- **Borderless Banking**

With the new core banking system, NIC Bank Group customers now enjoy seamless banking services across the regions.

- **Agency Banking**

NIC Bank through Post Bank Limited offers Agency Banking services .This arrangement allows NIC customers to deposit or withdraw cash from any of the 99 Post Bank branches countrywide. Corporate clients also benefit immensely because they can easily collect cash from anywhere in the country and deposit it into their NIC Bank Accounts in real time.

FIVE YEAR FINANCIAL REVIEW

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	2008 Shs`000	2009 Shs`000	2010 Shs`000	2011 Shs`000	2012 Shs`000
Assets					
Government securities	3,974,918	4,332,080	5,074,031	7,500,288	17,478,232
Loans and advances to customers	29,954,948	32,511,082	40,754,979	56,624,621	71,540,092
Property and equipment	673,997	798,255	750,530	967,988	1,009,891
Others	8,015,256	9,916,824	12,434,382	13,891,108	18,320,378
Total Assets	42,619,119	47,558,241	59,013,922	78,984,005	108,348,593
Liabilities					
Customer Deposits	35,238,381	39,514,275	48,492,224	66,293,053	83,379,576
Lines of credit	663,275	465,202	303,284	190,280	3,655,414
Other liabilities	1,151,713	786,510	1,865,185	1,977,719	5,831,981
Total Liabilities	37,053,369	40,765,987	50,660,693	68,461,052	92,866,971
Total Equity	5,565,750	6,792,254	8,353,229	10,522,953	15,481,622
Total Liabilities and Equity	42,619,119	47,558,241	59,013,922	78,984,005	108,348,593

CONSOLIDATED INCOME STATEMENT

Interest income	3,747,301	4,425,440	4,757,544	6,831,580	11,467,574
Interest expense	1,732,079	2,011,376	1,543,893	2,552,092	5,983,706
Net interest income	2,015,222	2,414,064	3,213,651	4,279,488	5,483,868
Non-interest income	1,149,231	1,427,014	1,999,829	2,323,246	2,832,257
Operating income	3,164,453	3,841,078	5,213,480	6,602,734	8,316,125
Expenses	1,485,728	1,850,801	2,288,448	2,739,635	3,500,673
Impairment on Loans and advances	194,551	463,484	316,640	258,151	297,485
Operating expenses	1,680,279	2,314,285	2,605,088	2,997,786	3,798,158
Profit Before Tax	1,484,174	1,526,793	2,608,392	3,604,948	4,517,967
Income tax expense	446,493	441,075	744,474	897,811	1,481,173
Profit for the year	1,037,681	1,085,718	1,863,918	2,707,137	3,036,794
Less profit attributable to non-controlling interests	1,918	6,601	46,686	54,679	52,388
Profit attributable to equity holders of the Bank	1,037,681	1,085,718	1,817,232	2,652,458	2,984,406
Earnings Per Share (Shs)	2.63	2.75	4.60	5.54	6.03
Dividend Per Share (Shs)	0.50	0.50	0.50	0.50	1.00

OTHER DISCLOSURES

Non-performing loans and Advances

a) Non-performing loans and advances	1,031,988	1,548,270	1,570,797	1,961,277	2,332,701
b) Allowance for impairment	621,360	1,134,091	1,420,444	1,690,526	1,652,986
c) Net Non-performing loans and advances (a-b)	410,628	414,179	150,353	270,751	679,715

Number of Employees	527	606	596	712	783
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Number of Branches	12	15	16	23	25
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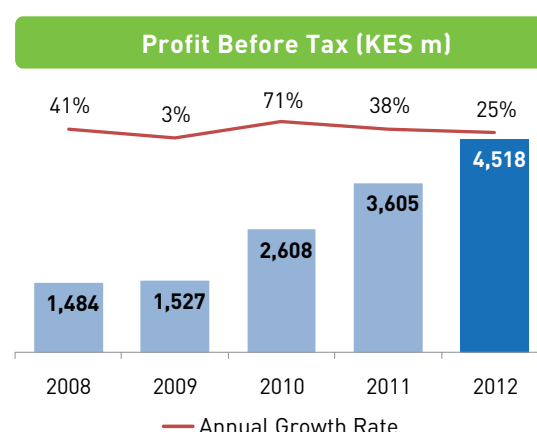
KEY PERFORMANCE INDICATORS

Return on Equity (ROE)	26.67%	22.48%	31.23%	34.26%	29.18%
Non-interest income to operating income	36.32%	37.15%	38.36%	35.19%	34.06%
Net non-performing loans to total loans	1.37%	1.31%	0.43%	0.48%	0.95%
Return on total assets	3.48%	3.21%	4.42%	4.56%	4.17%

DELIVERING ON OUR STRATEGIC OBJECTIVES

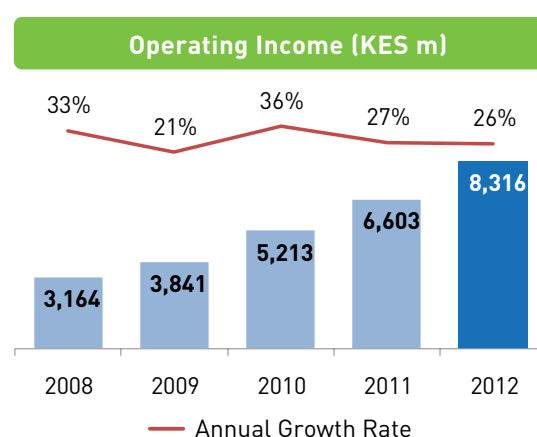
Profit Before Tax (PBT)

- NIC Bank Group aims to achieve consistent growth in profits by growing its core business units and diversifying its revenue sources.
- PBT grew by 25% to KES 4,518m in 2012, driven mainly by growth in lending and non-funded income.
- Most of the Group's subsidiaries contributed positively to the growth in pre-tax profits.



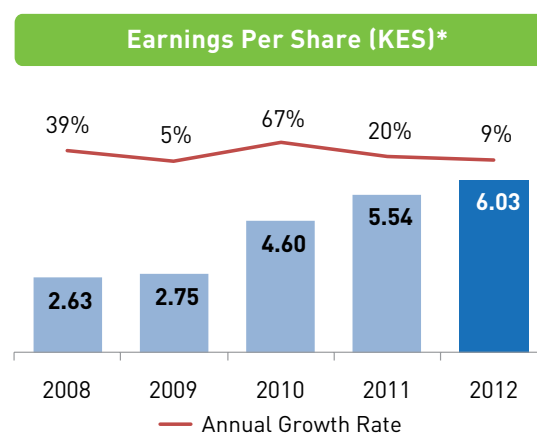
Operating Income

- Operating Income increased by KES 1,713m or 26% to KES 8,316m in 2012, following growth of 27% in 2011 and 36% in 2010.
- Repeated high growth reflects consistent execution of our strategy and diversification of our revenue streams.



Earnings Per Share (EPS) Growth

- EPS has grown consistently driven by steady growth in revenues whilst constantly simplifying our business model and investing in technology so as to increase efficiency and effectiveness and to make our business more agile.
- EPS grew 9% to KES 6.03 in 2012. Net income attributable to equity holders of the Bank increased to KES 2,984m, while the number of ordinary shares outstanding increased by 148m due to the Rights Issue and the Bonus Issue conducted in 2012.



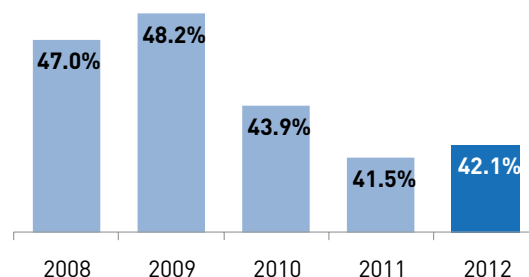
*EPS for computation for the period 2008 to 2011 have been adjusted to cater for the additional shares issued through Rights Issue and Bonus Issues.

DELIVERING ON OUR STRATEGIC OBJECTIVES (Continued)

Productivity Ratio (Cost / Income Ratio)

- Despite significant investments to boost the Group's strategic positioning, our productivity ratio remains one of the lowest in the industry. This reflects the incessant drive across the Group to effectively manage our cost structure.
- The productivity ratio deteriorated slightly from 41.5% in 2011 to 42.1% in 2012 primarily due to the cost of the investments that we made in the Group, which included the implementation of new core banking system and the branch expansion programme. In the long-term, these investments are expected to be beneficial to the Group.

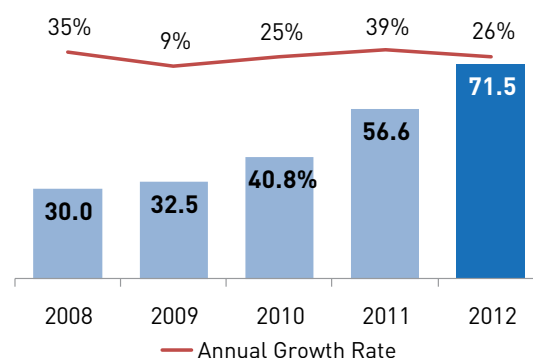
Productivity Ratio (Cost / Income Ratio)



Loans and Advances to Customers

- Loans and Advances to customers have increased by 26% to KES 72b in 2012, despite the high interest rates that prevailed for the better part of the year.
- All our lending business units have contributed positively to this growth.

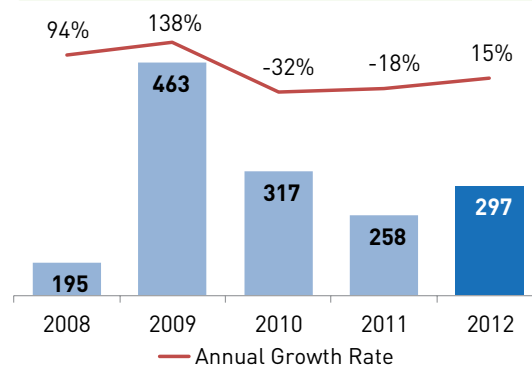
Loans and Advances to Customers (KES b)



Impairments on Loans and Advances

- Impairments on loans and advances increased by 15% from KES 258m in 2011 to KES 297m in 2012 in a difficult environment.
- This compares well with the growth in the Group's loan book of 26% year-on-year and reflects NIC Bank Group's strong credit risk management culture, the maintenance of which remains a key pillar of the Group's strategy.

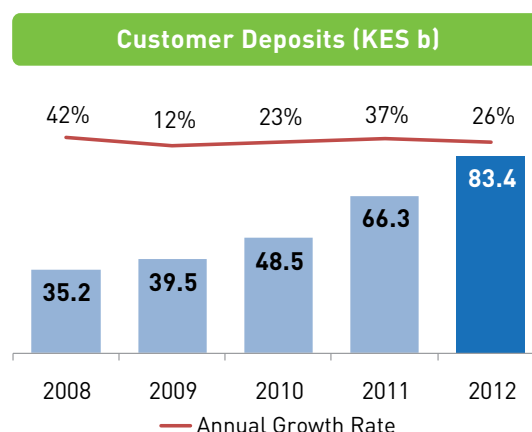
Impairment on Loans & Advances (KES m)



DELIVERING ON OUR STRATEGIC OBJECTIVES (Continued)

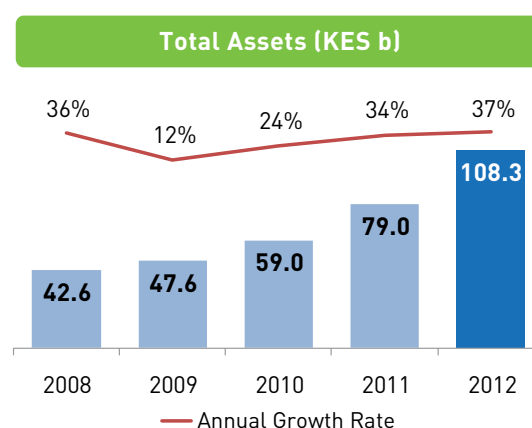
Customer Deposits

- Growth in customer deposits, which is consistent with the Group's strategic objective to diversify its customer base, has over the years been driven mainly by the growth in deposit balances held by individuals, small businesses and Non-Governmental institutions.
- In 2012, customer deposits recorded a 26% increase from KES 66b in 2011 to KES 83b in 2012 in line with the increase in loans and advances and our holdings of Treasury bills and bonds over the same period.
- Growth in customer deposits reflects the confidence that the public has in the NIC Bank Group.



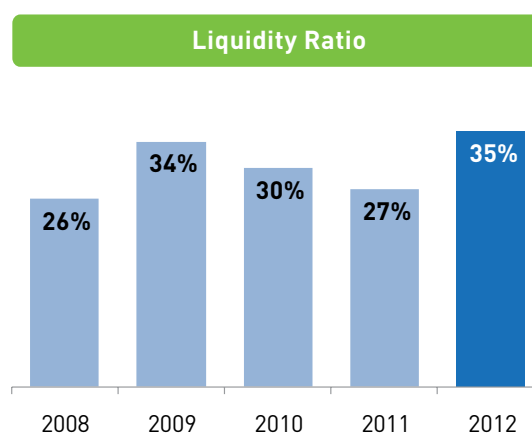
Total Assets

- The Group's total assets have grown by 37% year-on-year to KES 108b. This growth was mainly driven by the expansion of our lending book and our holdings in Government Securities.
- The growth in assets was funded by an increase in customer deposits, the KES 2b Rights Issue, and additional lines of credit.



Liquidity Ratio

- The Group endeavors to maintain liquidity buffers, above the statutory minimum ratio, to guard against unexpected funding difficulties.
- NIC Bank Group has significantly grown its liquidity position in a difficult environment.



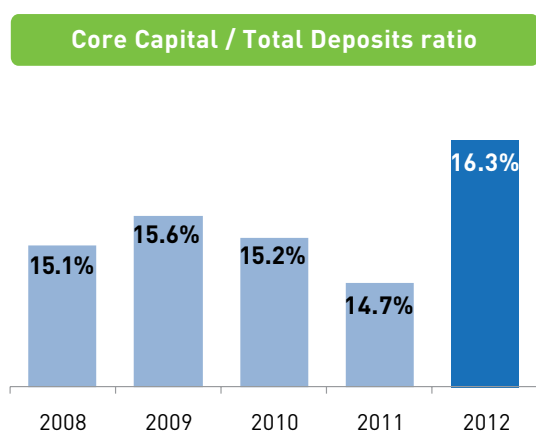
DELIVERING ON OUR STRATEGIC OBJECTIVES (Continued)

Capital Adequacy ratios

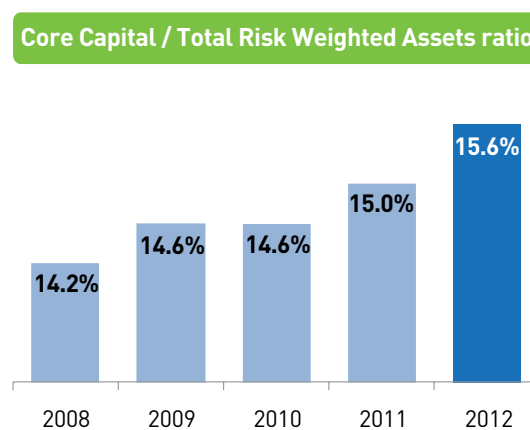
- The Group aims to strengthen its capital ratios to support investors' and depositors' confidence and provide greater operational and strategic flexibility.
- The capital adequacy ratios have held well in excess of the minimum thresholds as set by the Central Bank of Kenya.
- Capital ratios have increased significantly in 2012 due to the successful KES 2b Rights Issue and the retained profits for the year.

These trends are as shown hereunder:

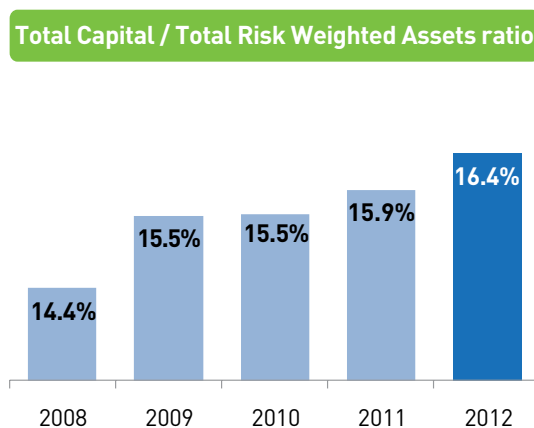
1. Core capital to Total deposits ratio – Minimum 8%



2. Core capital to total risk weighted assets ratio – Minimum 8%



3. Total capital to total risk weighted assets ratio – Minimum 12%



CHAIRMAN'S STATEMENT



On behalf of the Board of Directors, I am delighted to present to you the NIC Bank Group Annual Report and Financial Statements for the year ended 31st December 2012.

ECONOMY AND BUSINESS ENVIRONMENT IN 2012

The year 2012 began with the elevated inflation and unstable exchange rates carried over from the previous year. Inflation stood at 18.9% in January 2012 while the Kenya Shilling stood at 85.07 units to the U.S. Dollar.

The tight monetary policy stance adopted by the Central Bank of Kenya in the fourth quarter of 2011 remained in place for the first half of 2012. The Central Bank Rate (CBR) in January stood at 18% while liquidity was consistently mopped up from the money markets. The regulator also raised the country's foreign exchange reserves by accumulating U.S. Dollars when exchange rates were favourable.

The high interest rates restricted the overall growth in credit and this in turn led to a decline in spending and investment, resulting in a decline in inflation. In addition as the year progressed, an increase in food supply and the stabilization of world oil prices led to an easing of inflationary pressures.

During most of 2012, the Kenya Shilling demonstrated considerable stability against most major international currencies, fluctuating within the narrow range of 83-87 units to the U.S. Dollar. In addition to the Central Bank's consistent monetary policy stance during the period, increased capital inflows, especially to the energy sector, and increased remittances from Kenyans abroad also contributed to the strengthening of the foreign exchange reserves and the stability of the Shilling. Total remittances from the diaspora grew by 31% in 2012 to U.S. Dollars 1.2 billion, an indication of the resilience of these remittances despite the weak global economy.

The price paid for the control of inflation and stabilization of exchange rates was lower economic growth. The economy recorded quarterly annualized growth rates of 3.4% and 3.3% in the first two quarters of 2012 respectively, compared to about 5% a few quarters earlier. In addition to the challenging domestic environment, the slowing global economy continued to impact negatively on the local economy with the demand for Kenyan exports, including top foreign exchange earners such as tea, coffee, horticultural produce and tourism, shrinking significantly.

The continued decline in inflation, coupled with a stable Shilling, saw the Central Bank adopt a softer monetary policy stance in the second half of 2012 and between July and November 2012, the CBR dropped from 18% to 11%. As a result, interbank lending rates dropped from 19.4% at the beginning of the year to an average of 5.8% in December 2012. Nevertheless, lending rates remained high in 2012 with some banks charging as high as 25%, thus limiting credit flow to the private sector. These rates, however, continue to decline as market interest rates continue their downward trend.

By the close of 2012 the macroeconomic environment has progressively and gradually improved from the third quarter of 2012 when the economy recorded an annualized growth rate of 4.7%. Inflation declined steadily to 3.2% in December 2012, while the

CHAIRMAN'S STATEMENT (Continued)

Shilling remained fairly stable throughout the year. Overall, debt levels remain sustainable, although the Government might be forced to borrow more than planned to fund wage increases that were not budgeted for and to cater for the shortfall in tax collections in the second half of 2012. The discovery of substantial oil reserves in northern Kenya helped to shore up investor confidence in the economy and the implementation of the county government system should also help to accelerate the country's economic growth.

On a cautionary note, a key threat to this growth is the spiraling current account deficit that stood at U.S. Dollars 4.5 billion (13% of GDP) in December 2012. This deficit level is one of the highest in the world. Bold policy actions need to be taken urgently to strengthen Kenya's export engine and reduce the country's reliance on imports that also leaves it vulnerable to unpredictable exchange rate movements.

With regard to the performance of the capital markets, the Nairobi Securities Exchange (NSE) was very bullish during 2012, recovering from significant losses in 2011 to be one of the best performers in the world, returning 39.4% gains as measured by the NSE All Share Index (NASI) and 28.9% as measured using the benchmark NSE-20 Share Index. Most companies reported good results in 2012, there were some new listings and several capital raisings, while the stable Shilling boosted foreign investor participation that, on average, accounted for about 45% of market activity.

The bonds market also recovered significantly in 2012. The first three quarters were characterized by increased activity in line with the decline in interest rates that saw investors cash in on capital gains. Trading was also enhanced by higher market liquidity as the Central Bank adopted a loose monetary policy stance. Conversely, the last quarter of 2012 saw a significant decline in trading following an upturn in short term rates due to concerns about the Government's finances after it approved a significant increase in public sector wages for which it had not budgeted.

THE BANKING INDUSTRY AND REGULATORY ENVIRONMENT

The Banking sector exhibited remarkable resilience in 2012. The sector's profitability jumped by 20.2% from KES 89.6 billion as at December 2011 to KES 107.7 billion as at December 2012 on the back of balance sheet growth and an increase in non-interest income. The sector's balance sheet grew by 15% to KES 2,354 billion, up from KES 2,046 billion as at December 2011. Asset quality, though weaker, remains strong. Non-performing loans were below 5.0% of the sector's loan book which grew by 12.9% year-on-year to KES 1,348 billion as at December 2012.

The global financial crisis has had a profound and lasting impact on the financial services industry across the world. Seeking to restore economic equilibrium and reduce systemic risk, many governments have raised minimum capital thresholds and comprehensively reviewed regulations. The Central Bank of Kenya has adopted many of the lessons learnt from the global crisis and with due consultation with the industry has introduced a new set of Prudential and Risk Management Guidelines that will regulate the activities of commercial banks.

The changes to the CBK Prudential Guidelines are an important step towards a safer and stronger financial sector. In addition to changing the minimum capital requirements of commercial banks, they also strengthen corporate governance structures, enhance risk management processes and procedures, restrict banks from engaging in imprudent activities and introduce new measures meant to protect the interests of banks' customers.

NIC Bank Group welcomes these changes and views them as beneficial to the industry. The Group has dedicated significant attention and resources to ensure that the new guidelines are implemented expeditiously, whilst at the same time ensuring that it continues to meet and exceed the evolving needs of its customers.

NIC BANK GROUP FINANCIAL RESULTS

NIC Bank Group reported a KES 4.5 billion Profit Before Tax for the year ended 31st December 2012, representing an increase of 25% from the KES 3.6 billion registered in the previous year.

Total operating income increased by 26% to KES 8.3 billion, driven by balance sheet expansion and growth in non-funded income which contributed 34% of total income. The Group's loan book grew by 26% to KES 71.5 billion while the total balance sheet expanded by 37% to KES 108 billion. Customers' deposits for the Group stood at KES 83.4 billion, a growth of 26% as at December 2012.

The Impairment on Loans and Advances amounted to KES 297million; an increase of 15% from the KES 258 million reported

CHAIRMAN'S STATEMENT (Continued)

in 2011. This compares well with the growth in the Group's loan book of 26%, notwithstanding the challenging economic environment that affected customers during the year.

The Group's capital base now stands at KES 15.5 billion; a growth of KES 5.0 billion from 2011. This figure includes proceeds from the Rights Issue and the growth in revenue reserves of KES 3 billion due to retained profits for the year. All key banking regulatory performance indicators have recorded favorable trends.

RIGHTS ISSUE AND BONUS ISSUE

After seeking and obtaining regulatory and shareholder approval, the Group raised additional capital of KES 2 billion through a Rights Issue that was oversubscribed by 238%. This rate of subscription is testament to the confidence that shareholders and the investment community have in the Group. The Rights Issue was followed by a bonus issue of 1 new share for every 10 shares held after the Rights Issue bringing the total issued share capital and share premium to KES 3.9 billion.

DIVIDEND PAYOUT

The Group's strong performance in 2012 has allowed the Board of Directors to recommend for approval at the Annual General Meeting the payment of a first and final dividend of KES 1.00 per share. This translates to a total payout of KES 543 million and compares favourably to the dividend of KES 0.5 per share (total payout of KES 197 million) paid out for the financial year 2011.

SUBSIDIARIES AND DIVERSIFICATION

NIC Bank Tanzania reported a 12% growth in Profit Before Tax in local currency. However upon translation to Kenya Shillings this is the equivalent of KES 150 million, marginally below the KES 157 million reported in 2011.

In December 2012 the shareholders of NIC Bank Tanzania approved a Rights Issue of TZS 8.5 billion (KES 459 million). NIC Bank Group took up its Rights in full, which involved an additional investment of TZS 4,335 million (KES 234 million). In addition, there was an opportunity, which the Board of NIC Bank Group approved, to acquire shares from some of the other shareholders and also to take-up the Rights not exercised by other shareholders. This resulted in an additional investment of TZS 6,925 million (KES 374 million) and brings the total additional investment in NIC Tanzania to TZS 11,261 million (KES 608 million). As a consequence, the Group's shareholding in NIC Tanzania has increased from 51% to 69%.

NC Bank Uganda, the new commercial banking subsidiary in Uganda, opened its doors to the public in June 2012. The Group's total investment in this business, all of which was made in 2012, currently stands at KES 1,138 million. In its first year of operation, the subsidiary exceeded expectations and reported a lower than anticipated loss of KES 24 million. The opening of this new subsidiary completes the Group's footprint in the three original member countries of the East African Community and puts it in a strong position to expand operations further in the region.

NIC Capital, the Group's investment bank performed very well, reporting a Profit Before Tax of KES 90 million (2011 - KES 60 million). The subsidiary now holds a leading position in corporate finance advisory and continues to build significant market share in both the equity and debt capital markets.

The stock brokerage, NIC Securities recorded a commendable Profit Before Tax of KES 31 million compared to KES 11 million in 2011. This strong performance reflects the rebound of the stock exchange and the general improvement of the macroeconomic environment. Following the demutualization of the Nairobi Securities Exchange [NSE], which involved the splitting of the shareholding and management of the Exchange, the NSE issued shares to replace the Seats earlier held [Seats on the Exchange represented both an equity interest in the NSE as well as the right to trade shares directly at the Exchange]. The Seat had earlier been maintained in the books of accounts at KES 251 million, based on an arm's length transaction of a similar Seat in 2007. The new shares in the Exchange are now included under investments at a revised valuation of KES 191million which reflects the discounted future earnings of the subsidiary.

The Bancassurance subsidiary, NIC Insurance Agents, posted a Profit Before Tax of KES 19 million (2011 - KES 17 million). The business has acquired new real time software that will enable it to automate its processes and improve customer service. The NIC Insurance Agents business is also expanding the range of products it offers and is acquiring the skills and expertise it needs to provide a complete suite of insurance broking services.

CHAIRMAN'S STATEMENT (Continued)

SERVICE DELIVERY AND PRODUCTS

The contribution of the Group's new branches has been good, and in 2012 branches were opened at Taj Mall in Embakasi, Nairobi, Kahama in Tanzania and Rwenzori Towers, Kampala, Uganda. New branches scheduled to open in 2013 will be located along Kenyatta Avenue in Nairobi, at ABC Place (Westlands), along Thika Road, at Changamwe in Mombasa, and along Ohio Street and at Kariokoo in Dar es Salaam, Tanzania. This will increase the total network to 31 branches across the region.

In an effort to further enrich customer experience and amplify the 'One Stop Shop' concept that characterizes its offering, the Group implemented a new core banking system, T24, on 1st September, 2012. T24 is a state of the art system provided by Temenos and facilitates the development and roll-out of technology-based products and services that will exploit the full potential of alternative channels such as mobile and internet banking. The new core banking system enables the centralizing of operations, thus enhancing efficiency, improving customer service and cutting costs. T24 also allows customers to access the Group's services from any branch across the region.

EMPLOYEES

NIC Bank Group's achievements and financial results in such a challenging market are a testimony to the talents and the dedication of its people across the region. As at 31st December 2012 the team numbered 783 employees (2011 – 712) and the Group is committed to employ the best in the market, to remunerate them competitively and to give them the training they need to develop and deliver superior products and services.

The Group will only meet and exceed its strategic objectives if the employees have a passion for winning and a culture that encourages and rewards enterprise. Accordingly, a reward system is in place to recognize superior contributions at every level of the organization.

CORPORATE GOVERNANCE & RECOGNITION

Good corporate governance is essential for sustainable business performance. NIC Group is committed to adhering to the highest standards of corporate governance and best practice as well as with formal laws and guidelines that are issued by the different bodies that regulate its businesses and operations. The Group has a comprehensive corporate governance structure, as detailed in the Corporate Governance section of this report, and has made suitable enhancements in order to comply fully with the up-graded regulatory framework

Many professional bodies have recognised the investment made by NIC Bank Group in strong corporate governance and, among other awards, during 2012:

- NIC Bank Group was the 2nd runner-up in the Champion of Governance Awards, which were co-sponsored by the Institute of Certified Public Secretaries of Kenya (ICPSK), the Central Bank of Kenya, the Retirement Benefits Authority and the Insurance Regulatory Authority, amongst others. The Group Company Secretary was also named the Company Secretary of the Year.
- NIC Bank Group was also named Overall Winner in the Financial Reporting (FiRe) Awards in East Africa, which were promoted jointly by the Nairobi Securities Exchange (NSE), the Institute of Certified Public Accountants of Kenya (ICPAK), and the Capital Markets Authority (CMA). The Group also won the Overall Winner award in four other categories: Listed Companies, Banks, International Financial Reporting Standards (IFRS) and the Overall Winner in Kenya.
- In October 2012, NIC Capital emerged as the best Lead Transaction Advisor and was named 1st runner-up in the Best Investment Bank category during the Capital Markets Awards.

SOCIAL RESPONSIBILITY

NIC Bank Group remains committed to its social, economic, environmental and ethical responsibilities and this encompasses the way it interacts with all stakeholders. It is fully recognised that the success of the Group is closely linked to the wellbeing and interests of shareholders, employees, customers and the societies and communities in which it operates.

The commitment to corporate social responsibility extends throughout all business activities and among other emerging needs focus has been placed on various initiatives in the areas of education, the environment and sports.

CHAIRMAN'S STATEMENT (Continued)

In the area of education, NIC Bank Group partnered with various institutions, including Palm House Foundation and Edumed Trust, both of which further the education of less privileged yet gifted children in Kenya. In 2012, NIC Bank Group increased its annual sponsorship in favor of the Palmhouse Foundation. By supporting these children through secondary school and providing mentorship, NIC Bank Group gives them a chance to make a better life for themselves and their families.

The Group also supports Junior Achievement Kenya (JAK), a member of Junior Achievement Worldwide; an organisation that helps prepare young Kenyans for the employment market through participation in various programs designed to develop job competencies, enhance financial literacy and develop entrepreneurial skills.

NIC Bank Group also offers internship programs to students. These internships provide an environment in which young people can learn how a complex organization is managed.

In terms of the environment, the Group was extremely happy to sponsor, for the fourth year running, the "Tupande Pamoja" tree planting initiative. On the appointed day, hundreds of NIC staff members, together with representatives from the United Nations Environment Programme and the Kenya Forestry Service, gave up their time to help replenish the depleted natural resources in the Aberdares Forest.

NIC Bank Group also continues to place a lot of emphasis on promoting the development of sport in Kenya. The fact that 1500 golfers from all across the country participated in the NIC 2012 Golf series testifies to the success in that area.

FUTURE OUTLOOK

2013 is likely to be a challenging year given the uncertainty associated with the general elections, continued volatility in international oil prices, the spillover effects of the global economic slowdown and the balance of payments pressure associated with the large current account deficit. NIC Bank Group will continue, however, to seek out and capitalize on new and emerging opportunities in order to maintain and enhance the value of the franchise. All this will of course be done within the framework of the Group's strong risk management structures and processes.

APPRECIATION

The strong performance of the Group in 2012 is the result of the input of our many stakeholders all of whom we consider our partners who have contributed to the successes achieved during the year.

First, and on behalf of the entire NIC Bank Group, I must express sincere gratitude to our over 25,000 shareholders for their loyalty and confidence, both of which were amply demonstrated by the oversubscription of the 2012 Rights Issue. We truly appreciate the trust placed in us, and are determined to continue be worthy of the same by consistently enhancing the value of their investment in the Group.

Secondly I thank all our customers for their continued patronage and business. We recognise that the Group's customers have many choices and options, and therefore we greatly appreciate their confidence in our ability to fulfill their requirements. Again, we strive to be worthy of this confidence by offering the highest standards to service. Our commitment and focus on customer relationships extends beyond providing banking services to assisting our customers who find themselves in challenging situations. Throughout the recent economic difficulties, we sought to strengthen our relationships with our customers by providing them with the financial services, advice and solutions that they needed to survive and even flourish despite the challenging environment.

We also greatly appreciate the co-operation availed to the Group by our other stakeholders, including our regulators: the Central Bank of Kenya, Bank of Tanzania, Bank of Uganda, Nairobi Securities Exchange and the Capital Markets Authority.

Our management and staff have risen to the challenges faced by the Group with a great deal of resourcefulness and determination and the effects of this are reflected in our strong financial results. We are very proud of the NIC team and greatly appreciate their ability and loyalty.

Finally I wish to thank my fellow directors for the time and effort they devote to the work and deliberations of the Board and its committees. Their advice and guidance has played a great part in the impressive achievements of the NIC Bank Group.

J P M Ndegwa
Chairman

20th February 2013

TAARIFA YA MWENYEKITI

Kwa niaba ya Bodi ya Wakurugenzi Wakuu, nina furaha kuwasilisha kwenu Ripoti ya Mwaka na Taarifa ya Kifedha ya Benki ya NIC ya mwaka uliomalizikia tarehe 31 Desemba 2012.

MAZINGIRA YA KIUCHUMI NA KIBIASHARA YA MWAKA WA 2012

Mwaka 2012 ulianza na mfumko wa juu wa bei na viwango hafifu vya ubadilishanaji wa kifedha vilivyoanza mwaka uliotangulia. Mfumko huo ulikuwa wa asilimia 18.9 mnamo Januari 2012 huku Shilingi ya Kenya ikibadilishwa kwa 85.07 kwa kila Dola ya Marekani.

Sera kali ya kifedha iliyotumiwa na Benki Kuu ya Kenya katika robo ya nne ya mwaka 2011 ilitumika hadi kufikia nusu ya kwanza ya mwaka 2012. Kiwango cha Riba cha Benki Kuu (CBR) mnamo Januari kilikuwa asilimia 18 huku pesa zikiendelea kutumika kwa haraka katika masoko ya kifedha. Benki hii pia iliongeza hifadhi ya pesa za ubadilishanaji wa kigeni kwa kuongezea kiwango cha hifadhi ya Dola ya Marekani wakati ambapo viwango vya ubadilishaji vilikuwa vizuri.

Viwango vikuu vya riba vilizuia pakubwa ukuaji wa jumla wa mikopo na hii ikachangia katika upunguaji wa matumizi ya fedha pamoja na uwekezaji, na matokeo yake yakawa ni kushuka kwa mfumko. Kadhalika, mwaka ulipoendelea kusonga, ongezeko katika usambazaji wa chakula na udhibiti wa bei za mafuta duniani vilichangia kupunguza mzigo wa mfumko wa bei.

Katika kipindi kirefu cha mwaka 2012, Shilingi ya Kenya ilionyesha udhabiti mzuri dhidi ya sarafu nyingi kuu za kimataifa, na ilikuwa ikisonga katika kiwango cha kati ya Shilingi 83-87 dhidi ya Dola ya Kimarekani. Ziada ya hayo, msimamo imara wa sera za kifedha wa Benki Kuu katika kipindi hicho uliongeza mtiririko wa mtaji wa fedha hasa kwa sekta ya kawi, na ongezeko la fedha kutoka kwa Wakenya walio mataifa ya kigeni (ng'ambo) lililochangia pakubwa katika kuimarika kwa hifadhi ya fedha za ubadilishanaji na uimara wa shilingi ya Kenya. Kwa jumla, fedha kutoka kwa Wakenya wa mataifa ya kigeni ziliongezeka kwa asilimia 31 mnamo 2012 hadi Dola za Kimarekani Kshs. 1.2 bilioni, ikiwa ishara ya uthabiti wa matoleo hayo licha ya uchumi duni wa kilimwengu.

Gharama iliyolipiwa udhibiti huo wa mfumko na uimarishaji wa viwango vya ubadilishanaji ilikuwa ni kudorora kwa uchumi. Uchumi huu ulirekodi ukuaji wa asilimia 3.4 na 3.3 katika robo mbili za kwanza za mwaka 2012 mtawalia, ikilinganishwa na karibu asilimia 5 ya robo chache za awali. Pia mazingira changamano ya kitaifa na upungukaji wa uchumi wa dunia viliendelea kuathiri uchumi wa kitaifa huku uhitaji wa mauzo ya nje ya Kenya, ikiwemo bidhaa zinazoongoza katika kuleta fedha za kigeni kama vile kahawa, matunda na mboga na hali kadhalika utalii, ukipungua kwa kiasi.

Kupungua huko kwa mfumko pamoja na Shilingi imara ya Kenya, vilipelekea Benki Kuu kutumia msimamo unaofaa wa sera ya fedha katika sehemu ya pili ya mwaka 2012 na kati ya Julai na Novemba 2012, kiwango cha riba cha Benki Kuu (CBR) kikapungua kutoka asilimia 18 hadi 11. Matokeo yake yakawa, riba ya ukopesaji baina ya benki moja na nyingine vikashuka kutoka asilimia 19.4 mwanzoni mwa mwaka huo hadi kwa asilimia 5.8 kwa wastani mnamo Desemba 2012. Hata hivyo, viwango vya riba vilisalia juu mwaka 2012 huku baadhi ya benki zikitoza riba ya juu kama vile asilimia 25, na matokeo yake ikawa ni kupungua mtiririko wa kifedha hadi katika sekta ya kibinafsi. Hata hivyo, viwango hivi vinaendelea kupungua sambamba na jinsi viwango vya riba sokoni vinavyoendelea kushuka.

Kufikia mwisho wa mwaka 2012, mazingira ya uchumi wa kitaifa na kimataifa nchini yaliendelea kuimarika japokuwa kwa utaratibu mno hadi katika robo ya tatu ya 2012 ambapo uchumi ulikuwa kwa asilimia 4.7. Mfumko ulipungua kiasi hadi asilimia 3.2 mnamo Desemba 2012, huku Shilingi ikisalia imara katika kipindi kilichokuwa kimesalia cha mwaka mzima. Kwa jumla, viwango vya madeni vilibaki imara, hata ingawa Serikali inaweza kulazimika kukopa zaidi ya ilivyopangwa ili kufadhili ongezeko la mishahara ambalo halikujumuishwa kwenye bajeti, pamoja na kujaliza pengo katika ukusanyaji wa ushuru katika sehemu ya pili ya mwaka 2012. Kugunduliwa kwa kiasi kizuri cha visukuku vya mafuta Kaskazini mwa Kenya kulisaidia kuimarisha imani ya wawekezaji katika uchumi wetu na utekelezaji wa mfumo wa serikali za ugatuzi unafaa pia kusaidia ili kusukuma kasi ya ukuaji wa uchumi wa taifa hili.

Katika kuchukua tahadhari, tisho kuu la ukuaji wa uchumi huu ni ongezeko la pengo la akiba ya fedha za kibiashara ambalo lilifikia Dola za Kimarekani 4.5 bilioni (asilimia 13 ya Jumla ya Pato la Kitaifa yaani GDP) mnamo Desemba 2012. Kiwango hiki cha mapungufu ni miongoni mwa vile vikubwa zaidi duniani. Maamuzi makubwa ya kisera yanafaa kuchukuliwa mara moja ili kupiga jeki uuzaji nje wa bidhaa za Kenya na kupunguza utegemezi wa taifa katika ununaji wa bidhaa kutoka nje ya nchi ambao huacha taifa likiwa katika hatari ya mabadiliko ya ghafla ya viwango vya ubadilishanaji.

Kwa kurejelea utendakazi wa masoko ya mtaji, Soko la Hisa la Nairobi (NSE) lilipata matokeo mazuri mwaka 2012, likifuka kutokana na hasara kiasi za 2011 na hivyo kuwa miongoni mwa yale bora zaidi duniani, likinakili mafanikio ya asilimia 39.4 kama ilivyopimwa na Nambapeo ya Jumla ya Hisa za NSE (NASI) na asilimia 28.9 kama ilivyopatikana katika kigezo cha Nambapeo ya Hisa za NSE-20. Kampuni nyingi zilipata matokeo mazuri katika mwaka 2012, huku kukiwa na nyingine zilizoerodheshwa katika soko hilo na nyingine zikizidi kuinuka, huku Shilingi imara ikichangia kuimarisha ushirika wa wawekezaji wa kimataifa, ambapo haya yote kwa

TAARIFA YA MWENYEKITI (Kuendelea)

wastani yalichangia asilimia 45 ya shughuli za soko hilo.

Kadhalika, Soko la hati za dhamaana lilifuka kiasi kizuri katika wa mwaka 2012. Robo tatu za kwanza zilisheheni shughuli zilizoambatana na kupungua kwa viwango vya riba hali ambayo ilipelekea wawekezaji kujinufaisha na maendeleo hayo ya soko la hisa. Biashara pia ilipata nguvu kutokana na pesa taslimu zinazotosha huku Benki Kuu ikiandama sera nyepesi ya kifedha. Kwa msingi huo, robo ya mwisho ya mwaka 2012 ilishuhudia upunguaji kiasi wa biashara kufuatia ongezeko katika riba ya muda mfupi kutokana na wasiwasi kuhusu fedha za serikali hasa baada ya kutangaza ongezeko la mishahara katika sekta ya umma, mishahara ambayo haikuwa kwenye bajeti.

MAZINGIRA YA SEKTA YA BENKI NA MIFUMO YA USIMAMIZI

Sekta ya Benki ilionyesha ukuaji mzuri katika mwaka 2012. Faida ya sekta hiyo iliimarika kwa asilimia 20.2 kutoka Shilingi 89.6 bilioni za Kenya mnamo Desemba 2011 hadi Shilingi 107.7 bilioni kufikia Desemba 2012, hii ni sambamba na kukua kwa mizania na ongezeko katika mapato yasiyotokana na faida. Mizania ya sekta hii ilikua kwa asilimia 15 hadi Shilingi za Kenya 2,354 bilioni, kutoka Shilingi 2,046 bilioni kufikia Desemba 2011. Uboru wa amali, japokuwa kwa uchache, unabakia kuwa imara. Mikopo isiyolipwa pia ilibakia chini ya asilimia 5.0 huku buku la mkopo la sekta hii likikua kwa asilimia 12.9 mwaka-baada ya-mwaka hadi Shilingi 1,348 bilioni kufikia Desemba 2012.

Mtikisiko wa kifedha duniani umekuwa na athari ya kudumu katika sekta ya huduma za kifedha kote duniani. Katika jitihada za kukomboa kuwepo kwa usawa wa kiuchumi na kupunguza hatari za kimfumo, serikali nyingi zimeongeza kiwango cha mtaji wachini na kurekebisha kanuni na masharti yake kikamilifu. Benki Kuu ya Kenya imefuata mafunzo mengi yaliyopata kutokana na mtikisiko huo wa kilimwengu na kwa kufanya mashauriano yakutosha baina yake na sekta hii, imeanzisha Miongozo mipya wa Kusimamia Kikamilifu Njia za Kukabiliana na Hatari (Prudential and Risk Management Guidelines) ambao utadhibiti shughuli za Benki za kibiashara.

Mabadiliko katika Miongozo mipya wa Kusimamia Kikamilifu Njia za Kukabiliana na Hatari ya CBK ni hatua moja muhimu kuelekea kwa sekta salama na thabiti ya fedha. Zaidi ya kubadilisha mahitaji ya kiwango cha chini cha benki za kibiashara, pia waliimarisha mifumo ya usimamizi wa kiushirika, kuimarisha harakati za kukabiliana na hatari, kuzuia benki kujiingiza katika shughuli zisizofaa na kuanzisha hatua mpya zinazolenga kulinda maslahi ya wateja wa benki hizo.

Benki ya NIC Bank Group inakumbatia mabadiliko haya na kuyatazama kama yenye faida kwa sekta hii. Shirika hili limemakinika na kutoa rasilmali kiasi ili kuhakikisha kuwa miongozo hii mipya inatekelezwa haraka, huku wakati huo huo likihakikisha kuwa linaendelea kutimiza na hata kuzikithia haja za kila siku za wateja wake.

MATOKEO YA KIFEDHA YA NIC BANK GROUP

Benki ya NIC Bank Group ilipata faida ya Shilingi za Kenya 4.5 bilioni Kabla ya Ushuru katika mwaka uliokamilika tarehe 31 Desemba 2012, hii ikiwa ni ongezeko la asilimia 25 kutoka kwa faida ya Shilingi 3.6 bilioni zilizopatikana katika mwaka uliotangulia.

Jumla ya mapato ya kufanyia kazi yaliongezeka kwa asilimia 26 hadi Shilingi 8.3 bilioni, ikichangiwa hasa na upanuzi wa mizania na ukuaji katika mapato yasiyofadhiliwa na ambayo hatimaye yalichangia kwa asilimia 35 ya jumla ya mapato. Buku la Mikopo la Benki hii lilikua kwa asilimia 26 hadi Shilingi 71.5 bilioni huku jumla ya mizania ikiongezeka kwa asilimia 37 hadi Shilingi 108 bilioni. Akiba ya wateja katika Benki hii iligonga kiwango cha Shilingi 83.4 bilioni kufikia Desemba 2012.

Kiwango cha sehemu ya hasara kwenye mikopo kilifikia Shilingi Milioni 297; ongezeko la asilimia 15 kutoka Shilingi Milioni 258 mnamo mwaka wa 2011. Hali hii inaendana sambamba na ukuaji katika buku la mikopo la Benki la asilimia 26 licha ya kuwepo kwa changamoto za mazingira ya uchumi ambazo ziliathiri wateja katika mwaka huo.

Mtaji wa Benki hii sasa umefikia Shilingi 15.5 bilioni; hii ikiwa ukuaji wa Shilingi 5.0 bilioni ukilinganisha na mwaka 2011. Hesabu hii inajumuisha mapato kutokana na Toleo la Hisa na ukuaji katika hifadhi ya mapato ya Shilingi 3 bilioni kutokana na faida ya mwaka iliyorejeshwa katika biashara. Viashiria vyote muhimu vya utendakazi wa kanuni za beki vilirekodi mielekeo ya kuvutia.

TOLEO LA HISA NA LILE LA BONASI

Baada ya kutafuta na kupata idhini ya msimamizi wa benki zote na wenyehisa wetu, Benki hii ilikusanya mtaji wa ziada wa Shilingi 2 bilioni kupitia kwa Toleo la Hisa ambalo lilinunuliwa kupita kiwango kilichowekwa kwa asilimia 238. Kiwango hiki cha ununuzi ni ishara tosha ya imani ambayo mwenyehisa na mwekezaji anayo kwa Benki hii. Toleo la Hisa lilifuatwa na toleo la bonasi la hisa 1 mpya kwa kila hisa 10 zinazomilikiwa baada ya Toleo la Hisa na hivyo kufikisha jumla ya mtaji wa hisa uliotolewa kuwa Shilingi 3.9 bilioni.

TAARIFA YA MWENYEKITI (Kuendelea)

MALIPO YA MGAO

Matokeo mazuri ya Benki hii katika mwaka 2012 yameiruhusu Bodi ya Wakurugenzi Wakuu kupendekeza kuidhinishwa kwa malipo ya mgao wa kwanza na wa mwisho wa Shilingi 1.00 kwa kila hisa katika Mkutano Mkuu wa Kila Mwaka. Hii inafikisha jumla ya Shilingi 543 milioni katika malipo haya na hii inalingana sawasawa na mgao wa Shilingi 0.5 kwa kila hisa (jumla ya malipo ya Shilingi 197 milioni) katika mwaka wa kifedha wa 2011.

MASHIRIKA TANZU NA UANUAI WA BENKI

Benki ya NIC ya Tanzania ilisajili ukuaji wa asilimia 12 katika Faida Kabla ya Ushuru kwa sarafu ya nyumbani. Hata hivyo, katika kubadilisha hadi Shilingi ya Kenya, hii ni sawa na Shilingi milioni 150 za Kenya, ikiwa chini ya Shilingi za Kenya milioni 158 zilizopatikana mwaka 2011.

Mnamo Desemba 2012 wenyekishi wa NIC Bank Tanzania waliidhinisha Toleo la Hisa la Shilingi ya Tanzania 8.5 bilioni (Shilingi za Kenya milioni 459). Benki ya NIC Bank Group ilichukua Toleo lake kikamilifu, lililojumuisha uwekezaji wa ziada wa Shilingi za Tanzania milioni 4,335 (Shilingi za Kenya milioni 234). Zaidi hayo, kulikuwa na fursa, ambayo Bodi ya NIC Bank Group iliidhinisha, ya kuchuku hisa kutoka kwa baadhi ya wenyekishi na pia kufanya uwekezaji wa ziada wa Shilingi za Tanzania milioni 6,925 (Shilingi za Kenya milioni 374) na kufanya jumla ya uwekezaji wa ziada katika NIC Tanzania kuwa Shilingi za Tanzania milioni 11,261 (Shilingi 608 milioni). Kwa sababu hiyo, umilikaji wa hisa wa Benki hii katika NIC Tanzania umeongezeka kutoka asilimia 51 hadi 69.

NC Bank Uganda, ndio Benki tanzu mpya ya kibiashara nchini Uganda, ulianza shughuli zake kwa umma mnamo Juni 2012. Jumla ya uwekezaji wa Benki hii katika biashara, uwekezaji huo ukifanyika katika mwaka wa 2012, kwa sasa umefikia Shilingi za Kenya milioni 1,138. Katika mwaka wake wa kwanza wa kibiashara, kampuni hii tanzu ilizidisha matarajio na kupata hasara kidogo ambayo ilitarajiwa ya Shilingi za Kenya milioni 24. Ufunguzi wa kampuni hii tanzu unakamilisha uwepo wa Benki hii katika mataifa matatu ya kiasili ya Jumuiya ya Afrika Mashariki na Kati na kuiweka katika nafasi nzuri na imara ya kupanua mbawa zake hadi kwingineko katika eneo hili.

NIC Capital, ambao ni uwekezaji wa Benki hii ulifanya vizuri sana, ulipata Faida Kabla ya Ushuru ya Shilingi za Kenya milioni 90 (2011 – Shilingi milioni 60). Utanzu huu sasa unashikilia nafasi ya mbele katika ushauri wa kifedha wa kishirika na unaendelea kuimarisha posho yake katika soko kwa msingi wa masoko ya hisa zisizo na riba ya kudumu na mtaji wa deni.

NIC Securities zilipata Faida nzuri Kabla ya Ushuru ya Shilingi za Kenya milioni 31, ikilinganishwa na Shilingi milioni 11 zilizopatikana mwaka wa 2011. Matokeo haya mazuri yanaakisi ufufuzi wa soko la hisa na uimarikaji wa jumla wa mazingira ya uchumi wa kitaifa na kimataifa. Kufuatia kutenganishwa kwa Soko la Hisa la Nairobi (NSE) kulikojumuisha kugawa katikati kwa umilikaji hisa na usimamizi wa Ubadilishanaji, NSE ilitoa hisa zilizoingia mahali pa Hisa zilizomilikiwa awali (Hisa zilizomilikiwa awali kwenye Soko hilo ziliwakilisha riba za hisa zisizo na riba ya kudumu katika NSE pamoja na haki ya kubadilishana hisa moja kwa moja katika Soko). Mamlaka haya hapo awali yalikuwa yakidumishwa katika mabuku ya kifedha kwa Shilingi za Kenya milioni 251, yakiegemezwwa kwa ubadilishanaji mfupi wa mamlaka kama hayo mnamo 2007. Hisa mpya katika Soko hilo, sasa zinajumuishwa katika uwekezaji mdogo kwa thamani uliofanyiwa marekebisha ya Shilingi milioni 191 ambao unaakisi mapato ya baadae ya utanzu huu.

Kampuni tanzu ya bima ya benki hii, NIC Insurance Agents, ilipata Shilingi za Kenya milioni 19 kama faida kabla ya ushuru (2011 – Shilingi 17 milioni). Biashara hii imepata programu mpya ya kisasa ya kompyuta ambayo itaiwezesha kutumia teknolojia katika harakati zake na kuimarisha huduma kwa wateja. Biashara ya Mawakala wa Bima wa NIC pia inaendelea kuimarisha kiwango cha bidhaa inachotoa na pia inazidi kupata ujuzi na utaalamu unaohitajika katika kutoa huduma kamilifu za bima.

UTOAJI WA HUDUMA NA BIDHAA

Mchango wa matawi mapya ya Benki hii umekuwa bora, na katika mwaka 2012 matawi yake yalifunguliwa katika maeneo ya : Taj Mall eneo la Embakasi Nairobi, huko Kahama nchini Tanzania na huko Rwenzori Towers, jijini Kampala Uganda. Matawi mapya yanayotazamiwa kufunguliwa mwaka 2013 yatafunguliwa kwenye mkabala wa barabara ya Kenyatta Avenue mjini Nairobi, ABC Place (Westlands), Thika Road, Changamwe mjini Mombasa, na pia katika mkabala wa barabara ya Ohio Street na Kariokoo jijini Dar es Salaam, Tanzania. Hii itaongeza jumla ya mtandao wa matawi kuwa matawi 31 kote katika ukanda huu.

Katika jitihada za kuongeza uzoefu wa wateja na kupigia debe dhana ya 'Duka Lenye Kila Aina ya Bidhaa' ambayo inajumuisha kila huduma na bidhaa zinazotolewa, Benki hii ilitekeleza mfumo mpya mkuu wa shughuli za benki, unaofahamika kama T24, mnamo Septemba 1, 2012. T24 ni mfumo wa kisasa unaotolewa na Temenos na unawezesha ustawishaji na uzinduzi wa bidhaa na huduma za kiteknolojia na ambao utaamsha uwezo wote wa mbinu mbadala kama vile za shughuli za benki kupitia simu za mkononi na mtandao wa Intaneti. Mfumo huu mpya wa benki unasaidia uendeshaji wa shughuli zote katika kituo kimoja, na hivyo kuimarisha

TAARIFA YA MWENYEKITI (Continued)

ubora, kuimarisha huduma kwa wateja na kupunguza gharama. T24 pia inasaidia wateja kufikia huduma za Benki katika tawi lolote la benki kila sehemu katika ukanda huu mzima.

WAFANYAKAZI

Mafanikio ya Benki ya NIC Bank Group pamoja na matokeo yake mazuri ya kifedha katika masoko yenye changamoto kama hizo ni ushahidi tosha wa talanta na kujitolea kwa wafanyikazi wake kote katika ukanda huu. Kufikia tarehe 31 Desemba 2012 timu yake ilifikia wafanyakazi 783 (2011- 712) na Benki hii bado inajitolea kuajiri wafanyakazi bora katika soko hili, kuwapa mshahara mzuri na kuwapa mafunzo wanayohitaji ili kuimarisha na kutoa bidhaa na huduma za juu.

Benki hii itafikia na kuzidi malengo yake mahsusi ikiwa tu wafanyakazi wake wana ari ya kupata ushindi na kudumisha desturi inayohimiza na kuwatuza wafanyabiashara. Kwa msingi huo, mfumo wa utoaji matuzo umeandaliwa ili kuwatuza wanaochangia sana katika viwango vyote vya shirika hili.

USIMAMIZI WA KIUSHIRIKA NA UTAMBUZI

Usimamizi mzuri wa kiushirika ni muhimu katika matokeo thabiti ya kibiashara. Shirika la NIC linajitolea katika kudumisha viwango vya juu vya usimamizi wa kiushirika na mienendo bora iliyo sambamba na sheria na miongozo rasmi ambayo hutolewa na taasisi mbalimbali ambazo huelekeza shughuli na utendakazi wa mashirika. Shirika hili lina mfumo kamilifu wa usimamizi wa shirika, kama ilivyoorodheshwa katika sehemu hii ya ripoti ya Usimamizi wa Shirika, na imeweka mbinu wezeshi ili kudumisha kikamilifu muongozo ulioimarishwa wa kuelekeza mashirika.

Asasi nyingi za kitaalamu zimetambua uwekezaji uliofanywa na NIC Bank Group katika usimamizi thabiti wa kiushirika na, miongoni mwa zawadi zingine, kuzawadiwa katika mwaka wa 2012:

- Benki ya NIC ilikuwa nambari mbili katika Tuzo za Mabingwa wa Usimamizi , ambazo zilidhaminiwa kwa pamoja na Taasisi ya Wahasibu wa Umma Walioidhinishwa nchini Kenya (ICPSK), Benki Kuu ya Kenya, Mamlaka ya Malipo ya Uzeeni na Mamlaka ya Kuelekeza Mashirika ya Bima , miongoni mwa mengine. Katibu Mkuu wa Shirika hili pia aliteuliwa kama Katibu Bora wa Kampuni wa Mwaka huo.
- Benki ya NIC pia ilitajwa kama Mshindi wa Jumla katika Tuzo za Utoaji Ripoti za Kifedha (FiRe) eneo la Afrika Mashariki, zilizowezesha kwa ushirika na Soko la Hisa la Nairobi (NSE), Taasisi ya Wahasibu wa Umma Walioidhinishwa nchini Kenya (ICPAK), na Mamlaka ya Masoko ya Hisa (CMA). Shirika hili pia lilishinda tuzo ya Mshindi wa Jumla katika fani nyingine nne: Kampuni Zilizoorodheshwa katika Soko la Hisa, Benki, Viwango vya Utoaji Ripoti za Kifedha vya Kimataifa (IFRS) na Mshindi wa Jumla nchini Kenya
- Mnamo Oktoba 2012, NIC Capital (Hisa za NIC) iliibuka kama Mshauri Mkuu wa Shughuli za kifedha na ikatajwa kama nambari mbili katika kundi la tuzo la Best Investment Bank (Benki Bora katika Uwekezaji) wakati wa Tuzo za Masoko ya Hisa (Capital Markets Awards).

JUKUMU KWA JAMII

Benki ya NIC imezidi kujitolea katika udumishaji wa jukumu lake la kijamii, kiuchumi, kimazingira na kimaadili na hili linahusisha jinsi lilivyotangamana na washikadau wote. Inajulikana vyema kuwa ufanisi wa Benki hii unahusiana kwa karibu na maslahi na mahitaji ya wenyekazi, wafanyakazi, wateja na jamii inamoendeshea shughuli zake.

Kujitolea kwa jukumu la kishirika kwa jamii linagusa shughuli zote za kibiashara na kulenga matakwa mengine ibuka, kumeelekezwa kwa miradi mbalimbali katika nyanja za elimu, mazingira na michezo.

Katika nyanja ya elimu, Shirika la NIC Bank, lilishirikiana na mashirika mbalimbali, ukiwemo Wakfu wa Palm House na Edumed Trust, ambapo kwa pamoja mashirika haya hushirikiana ili kuendeleza elimu ya watoto wanaotoka katika familia zisizobahatika katika jamii zetu nchini Kenya. Mnamo 2012, Shirika la NIC Bank liliongeza ufadhili wake wa kila mwaka kwa upande wa Wakfu wa Palmhouse. Kwa ufadhili watoto hawa kusoma katika shule za upili na kuwapa mwelekeo, Shirika la NIC Bank huwapa watoto hao na familia zao kuishi maisha mema.

Shirika hili pia husaidia shirika la Junior Achievement Kenya (JAK), ambalo ni kitengo cha kimataifa cha Junior Achievement Worldwide: shirika linalosaidia katika kuwaandaa watoto nchini Kenya kuhusiana na soko la ajira kupitia kwa mipango mbalimbali iliyobuniwa kwa lengo la kuimarisha ufaafu wao kikazi, kutoa elimu kuhusu mafunzo ya masuala ya kifedha na kuimarisha ujuzi wa kibiashara.

TAARIFA YA MWENYEKITI (Continued)

Shirika la NIC Bank pia hutoa mipango ya mazoezi ya kikazi kwa wanafunzi. Mazoezi haya ya kikazi hutoa mazingira ambayo vijana hao wanaweza kujifunza jinsi shirika kubwa kama hili linavyosimamiwa.

Kuhusu mazingira, Shirika hili lilifurahia zaidi kufadhili, kwa mwaka wake wa tatu mfululizo, mpango wa kupanda miti uitwao 'Tupande Pamoja'. Siku yenyewe ya shughuli, mamia ya wafanyakazi wa NIC, pamoja na wawakilishi kutoka Shirika la Mazingira la Umoja wa Mataifa, pamoja na shirika la Huduma za Misititu nchini Kenya, walichukua muda wao kusaidia kuokoa rasilmali asili zilizoharibiwa katika Msitu wa Aberdares.

Shirika la NIC Bank pia linaendelea kutilia maanani uimarikaji wa michezo nchini Kenya. Ukweli ni kwamba wanagofu 1500 kutoka kote nchini walishiriki katika msururu wa kinyang'anyiro cha gofu cha NIC 2012, hii ikiwa ni ithibati tosha ya ufanisi katika fani hiyo.

MIPANGO YA BAADAYE

Mwaka 2013 unaonekana utakuwa na changamoto ikizingatiwa kuwa pamekuwa na sintofahamu kuhusiana na uchaguzi mkuu, udhaifu katika bei za mafuta -kimataifa, mabaki ya athari za mtikisiko wa kiuchumi duniani pamoja na masalio ya malipo yanayohusiana na pengo kuu katika akiba ya kisasa. Shirika la NIC Bank, hata hivyo, litaendelea kutafuta na kutumia vilivyo nafasi ibuka mpya ili kudumisha na kuwezesha thamani ya biashara zake. Haya yote, bila shaka, yatafanyika katika mipaka ya muongozo wa mifumo na harakati thabiti za kukabiliana na hatari katika Shirika hili adhwimu

SHUKRANI

Matokeo mazuri ya Shirika hili katika mwaka 2012 yanatokana na mchango wa washikaadau wetu wengi, wote ambao tunawachukua kama washirika wetu waliochangia pakubwa katika ufanisi uliopatikana mwaka huo.

Kwanza, na kwa niaba ya Shirika zima la NIC Bank, lazima nitoe shukrani zangu za dhati kwa zaidi ya washikadau wetu wote wanaozidi 25,000 kwa uaminifu wao na imani yao, haya yote yakionekana dhahiri kwa vile ununuzi wa Toleo la Hisa la 2012 ulivyozidi kiwango kilichokuwa kimewekwa. Kwa hakika, tunashukuru mno imani yao kwetu, na tutajiamini katika kuendelea kustahili manufaa sawa na haya kwa kudumisha thamani ya uwekezaji wao katika Shirika hili.

Pili, nashukuru wateja wetu wote kwa kuendelea kutuelekeza na kufanya biashara nasi. Tunatambua kwamba wateja wa Shirika hili wana kwingine kwingi na machaguo mengine mengi, na hivyo tunawashukuru sana kwa kuendelea kuwa na imani katika jitihada zetu za kutimiza matakwa yao. Tena, tunajitahidi kustahili imani yao kwa kutoa huduma za viwango vya juu. Kujitolea kwetu na mazingatio kwa mahusiano yetu na wateja kunazidi utoaji huduma za fedha hadi kwa kusaidia wateja wetu wanaojipata katika hali tata. Katika hali ya ugumu wa kiuchumi wa majuzi, tulijizatiti kuimarisha mahusiano yetu na wateja kwa kuwapa huduma za kifedha, ushauri na suluhisho ambazo walihitaji ili kuzidi kuishi na hata kufanikiwa licha ya mazingira yenye changamoto.

Pia tunashukuru sana ushirikiano uliotolewa na washikadau wengine wa Shirika hili, ikiwemo waelekezi wetu: Benki Kuu ya Kenya, Benki ya Tanzania, Benki ya Uganda, Soko la Hisa la Nairobi na Mamlaka ya Masoko ya Hisa.

Viongozi wetu na wafanyakazi wamezikabili changamoto zilizokumba Shirika hili kwa mchango wao mkubwa na kujiamini kwani matunda haya yote yanaonekana katika matokeo yetu mazuri ya kifedha. Tunaonea fahari kuu kikosi kizima cha Benki ya NIC na kuwashukuru sana kwa jitihada zao na uaminifu.

Nikitamatisha, ningependa kuwashukuru wakurugenzi wenzangu wakuu kwa muda na jitihada zao walizotoa kwa kazi hii na majadiliano ya Bodi na kamati zake. Ushauri wao na maelekezo yao yalitekeleza wajibu mkubwa katika mafanikio makuu ya Shirika la NIC Bank.

J P M Ndegwa
Mwenyekiti

20 Februari 2013

THE BOARD OF DIRECTORS



**James P M Ndegwa - Age: 49
Chairman (Non-Executive)**

Mr. Ndegwa holds an MA (Hons) degree from Oxford University, UK, and is an Associate of the Chartered Insurance Institute, UK. He is the Chairman of First Chartered Securities Limited and a director of several companies. Prior to his present position, he was the Managing Director of Lion of Kenya Insurance Company until 2003. He joined the Board on 19th November 2003 and was appointed Chairman in 2005.



**Frederick M Mbiru - Age: 75
Vice Chairman (Non-Executive,
Independent)**

Mr. Mbiru holds a BA (Hons) degree from Makerere University and is an Associate of the Chartered Institute of Bankers. He is currently a Management Consultant and a director of several companies having retired as General Manager of Barclays Bank of Kenya in 1993. He joined the Board on 16th February 1993.



**James W Macharia Age: 53
Group Managing Director (Executive)**

Mr. Macharia holds a B. Comm (Hons) degree from University of Nairobi and an MBA from Henley Management College, UK. He is a Chartered Accountant (Institute of Chartered Accountants in England and Wales), as well as a Certified Public Accountant (Institute of Certified Public Accountants of Kenya). He has been Managing Director of various companies within the African Banking Corporation (ABC) Group in both Zambia and Tanzania. He joined NIC in May 2005 as Managing Director and was appointed to the Board on 1st May 2005.



**Alan J Dodd - Age: 57
Executive Director**

Mr. Dodd holds a BA (Hons) degree in Economics from Portsmouth University, UK. He is an Associate of the Chartered Institute of Bankers. He has extensive regional and international banking experience covering East and Southern Africa, the Middle East and Asia. He joined NIC Bank in January 2006 as Director, Corporate Banking, and was appointed to the Board on 22nd February 2006.



**George A Maina Age: 61
Director - (Non-Executive,
Independent)**

Mr. Maina holds a B. Tech (Hons) degree in Aeronautical Engineering and Design from Loughborough University, UK. He is currently a Business Consultant and a director of several companies. He has extensive experience in the oil industry in Africa, the Caribbean and Central America including being Managing Director of Kenya Shell and BP Kenya Limited from 1998 to 2002. He joined the Board on 1st June 2002.

THE BOARD OF DIRECTORS



**Francis N Mwanzia - Age: 68
Director (Non-Executive,
Independent)**

Mr. Mwanzia holds a B. Comm (Hons) degree from University of Nairobi and is a qualified member of the Association of Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICPSK. He is currently a businessman having retired as Group Financial Controller and Company Secretary of NAS Airport Services in 1999. He joined the Board on 3rd August 1995.



**Michael L Somen - Age: 76
Director (Non-Executive,
Independent)**

Mr. Somen is a Barrister-at-Law, Grays Inn, England, and holds an MBA (Hons) degree from Brasenose College, Oxford. He is an Advocate of the High Court of Kenya. He retired in 2002 as Senior Partner of Hamilton Harrison & Mathews Advocates but remained as a consultant with the firm until 2010. He joined the Board on 21st February 2001.



**Andrew S M Ndegwa - Age: 45
Director (Non-Executive)**

Mr. Ndegwa holds an MA (Hons) degree in Philosophy, Politics and Economics from Oxford University, UK. He is the Executive Director of First Chartered Securities Limited and a director of several companies. He previously worked for Citibank and AMBank until 1995. He joined the NIC Board on 23rd April 1997.



**Paras V Shah - Age: 39
Director (Non-Executive,
Independent)**

Mr. Shah, is a lawyer by profession and a Certified Public Secretary. He holds an LLB (Hons) degree, from King's College London, Diploma in legal practice from the College of Law, London, Diploma in Legal practice from Kenya School of Law and Diploma in Management from Henley School of Management. He is an Advocate of the High Court of Kenya and currently a partner of Hamilton Harrison & Mathews Advocates. He joined the NIC Board on 23rd February 2010.



**I Ochola - Wilson - Age: 64
Director (Non-Executive,
Independent)**

Mrs. Ochola-Wilson holds a BA degree from Dar-es-Salaam University and an MBA from University of British Columbia, Canada. She is currently a Business Consultant having retired as a Project Manager for DFID's Business Partnership Programme in 2005. She joined the Board on 5th November 1999.



**Livingstone Murage - Age: 55
Group Company Secretary**

Mr. Murage holds a B. Comm (Hons) degree from University of Nairobi and is a Certified Public Accountant and a Certified Public Secretary. He is also a member of ICPAK and ICPSK. He previously worked for PricewaterhouseCoopers and Mobil Oil before joining the banking sector in 1986. He was appointed Company Secretary on 2nd September 1999.

SENIOR MANAGEMENT



1. **James W. Macharia** - Group Managing Director. 2. **Alan J. Dodd** - Executive Director 3. **Livingstone Murage** - Group Company Secretary. 4. **Chege Thumbi** - Director, Technology and Operations. 5. **Sankul Mandavia** - Director, Treasury. 6. **David Kiambi** - Director, Human Resources. 7. **Joseph Mutugu** - Director, Finance and Strategy. 8. **James Wanyika** - Director, Credit Risk. 9. **Edgar Kalya** - Director, Retail Banking. 10. **James Muchiri** - Managing Director, NIC Bank, Tanzania. 11. **John Okulo** - Managing Director, NC Bank Uganda. 12. **Margaret Kimuma** - Head of Credit Risk. 13. **Violet Wasunna** - Head of Institutional Banking. 14. **Maurice Opiyo** - Ag. Managing Director, NIC Capital. 15. **Catherine Karita** - General Manager, NIC Securities. 16. **Faith Kiura** - General Manager, NIC Insurance Agents.

CORPORATE INFORMATION

DIRECTORS

J P M Ndegwa - Chairman
 F M Mbiru - Vice Chairman
 J W Macharia - Group Managing Director
 A Dodd*
 G A Maina
 F N Mwanzia
 A S M Ndegwa
 I Ochola-Wilson
 M L Somen
 P V Shah

*British

AUDIT COMMITTEE

F N Mwanzia - Chairman
 F M Mbiru
 I Ochola-Wilson

NOMINATIONS COMMITTEE

J P M Ndegwa - Chairman
 G A Maina
 M L Somen
 I Ochola-Wilson

CREDIT RISK COMMITTEE

F M Mbiru - Chairman
 F N Mwanzia
 A S M Ndegwa
 M L Somen
 P V Shah

HUMAN RESOURCES AND COMPENSATION COMMITTEE

I Ochola-Wilson - Chairman
 F M Mbiru
 A S M Ndegwa

EXECUTIVE COMMITTEE

A S M Ndegwa - Chairman
 G A Maina
 M L Somen
 P V Shah

REGISTERED OFFICE

NIC House
 Masaba Road
 P O Box 44599
 Nairobi - GPO 00100

RISK MANAGEMENT COMMITTEE

G A Maina - Chairman
 F M Mbiru
 I Ochola-Wilson

REGISTRARS AND TRANSFERS OFFICE

Custody & Registrars Services Limited
 6th Floor, Bruce House
 Standard Street
 P.O Box 8484
 Nairobi - GPO 00100

GROUP COMPANY SECRETARY

L Murage
 Certified Public Secretary (Kenya)
 NIC House, Masaba Road
 P O Box 44599
 Nairobi - GPO 00100

AUDITORS

Deloitte & Touche
 Certified Public Accountants (Kenya)
 Deloitte Place
 Waiyaki Way, Muthangari
 P O Box 40092
 Nairobi - GPO 00100

STATEMENT ON CORPORATE GOVERNANCE

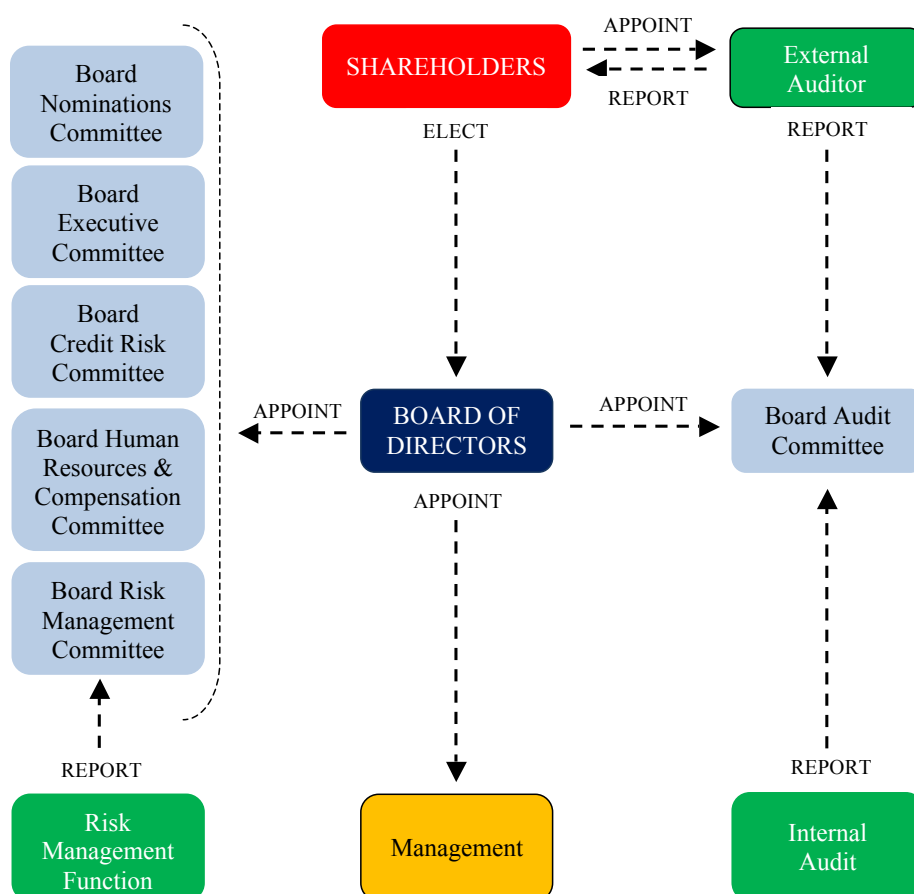
The role and conduct of the financial services industry has come under increased focus and scrutiny in recent years. This is particularly so as a result of the high profile malpractices and corporate failures that almost led to the collapse of the financial industry in different parts of the world, and the devastating effect that these had on those economies and society. Some of these malpractices and failures have been brought about by perceived breakdowns in the corporate governance structures in the affected institutions. These include:

- The use of inappropriate compensation and reward structures that promoted imprudent risk taking and increased focus on short-term gain at the expense of the long-term stability of the institution
- The failure of commercial banks to fully understand the risks associated with complex financial structures
- Risk management structures and controls that failed to keep pace with the increased complexity of financial transactions and relationships
- Inadequate disclosures in financial statements about the foreseeable risk factors and about systems for monitoring and managing risk

The strength and wellbeing of the financial system is critical to economic and social development and financial regulators around the world have taken measures to ensure that the failures experienced in the recent past do not recur. The NIC Bank Group's regulators, the Central Bank of Kenya (CBK), the Bank of Tanzania (BOT) and the Bank of Uganda (BOU) have enhanced the regulations and enriched risk management guidelines so that banks can effectively mitigate the myriad of risks to which they are exposed. The Group has fully embraced these changes and remains at the forefront in adopting best practices in corporate governance and risk management in the rapidly evolving financial landscape.

The Board is committed to ensuring that the business is run in a professional, transparent, just and equitable manner so as to protect and enhance shareholder value and satisfy the interests of other stakeholders. In addition to the above considerations, the principles and standards adhered to by the Board, and NIC Bank Group's governance structure, have been developed with close reference to guidelines on corporate governance issued by the Centre for Corporate Governance, the Capital Markets Authority for publicly listed companies in Kenya, the Central Bank of Kenya for the banking industry and other best practices.

NIC Bank Group's governance structure is summarized in the chart below:



STATEMENT ON CORPORATE GOVERNANCE (Continued)

The roles played by each of the above committees are described later in this section of the Annual Report.

During 2012, the Board's focus was geared towards the achievement of compliance with the qualitative aspects of good governance whilst ensuring that implementation matches the needs of the business.

Board size, composition and independence

The Board consists of ten directors, eight of whom are non-executive directors (including the Chairman) and two executive directors. Among the non executive directors are six independent directors. The membership of the Board remained unchanged in 2012.

The non-executive directors are independent of Management. Their role is to advise, constructively challenge and monitor the success of Management in delivering the agreed strategy within the risk appetite and control framework that is set by the Board.

The Board is well composed in terms of the range and diversity of skills, background and experience of directors, and has an appropriate balance of executive, non executive and independent directors. In recognition that there are other skills, backgrounds and professions that will be useful to the Group, particularly as the business expands into new sectors and territories, the company's Articles of Association were amended during the last Annual General Meeting to increase the maximum number of directors from ten to thirteen persons. In 2013, the Nomination Committee will recommend new Directors for appointment in order to both enhance the diversity of the Board and also prepare for its rejuvenation in a planned and orderly manner.

The directors' abridged biographies appear on pages 22 and 23 of this Annual Report

All the non-executive directors are subject to retirement by rotation and must seek re-election by shareholders at least once every three years in accordance with the Articles of Association. Any director appointed during the year is required to retire and seek re-election at the next Annual General Meeting.

Board Responsibilities

The Board's principal duty is to promote the long-term success of the Group by creating and delivering sustainable shareholder value. The Board Charter defines the governance parameters within which the Board exists and operates, sets out specific responsibilities to be discharged by the Board, its committees and directors collectively, as well as certain roles and responsibilities incumbent upon directors as individuals.

A summary of the Board's responsibilities is as follows:

- Providing entrepreneurial leadership to the Group within a framework of prudent and effective controls which enable risk to be assessed and managed,
- Strategy formulation and ensuring that there are adequate policies, systems and structures to successfully implement the Group strategies,
- Monitoring the Group's performance against strategic plans and objectives on an ongoing basis, as well as through mandatory quarterly meetings,
- Approval for publication of quarterly financial statements,
- The selection, appointment and appraisal of senior executives officers who are qualified and competent to manage the affairs of the Group effectively,
- Approval of the risk management framework and ensuring that there are adequate structures and systems to identify, measure and monitor the key risks facing the Group, including compliance related risks,
- Reviewing the effectiveness of the systems for monitoring and ensuring compliance with laws and regulations,
- Determining the terms of reference of all board committees and reviewing of reports and minutes of the committees,
- Reviewing and monitoring the Group's corporate governance policies and practices,

STATEMENT ON CORPORATE GOVERNANCE (Continued)

- Reviewing the Group's capital levels to ensure that there is adequate capacity for the planned growth and expansion within the strategic cycle, and approving major capital expenditure, acquisitions and divestitures.

Chairman and Group Managing Director

The roles and responsibilities of the Chairman of the Board and the Group Managing Director remain distinct and separate. The Chairman provides overall leadership to the Board without limiting the principles of collective responsibility for Board decisions. The Group Managing Director is responsible to the Board and takes responsibility for the effective and efficient running of the Group and its subsidiaries on a day-to-day basis.

The Deputy Chairman deputises for the Chairman at meetings of the Board and supports him in his role.

Board Remuneration

Non executive-directors are paid a monthly fee, together with a sitting allowance for every meeting attended. They are not eligible for pension scheme membership and do not participate in any of the Company's remuneration schemes.

Details of the directors' fees for the non-executive directors and remuneration of the executive directors paid in 2012 are set out on page 110 and 111.

Directors' Shareholding

None of the directors as at the end of year 2012 held shares in their individual capacity that were more than 1% of the Company's total equity.

Board and Strategy Meetings

The Board and its committees meet regularly in accordance with business requirements. All directors participate in discussing strategy, performance and the financial and risk management of the Group. Meetings of the Board are structured to allow sufficient time for consideration of all matters and the Chairman encourages constructive challenge and debate.

The Board Work Plan together with the calendar of meetings for 2012 were fixed in advance and provided to all directors. Adequate notice was given for each meeting and the agenda and supporting papers were distributed in advance of all Board and committee meetings to allow time for appropriate review and to facilitate full discussion at all meetings.

In 2012 four scheduled Board meetings were held, in addition to a special Board meeting convened to review the required additional capital injection in NIC Bank Tanzania and the resultant shareholding structure. In 2012, the full Board also attended a one day retreat with Senior Management to review the status / progress and implementation of the current 2012-2014 Strategic Plan.

The Board has ownership over the Group's strategic direction. At each Board meeting progress towards the targets of the approved business plans is reviewed and guidance provided to senior management as appropriate.

The Board regularly reviews reports on progress against financial objectives, business developments and investor and external relations. The chairpersons of Board committees report at each meeting of the Board on the activities of the committees since the previous Board meeting. The Board receives regular reports and presentations from the Group Managing Director on the macroeconomic environment and the impact on banking business, a review of the financial services industry and the regulatory environment, strategy and business development and the financial performance of the banking industry. Regular reports are also provided to the Board on the Group's risk appetite profile, top and emerging risks, risk management, liquidity, litigations, compliance, and any reputational issues. Members of executive management are regularly invited to attend Board and committee meetings as required and make presentations to give the directors greater insight into specific business areas.

With the growth and further diversification of the Group's business, the reporting format, which embraces greater use of modern technology was reviewed and amended in 2012 so as to better manage the volume of work and information involved.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

Significant milestones and developments for NIC Bank Group during 2012 include;

- The Rights Issue of KES 2 billion, which had a 338% performance rate.
- The launch of NC Bank Uganda with an investment of KES 1.1 billion.
- The rollout of the new core banking system, T24 provided by Temenos, at a cost of U.S. Dollars 8.6 million.

Directors are at complete liberty to communicate directly with senior management with a view to clarify any issues affecting the Group.

The summary of the Board and Board Committee meetings and attendance is shown on page 35.

Directors' external activities and Conflicts of Interest

Directors have a statutory duty to avoid situations in which they have or may have interests that conflict with those of the Group. Business transactions with all parties, directors or their related parties are carried out at arms' length.

In 2012 the directors submitted their annual declarations of interests which included:-

- An acknowledgement that should it come to the attention of a director that a matter concerning the Group may result in a conflict of interest, they are obliged to declare the same and will exclude themselves from any discussion or decision over the matter in question.
- An acknowledgement that should the director be appointed to the Board or acquire a significant interest in a business competing with the Group, the director will be obliged to offer their resignation.
- An acknowledgement that the foregoing also applies to interests of the immediate family members of the directors.

Business transactions with the directors or their related parties are disclosed on page 110 and 111.

Board Structure

The Board operates under a comprehensive structure made up of committees established to assist it in discharging its responsibilities and obligations. The committees assist the Board in carrying out its functions and ensuring that there is independent oversight of internal control and risk management.

The Board has determined the purpose and number of committees required to support it in carrying out its duties and responsibilities and in guiding management. These committees have been established with sets of specific terms of reference, which are continuously reviewed and up-dated. The appointment of the members to these committees draws on the skills and experience of individual directors. The role played by the Board committees has become increasingly important over the years and forms a principal point of contact between the Directors and Management.

The Board committees are namely: Audit; Credit Risk; Executive; Human Resources & Compensation; Nominations and Risk Management. These are supported by five key Management Committees: Executive Management (Excom), Management (Mancom), Assets and Liabilities Management (ALCO), Credit Risk Management and Senior Risk Committees.

All the committees have at least three non-executive directors as members. The chair of the committees must be a non-executive director. The Central Bank of Kenya Prudential Guidelines require that the Chairman of the Board cannot chair the Audit Committee.

At every meeting of the Board the chair of each committee presents an update of its activities, decisions and recommendations of their respective committees since the previous Board meeting.

Membership of the various Board Committees is shown on page 35.

The Group Company Secretary sits in all the Board and committee meetings and is responsible for monitoring and coordinating the completion and dispatch of Board and committee agenda, papers and other briefing materials. All Directors have access to the services and advice of the Group Company Secretary. Details of the skills, experience and expertise of the Group Company Secretary are set out on page 23 of this Report.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

Management and external service providers and experts attend by invitation as circumstances dictate. Directors' attendance of these committees is provided on page 35.

Details of these committees are given here below.

- **Audit Committee**

The Committee plays a vital role in ensuring the integrity of the financial statements prior to the review and approval by the Board. To this end, the Audit Committee reviews the accounting policies, financial reporting and regulatory compliance practices of the Group. The Committee also continually evaluates the effectiveness of the internal control systems.

The Committee is involved in the appointment and supervision of the external auditor and the internal auditor. The Committee receives reports on the findings of the internal and external auditors and management's corrective actions in response to the findings. The Committee meets quarterly and the external auditors are invited to attend whenever necessary but at least once in a year. Each year, the Committee reviews and approves the overall scope and plans for the external audit activities, including the fees which have to be ratified by the shareholders. External audit performance is reviewed annually.

The Committee after every three years invites prequalified audit firms to bid for professional audit and tax services. The audit firms make presentations to the Committee and are evaluated on a set criteria and the Committee recommends to the Board either the reappointment of the existing audit firm or appointment of a new audit firm. The Board then recommends to the shareholders the reappointment of an existing audit firm or the appointment of a new audit firm.

The Audit Committee is involved in the appointment and performance assessment of the Head of Internal Audit, who reports directly to this Committee. The Committee also reviews the overall scope, annual plans and budget for the Internal Audit Function's activities and oversees the alignment of risk management programs and Internal Audit activities. The Committee reviews all key Internal Audit reports and has regular direct access to the Head of Internal Audit.

- **Credit Risk Committee**

The Committee reviews and oversees the overall lending policies of the Group and approves credit applications that are above the approval limits for management. It ensures that there are effective procedures to identify and manage irregular and problem facilities, minimize credit loss and maximize recoveries.

The Committee regularly reviews and recommends to the Board discretionary credit limits for the Board, Credit Risk Committee and Management Credit Risk Committee.

- **Executive Committee**

The Committee assists the Board in discharging its responsibilities relative to strategy, human resources and general operations oversight. The Committee meets regularly to review and recommend for Board approval major capital projects, periodic strategic plans and key policy guidelines as developed by management.

- **Human Resources and Compensation Committee**

The Committee reviews the Human Resources policies and procedures and ensures that they adequately support the Group's strategy. It ensures that the Group's policy of providing remuneration packages that fairly reward staff for their contribution to the business, whilst considering the need to attract, retain and motivate staff of the highest caliber.

The Committee ensures succession plans are in place for senior executive management of the Group. The Committee is also ultimately responsible for developing and approving the compensation structures of management and employees of the Group. These are geared towards minimizing irresponsible and unnecessary risk taking and ensuring that management and employees are motivated to achieve superior performance whilst enhancing the strength and stability of the Group.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

- **Nominations Committee**

The Nominations Committee provides an efficient, effective and reliable mechanism that identifies and recommends to the Board the appointment of individuals to serve as directors of the Group. It conducts regular reviews of the required mix of skills and experience of directors of the Group in order to ensure the effectiveness of the Board and its Committees in meeting the needs of the business.

- **Risk Management Committee**

The Risk Management Committee is responsible for setting the strategic risk parameters through policies / guidelines, tolerance limits, and approving the risk management strategy, significant policies and programs. Thereafter, it monitors compliance with the risk policies, limits and programs. It also reviews the adequacy of the risk management framework in relation to the risks faced by the Group and in comparison to the approved tolerances. The Committee is assisted in these functions by various risk management Committees which undertake both regular and ad-hoc reviews of the Group's risk management environment, the results of which are reported at appropriate levels for review and action.

The risk management policies which are reviewed by the Committee are detailed on pages 68 - 83 and are in line with International Financial Reporting Standards.

Management Committees

A significant factor in the Group's ongoing success is the strength of the management team. Members of the management team bring together a vital combination of leadership skills and extensive banking experience from both local and international exposure. To harness that strength, the Group Managing Director has established Committees to assist him in the management of the Group. These Committees are chaired by the Group Managing Director and include the respective Heads of Department, with other senior managers being co-opted on a need basis. These Committees include:-

- **The Executive Management Committee (EXCOM)**

This Committee meets regularly and at least monthly to discuss strategy formulation and implementation, policy matters and financial performance. It is also charged with the responsibility of ensuring compliance with the regulatory framework and guidelines and adherence to company policy and procedures. This Committee also serves as a link between the Board and Management.

- **The Management Committee (MANCOM)**

This Committee meets monthly to review operational issues of the Group, with emphasis on the assessment and monitoring of the institution's operational risks.

- **The Assets and Liabilities Management Committee (ALCO)**

This Committee meets every month or more frequently when necessary. ALCO, a risk management Committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposit withdrawals can be met as and when they fall due, and that the Group will not encounter difficulties in meeting its obligations or financial liabilities as they fall due. This includes management of operational risks, interest rate, market and exchange rate risks and ensuring compliance with statutory requirements governing liquidity, cash ratio and foreign exchange exposure, and investment policies.

- **The Management Credit Risk Committee**

This Committee meets regularly to approve new credit applications and renewals within the delegated limits set by the Board. The Committee also regularly makes recommendations to the Board Credit Risk Committee on the revision of limits. All approvals are independent of the originating business unit.

- **The Senior Credit Risk Committee**

This Committee meets monthly to review the performance of the Group's lending book and determines the level of provisions required in accordance with the approved policies and regulatory guidelines.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

Board and Directors Effectiveness and Evaluation in 2012

In order to ensure that Board members are effective in their contribution to the management of the Group, it is important that they develop a good understanding of the Group and its operations. This is achieved through various training and development sessions to ensure that they understand the relevant facets of the complex and constantly evolving financial services industry. This is particularly important to ensure that they appreciate all the risks to which the Group is exposed, their impact to the Group and its operations, and how to manage these.

Directors also get further knowledge about the Group through site visits, informal interactions with management and staff, regular in-depth reports and presentations.

In order to assess and improve the capacity, functionality and effectiveness of the Board and its Committees an annual self evaluation review was undertaken. The self evaluation reviews the capacity, functionality and effectiveness of the Board and individual directors during the financial year. The review was also in accordance with the requirements of the Central Bank of Kenya Prudential Guidelines on Corporate Governance.

The evaluation measures the performance of the Board against its key duties and responsibilities, that of its Committees and individual members of the Board.

The evaluation process was conducted through questionnaires and then collated by the Chairman who takes up specific matters with individual directors. The Directors were evaluated against the following criteria amongst others;

- Effective preparation for and participation at meetings of the Board and its Committees.
- Understanding of business and specifically the financial industry, and keeping abreast of the latest developments in the economy generally and particularly the banking sector.
- Communications with fellow directors, management and other stakeholders.
- Ability to take an independent view on matters brought for discussion at Board and Committee meetings.
- Declaration of personal interests and ensuring that they avoid participation in decision making where such interests are discussed.
- Awareness and compliance with regulatory guidelines.
- Regular attendance at Board and Committee meetings.

Overall it is considered that in 2012 the Board and its Committees;

- Carried out their roles and responsibilities satisfactorily.
- Regularly reviewed, formulated and approved the strategic direction of the Group in light of the business environment and regulatory framework.
- Developed appropriate policy guidelines to assist management in decision making.
- Fulfilled their role to the Group's various stakeholders.
- Generally guided and supported the management which has been responsive to the advice provided.

A report on the overall evaluation assessment was submitted to the Central Bank of Kenya in accordance with the Prudential Guidelines on Corporate Governance.

Code of Conduct

The Group has a Code of Conduct that binds both the directors and employees. The NIC Group takes cognizance of the fact that its success is dependent on the environment and the communities in which it operates. The Group policy ensures that its activities meet and exceed the social, economic and environmental expectations of its stakeholders.

The Code of Conduct also includes a chapter on Governance Risk and Compliance that highlights the Group's commitment to having an integrated risk management framework.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

All directors, management and staff of NIC Bank Group must sign an acknowledgement they have read and understood the Code of Conduct. The Code of Conduct, along with our Vision Statement: "To establish long term, profitable customer relationships through the provision of a complete range of banking and financial services"; our Mission Statement: "To be the leading financial services provider to our target market; we are committed to the highest standards of service and to exceeding our stakeholders' expectations"; and our Values: "Integrity, Passion, Responsiveness, Innovation and Professionalism"; guide our ethical decision making and the conduct of our directors, officers, and employees.

The Group encourages employees and officers to raise concerns about ethical conduct and violations of the Code of Conduct. Senior management investigates complaints and takes appropriate action, escalating to the Board Human Resources Committee if necessary. Our whistleblower procedures allow employees to report concerns anonymously, without fear of victimisation.

Relationship with Shareholders

The Group is committed to relating openly with its shareholders by providing regular information on its performance and addressing any areas of concern. This is achieved through quarterly publication of extracts of its financial performance in the daily newspapers in line with the Central Bank of Kenya requirements, publication of annual audited accounts and holding of the Annual General Meeting. The most recently published financial results are also available on the Group's website, www.nic-bank.com. The Group has an interactive website which has all the relevant information relating to the companies.

The Group has engaged the services of a registrar, Custody & Registrar Services, who together with the Group Company Secretary, regularly address issues raised by the shareholders.

Internal Control

The directors acknowledge their responsibility as set out on page 41 for the Group's system of internal financial control, including taking reasonable steps to ensure that adequate systems are being maintained. Internal control systems are designed to meet the particular needs of the Group, and the risks to which it is exposed with procedures intended to provide effective internal financial control. However, it is to be recognized that such a system can only provide reasonable, but not absolute, assurance against material misstatement.

The Board has reviewed the Group's internal control policies and procedures and is satisfied that appropriate controls and procedures are in place.

The Board has put in place a comprehensive risk management framework to identify all key risks, measure these risks, manage the risk positions and determine capital allocations. The policies are integrated in the overall management reporting structure. The Head of the Risk Management and Compliance Department reports directly to the Board's Risk Management Committee.

The Group's performance trend is reported regularly to the Board and includes an analysis of performance against budget and prior periods. The financial information is prepared using appropriate accounting policies which are applied consistently.

The Group has an Internal Audit Department which is an independent function that reports directly to the Board Audit Committee and provides independent confirmation that the Group's business standards, policies and procedures are being complied with. Where found necessary, corrective action is recommended.

The Group also has a Risk Management and Compliance Department which reports to Board Risk Committee that develops and implements the compliance framework while ensuring adherence to the company's policy and regulatory requirements.

Going Concern

The Board confirms the Financial Statements are prepared on a going concern basis, and that the Directors are satisfied that the Group has adequate resources to continue in business for the foreseeable future. In making this assessment, the Directors have considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources.

STATEMENT ON CORPORATE GOVERNANCE (Continued)

SHARE HOLDING PROFILES

The Company, through its Registrar, files returns regularly in line with the requirement of the Capital Markets Authority and the Nairobi Securities Exchange under the listing regulations on transactions related to shareholders.

The number of shareholders as at December 2012 was 25,620 (2011 – 25,186).

A. Principal Shareholders

The top 10 major shareholders, based on the Bank's share register as at December 2012 are as follows: -

Name	Number of Shares	%
First Chartered Securities Ltd	86,021,980	15.84
ICEA Asset Management Ltd A/C 2000	49,642,378	9.14
Livingstone Registrars Ltd	46,781,258	8.62
Rivel Kenya Ltd	45,023,464	8.29
Saimar Ltd	22,431,230	4.13
Amwa Holdings Ltd	11,381,387	2.10
Duncan Nderitu Ndegwa	8,847,867	1.63
Makimwa Consultants Ltd	7,255,174	1.34
Standard Chartered Nominees A/C 9230	6,121,353	1.13
Murwoki Holdings Limited	5,803,770	1.07
Total	289,309,861	53.29

B. Distribution Schedule

Category	Number of Shareholders	Number of Shares	%
1-500 shares	7,625	1,467,772	0.27
501-5,000 shares	14,079	26,835,627	4.94
5,001-10,000 shares	1,739	12,125,953	2.23
10,001-100,000 shares	1,811	50,118,357	9.23
100,001-1,000,000 shares	316	86,633,158	15.96
1,000,001 and over	50	365,803,281	67.37
Total	25,620	542,984,148	100.00

C. Shareholder Profile

Category	Number of Shareholders	Number of Shares	%
Local individual investors	23,869	107,530,918	19.80
Local institutional investors	1,585	425,317,771	78.33
Foreign individual investors	145	3,936,798	0.73
Foreign institutional investors	21	6,198,661	1.14
Total	25,620	542,984,148	100.00

STATEMENT ON CORPORATE GOVERNANCE (Continued)

2012 BOARD & BOARD COMMITTEES MEMBERSHIP AND ATTENDANCE

Director	Classification	Designation		Board	Audit	Credit Risk	Human Resources & Compensation	Executive	Strategy	Risk Management
J P M Ndegwa	Non-executive	Chairman Board	Membership	✓					✓	
			Attendance	5/5					1/1	
F M Mbiru	Non-executive	Chairman Credit Risk Committee	Membership	✓	✓	✓	✓		✓	✓
			Attendance	5/5	5/5	10/10	2/2		1/1	2/2
J W Macharia	Executive	Managing Director	Membership	✓		✓	✓	✓	✓	✓
			Attendance	5/5	5/5	9/10	2/2	2/2	1/1	2/2
G A Maina	Non-executive	Chairman Risk Committee	Membership	✓				✓	✓	✓
			Attendance	5/5				2/2	1/1	2/2
F N Mwanzia	Non-executive	Chairman Audit Committee	Membership	✓	✓	✓			✓	
			Attendance	5/5	5/5	10/10			1/1	
A S M Ndegwa	Non-executive	Chairman Executive Committee	Membership	✓		✓	✓	✓	✓	
			Attendance	5/5		9/10	2/2	2/2	1/1	
I Ochola-Wilson	Non-executive	Chairman Human Resources and Compensation Committee	Membership	✓	✓		✓		✓	✓
			Attendance	5/5	5/5		2/2		1/1	2/2
M L Somen	Non-executive		Membership	✓		✓		✓	✓	
			Attendance	4/5		8/10		2/2	1/1	
P V Shah	Non-Executive		Membership	✓		✓		✓	✓	
			Attendance	4/5		8/10		1/2	1/1	
A Dodd	Executive		Membership	✓		✓	✓	✓	✓	✓
			Attendance	5/5	5/5	10/10	2/2	2/2	1/1	2/2

Notes:

- ✓ - Member of respective committee
- Where a director did not attend a Board or Board Committee meeting, an acceptable apology had been received by the Chairman well in advance of the scheduled meeting.
- The Group Managing Director and Executive Director are not members of the Audit Committee but attend by invitation.
- PV Shah joined the Executive Committee with effect from October 2012.
- The Nominations Committee did not hold a formal meeting during the year.

SUSTAINABILITY STATEMENT

NIC Bank Group views Corporate Social Responsibility as a fundamental aspect of its business. The Group aims to create value for the Company's shareholders whilst making positive contribution to the environment and the communities within which it operates. In 2012, the Group continued to support various initiatives in the areas of Education, Environment, Sports as well as other emerging needs. NIC continued to partner with various trusts to further education and provide mentorship to some of the less privileged but gifted children throughout the country.

EDUCATION

Palm House Foundation

The foundation sponsors students from families that are financially challenged, who have gained admission to national and provincial secondary schools and most of whom have attended poorly equipped rural primary schools.

In 2012, NIC Bank Group increased its annual sponsorship, bringing the total students sponsored through this program to thirty two. The staff took time off to attend organized sessions with the students to provide much needed mentorship and guidance.



Some of the students sponsored by Palmhouse Foundation.

Edumed Trust

Edumed Trust, a Christian charitable trust established in 1996, supports education and medical needs of students from needy families. Edumed currently supports approximately 254 students. In 2012, the Group sponsored an additional six students enrolled in various secondary schools.

Junior Achievement Kenya (JAK)

The Group also supports JAK which is a member of Junior Achievement Worldwide, an organisation that helps prepare young Kenyans for the job market through participation in various programs designed to develop job skills, enhance financial literacy and exploit entrepreneurial skills.

NIC Bank Group on an annual basis also offers internship programs to students. The internships provide valuable on-the-job training that equips students for employment.

ENVIRONMENT

For the fourth year running, the Group conducted the 'Tupande Pamoja' tree planting initiative in December. 'Tupande Pamoja' is an initiative that brings together NIC staff, United Nations Environmental Programme (UNEP), the Kenya Forestry Service (KFS) and the East Africa Wildlife Society (EAWS) to help replenish the depleted natural resources in the Aberdares Forest.

Since 2009 through the 'Tupande Pamoja' initiative, the Group has successfully planted indigenous seedlings covering more than 25 hectares in Nyawmeru Forest (Uplands) in Lari Constituency. In 2012, NIC Bank Group made a further donation towards the rehabilitation of the forest. To ensure survival of the planted seedlings the following measures have been put in place:-



L-R Members of Excom James Wanyika, Chege Thumbi David Kiambi and Customer Service Rep Ms Consolata Ngaca join a community elder in planting seedlings.

SUSTAINABILITY STATEMENT (Continued)

- Community involvement- The Kenya Forest Service allows the local community to plant fast growing food crops in the rehabilitated land. With this arrangement the farmers benefit from the farming proceeds the seedlings are weeded and protected from animals resulting in a 95% survival rate for the seedlings.
- A monitoring system which checks on the growth and survival of the seedlings is conducted by the East African Wildlife Society. Any withered seedlings are uprooted and replaced with a fresh seedling.

SPORTS

NIC Bank Group continues to place a lot of emphasis in promoting the development of sports in Kenya. The NIC 2012 Golf series recorded participation of 1,500 golfers indicating growth in its popularity.

The 10 part series held in major towns around the country was designed to:

- Bring together and expose the regions' industry and corporate individuals to the NIC brand.
- Recognise, reward and appreciate existing clients as well as provide a platform for harnessing new business.
- Differentiate the NIC Bank Group from its peers in the regions.
- Provide networking opportunities for NIC and facilitate one on one interactions between staff and clients.

NIC ENTREPRENEUR CLUB

The NIC Entrepreneur Club was launched in 2010 targeting our medium corporate (SMEs) customers. We aim to equip entrepreneurs with relevant business and practical skills in order to enhance their competitiveness in the market place. The workshops equips entrepreneurs and provides information on emerging opportunities both locally and internationally.

The Club, whose operations are fully funded by the Group, invited speakers who are respected authorities in their fields, share their experiences. A variety of topics ranging from business to health were covered during the workshops.

EMERGING NEEDS

In addition to being a socially responsible corporate, NIC Bank Group participates in emerging needs. Some of the initiatives undertaken under this category include:

• Lewa Safaricom Marathon

NIC Bank Group supported the Safaricom Lewa Marathon held on 30 June 2012 at the Lewa Wildlife Conservancy. Since its inception in 2000, the marathon has raised KES150m (over USD 2,000,000) which has been used in various projects including education, community development, health and wildlife conservation projects.

The marathon is regarded as one of the toughest marathons in the world, and attracts participation from runners of all abilities. Participants range from fun runners, walkers, amateurs and professionals.

• Gertrude's Hospital Foundation

The Group supported the Gertrude's Hospital Foundation to raise funds for more than 5,000 needy and disadvantaged children who rely on the free services offered by Gertrude's Children's Hospital. These children are drawn from children's homes and remote areas in various parts of the country.

• Daisy Eye Cancer Fund

Daisy's Eye Cancer Fund is dedicated to bringing life and sight saving care to Kenya's children with retinoblastoma, a curable eye cancer that currently kills most affected children in Africa. NIC Bank Group donated funds towards the initiative which also ensures that families, medical teams and communities are empowered to become active leaders in developing high quality sustainable care.

SUSTAINABILITY STATEMENT (Continued)

EMPLOYEES

As at 31 December 2012, NIC Bank Group employed 783 employees on a full time basis compared to 712 in 2011. These employees strive to provide world class financial services while upholding the corporate values of being professional, innovative, passionate, responsive and absolute integrity.

• Ethical Standards

The NIC Bank Group conducts business in compliance with high ethical standards of business practice. The Group has a Code of Conduct which outlines the principles and policies that govern the activities of the company and to which all employees and directors must adhere.

Upon engagement, new directors and members of staff are required to sign the Code of Conduct acknowledging that they have read and are committed to abide by it.

• Communication

The NIC Bank Group encourages dialogue and participation from all employees through the internal intranet and through cross functional team-building initiatives. Further, the Group holds an annual staff conference where all staff members meet to discuss the Group's progress and strategic direction.

In 2012, numerous change management initiatives that emanated from the 2010 staff engagement survey were fully implemented in response to employees' expectations. The aim of the survey was to facilitate the development of an enabling work environment through positive engagement with employees. The employees' view of the organisation is an important management tool which provides information useful for creating a conducive work place which fosters both personal and career growth.

• Staff Training & Development

Staff training and development remains central as it is key to the employee's growth. The Group firmly believes that the growth of the business is inextricably bound with the growth of its employees.

In 2012, training continued to focus on departmental technical competencies and people management skills at all levels, including:

- Exceptional Customer Service is considered as one of the Group's core competencies and training was conducted for new and existing staff throughout the year.
- E-learning was also introduced as the latest training medium as the Group embraced technological advancement in the region to communicate, educate and to exceed stakeholders expectations. In 2012, mandatory E-learning courses were introduced for core banking skills such as credit skills and relationship management.
- With the implementation of a new core banking system, T24 provided by Temenos, it was necessary to train all the staff to ensure that everyone was well prepared for T24 once it went live.
- Capacity building has been and will continue to be a key deliverable for the Human Resources Department. In the past year, we focused training resources on developing technical competencies and induction of new employees to ensure that they were integrated into the business seamlessly.

In order to improve the training needs analysis, discussions on skills development have been delinked from the appraisal process to allow for better focus on developmental needs. The objective is to create a direct link between skills development, career growth and succession planning so that employees find relevance in their training needs.

Performance management is a key process and underpins staff engagement initiatives by ensuring that hard work is recognised and rewarded, everybody gets a fair chance, everybody does their fair share and everyone plays by the same rules.

To provide staff with international exposure, the Group has identified overseas strategic partners where high potential, high performing employees are attached and developed.

SUSTAINABILITY STATEMENT (Continued)

With the current employee skill-base, the Group is well positioned to effectively compete both locally and internationally.

- **Health and Safety at work**

The maintenance of appropriate health and safety standards remains a key responsibility of all the line managers and the Group is committed to proactively managing all health and safety risks associated with the business. Our objective is to identify, remove, reduce and control material risks relating to fires, accidents or injuries to employees and customers.

We have a Health and Safety Policy which contains instructions and recommendations aimed at ensuring the health, safety and welfare of our employees and other persons lawfully present in the Group's premises.

It is the Group's policy to provide working conditions which ensure the health, safety and well-being of the staff. The line managers ensure that the policy is carried out and at the same time all members of staff are made aware of their individual responsibilities for their own health and safety, that of their colleagues, customers and any other persons who may be affected by their activities at work.

- **Health and Safety Audit**

In 2012 we had our annual health and safety audit conducted in all our premises.

The audit was carried out with the view of evaluating compliance of the work place and the associated operations with the provisions of the Occupational Safety and Health Act, 2007 and all its relevant subsidiary legislations. The following areas were assessed;

- Work place information
- Management of Occupational Safety and Health policies
- Work place safety, Health and Welfare conditions including safety, occupational hygiene conditions as well as general conditions
- Fire hazards and preparedness
- Emergency response plan.

- **Fire Safety Audit**

Fire Safety Audits are carried out in accordance with provisions of existing fire safety legislation (Fire Risk Reduction Rules, 2007), local standard specifications and applicable codes of practices for fire professionals.

The reports from the audits were favourable. Relevant training including fire marshall and first aid were conducted during the year.

REPORT OF THE DIRECTORS

The Board of Directors has pleasure in submitting the annual report together with the audited financial statements for the year ended 31st December 2012 in accordance with Section 22 of the Banking Act and Section 157 of the Kenyan Companies Act which discloses the state of affairs of the Group and the Bank.

1. ACTIVITIES

The principal activities of the Group are the provision of retail and corporate banking, stock brokerage, bancassurance and investment banking services.

2. RESULTS FOR THE YEAR

The Group profit for the year of KES 3,036,794,000 (2011: KES 2,707,137,000) has been added to revenue reserves.

3. DIVIDENDS

The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, scheduled for 8th May 2013, the payment of a first and final dividend for the year of KES 1.00 (2011 – KES 0.25 interim dividend and KES 0.25 final dividend) for every ordinary share of KES 5. The dividends will be payable to the shareholders registered on the company's register at the close of business on 27th March 2013 and will be paid on or after 8th May 2013. The register will remain closed for one day on 28th March 2013.

4. CAPITAL

The authorized share capital of the Bank was increased from shillings two billion to shillings four billion following the approval by shareholders in the last Annual General Meeting held on 2nd May 2012. During the year, the Group undertook a successful Rights Issue of one share for every four shares held amounting to 98,724,391 shares at KES 21, resulting in increase of capital of KES 493,622,000 and share premium of KES 1,579,590,000. The shareholders approved a Bonus Issue where shareholders received one ordinary share for every ten shares held.

5. NC UGANDA

In line with its regional expansion strategy, the Bank received approval from the shareholders and Bank of Uganda to conduct banking business in Uganda through its wholly owned subsidiary, NC Bank Uganda. The investment is supported by a capital investment of KES 1,138m (Uganda Shillings 30 billion).

6. NIC TANZANIA

The Board of Directors of NIC Bank Tanzania Limited, where NIC Bank owns 51% shareholding, as at 31st December 2012, has approved the raising of additional capital of TZS 8.5 billion (KES 459 million) through a Rights Issue. The Board of Directors of NIC Bank Limited has approved full participation in the Rights Issue which will involve an additional investment of TZS 4,335 million (KES 234 million) in NIC Tanzania. In addition, the Board of Directors approved the acquisition of additional shares from existing shareholders, and the take-up of Rights that are not exercised by existing shareholders. This will involve an investment of TZS 6,925 million (KES 374 million). This brings the total additional investment in NIC Tanzania to TZS 11,261 million (KES 608 million). The rights issue is expected to be concluded by 30th June 2013.

7. DIRECTORS

The directors who held office during the year and to date are shown on page 25. In accordance with articles 108, 109 and 110 of the Articles of Association, J P M Ndegwa, G A Maina and F M Mbiru retire by rotation and, being eligible, offer themselves for re-election.

8. AUDITORS

The auditors, Deloitte & Touche, retire from office at the conclusion of the next Annual General Meeting.

PricewaterhouseCoopers will be appointed auditors of the Company in place of the retiring auditors, Deloitte & Touche, to hold office until the conclusion of the next Annual General Meeting at which accounts are laid before the Company, subject to sections 142 and 160(1) of the Company's Act (Cap 486) and Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap 488).

9. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved and authorised for issue by the Board of Directors on 20th February 2013.

BY ORDER OF THE BOARD

L. Murage
Group Company Secretary
Nairobi,

20th February 2013

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the operating results of the Group for that year. It also requires the directors to ensure that the Bank and its subsidiaries keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the Group and the Bank. They are also responsible for safeguarding the assets of the Group.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs and financial performance of the Group and the Bank. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the Bank and its subsidiaries will not remain going concerns for at least the next twelve months from the date of this statement.

J P M NDEGWA
(Chairman)

J W MACHARIA
(Group Managing Director)

20th February 2013

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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF NIC BANK LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of NIC Bank Limited and its subsidiaries, set out on pages 43 - 117, which comprise the consolidated and Bank statements of financial position as at 31st December 2012, and the consolidated and Bank statements of comprehensive income, consolidated and Bank statements of changes in equity and consolidated and Bank statements of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the Bank and its subsidiaries as at 31st December 2012, and of their profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- i) we have obtained all the information and explanations, which to the best of our knowledge and belief, were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the Bank, so far as appears from our examination of those books; and
- iii) the Bank's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss account) are in agreement with the books of account.

Delotte & Touche
Certified Public Accountants (Kenya)
20th February 2013
Nairobi

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2012

BANK			GROUP		
2012	2011			2012	2011
Shs'000	Shs'000		Note	Shs'000	Shs'000
10,446,405	6,285,410	Interest income	7	11,467,574	6,831,580
(5,526,845)	(2,337,059)	Interest expense	8	(5,983,706)	(2,552,092)
4,919,560	3,948,351	NET INTEREST INCOME		5,483,868	4,279,488
939,747	883,737	Fee and commission income	9 (a)	1,053,113	1,016,583
(57,918)	(51,257)	Fee and commission expense	9 (b)	(64,273)	(58,400)
881,829	832,480	NET FEE AND COMMISSION INCOME		988,840	958,183
1,291,926	930,949	Net trading income	10	1,323,271	1,011,720
263,044	164,792	Other operating income	11	520,146	353,343
7,356,359	5,876,572	OPERATING INCOME		8,316,125	6,602,734
(265,264)	(249,166)	Impairment on loans and advances	12 (c)	(297,485)	(258,151)
(1,592,554)	(1,326,585)	Employee expenses	13	(1,978,651)	(1,598,250)
(270,943)	(178,831)	Depreciation and amortisation	14 (a)	(317,932)	(198,788)
(916,649)	(761,388)	Other operating expenses	14 (b)	(1,204,090)	(942,597)
(3,045,410)	(2,515,970)	OPERATING EXPENSES		(3,798,158)	(2,997,786)
4,310,949	3,360,602	PROFIT BEFORE TAX		4,517,967	3,604,948
(1,403,087)	(827,554)	Income tax expense	15 (a)	(1,481,173)	(897,811)
2,907,862	2,533,048	PROFIT FOR THE YEAR		3,036,794	2,707,137
		OTHER COMPREHENSIVE INCOME:			
406,377	(340,569)	Fair value gain / (loss) on available for sale financial assets net of deferred tax	36 (c)	406,377	(340,569)
-	-	Exchange differences on translation of foreign operations	36 (d)	(335,010)	(8,371)
406,377	(340,569)	OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX		71,367	(348,940)
3,314,239	2,192,479	TOTAL COMPREHENSIVE INCOME FOR THE YEAR		3,108,161	2,358,197
		Profit for the year attributable to:			
2,907,862	2,533,048	Equity holders of the Bank		2,984,406	2,652,458
-	-	Non-controlling interests		52,388	54,679
2,907,862	2,533,048			3,036,794	2,707,137
		Total comprehensive income attributable to:			
3,314,239	2,192,479	Equity holders of the Bank		3,055,773	2,303,518
-	-	Non-controlling interests		52,388	54,679
3,314,239	2,192,479			3,108,161	2,358,197
		EARNINGS PER SHARE			
Shs 5.87	Shs 5.29	- BASIC	16	Shs 6.03	Shs 5.54
Shs 5.87	Shs 5.29	- DILUTED	16	Shs 6.03	Shs 5.54

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STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2012

BANK			GROUP		
2012 Shs'000	2011 Shs'000		Note	2012 Shs'000	2011 Shs'000
ASSETS					
5,963,269	4,764,626	Cash and balances with Central Banks	17	7,050,962	5,638,916
375,240	250,024	Items in the course of collection	18	429,545	281,796
6,569,964	4,486,475	Due from banking institutions	19	8,188,716	5,692,655
16,222,431	7,216,755	Government securities	20	17,478,232	7,500,288
78,724	474,068	Derivative assets held for risk management	21	83,123	474,068
66,381,215	52,025,475	Loans and advances to customers	22	71,540,092	56,624,621
615,156	246,508	Other assets	23	913,742	335,487
-	-	Current income tax recoverable	15 (c)	17,860	8,690
1,603,250	1,360,846	Due from group companies	24	-	-
2,285,324	1,147,786	Investments	25	243,931	52,932
241,808	348,946	Deferred tax asset	26	257,632	361,842
785,612	851,768	Property and equipment	27	1,009,891	967,988
642,337	400,544	Intangible assets	28	1,127,492	1,037,222
7,375	7,500	Operating lease prepayments	29	7,375	7,500
101,771,705	73,581,321	Total assets		108,348,593	78,984,005
LIABILITIES					
77,466,042	62,008,953	Customer deposits	30	83,379,576	66,293,053
3,044,959	206,149	Due to banking institutions	31	3,571,280	788,647
3,655,414	190,280	Lines of credit	32	3,655,414	190,280
610,360	322,115	Due to group companies	33	-	-
382,138	223,321	Current income tax payable	15 (c)	383,325	229,538
1,494,231	674,738	Other liabilities	34	1,823,422	903,629
53,954	55,905	Unclaimed dividends	35	53,954	55,905
86,707,098	63,681,461	Total liabilities		92,866,971	68,461,052
EQUITY					
Capital and reserves attributable to equity holders of the Bank					
2,714,921	1,974,488	Share capital	36 (a)	2,714,921	1,974,488
1,208,799	-	Share premium	36 (a)	1,208,799	-
155,083	159,864	Revaluation surplus on property	36 (b)	155,083	159,864
(30,787)	(437,164)	Investments revaluation reserve	36 (c)	(30,787)	(437,164)
-	-	Foreign currency translation reserve	36 (d)	(414,094)	(79,084)
637,174	507,519	Statutory credit risk reserves	36 (e)	687,543	533,581
10,379,417	7,695,153	Revenue reserves	36 (f)	10,638,623	7,902,122
15,064,607	9,899,860	Total capital and reserves attributable to equity holders of the Bank		14,960,088	10,053,807
-	-	Non-controlling interests	37	521,534	469,146
15,064,607	9,899,860	Total equity		15,481,622	10,522,953
101,771,705	73,581,321	Total liabilities and equity		108,348,593	78,984,005

The financial statements on pages 43 to 117 were approved and authorised for issue by the Board of Directors on 20th February 2013 and were signed on its behalf by:

J P M NDEGWA
(Chairman)

F N MWANZIA
(Director)

J W MACHARIA
(Group Managing Director)

L MURAGE
(Group Company Secretary)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2012

	Non-distributable					Distributable					
Note	Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Foreign currency translation reserve Shs'000	Statutory credit risk reserves Shs'000	Revenue reserves Shs'000	Capital and reserves attributable to equity holders of the Bank Shs'000	Non-controlling interests Shs'000	Total equity Shs'000	
At 1 January 2011	1,794,989	28,848	164,645	(96,595)	(70,713)	369,372	5,748,216	7,938,762	414,467	8,353,229	
Profit for the year	-	-	-	-	-	-	2,652,458	2,652,458	54,679	2,707,137	
Other comprehensive income for the year:											
Prior year deferred tax adjustment on available-for-sale financial assets net of deferred tax	-	-	-	(28,979)	-	-	-	(28,979)	-	(28,979)	
Fair value loss on available-for-sale financial assets net of deferred tax	-	-	-	(311,590)	-	-	-	(311,590)	-	(311,590)	
Exchange differences on translation of foreign operations	-	-	-	-	(8,371)	-	-	(8,371)	-	(8,371)	
Transfer of excess depreciation	-	-	(6,830)	-	-	-	6,830	-	-	-	
Deferred tax on excess depreciation	-	-	2,049	-	-	-	(2,049)	-	-	-	
Transfer to statutory reserve	-	-	-	-	-	164,209	(164,209)	-	-	-	
Total comprehensive income for the year	-	-	(4,781)	(340,569)	(8,371)	164,209	2,493,030	2,303,518	54,679	2,358,197	
Transactions with owners, recorded directly through equity											
Bonus issue of shares	179,499	(28,848)	-	-	-	-	(150,651)	-	-	-	
Dividends paid:											
- Final for 2010	-	-	-	-	-	-	(89,749)	(89,749)	-	(89,749)	
- Interim 2011	-	-	-	-	-	-	(98,724)	(98,724)	-	(98,724)	
At 31 December 2011	1,974,488	-	159,864	(437,164)	(79,084)	533,581	7,902,122	10,053,807	469,146	10,522,953	
At 1 January 2012	1,974,488	-	159,864	(437,164)	(79,084)	533,581	7,902,122	10,053,807	469,146	10,522,953	
Profit for the year	-	-	-	-	-	-	2,984,406	2,984,406	52,388	3,036,794	
Other comprehensive income for the year:											
Fair value gain on available-for-sale financial assets net of deferred tax	-	-	-	406,377	-	-	-	406,377	-	406,377	
Exchange differences on translation of foreign operations	-	-	-	-	(335,010)	-	-	(335,010)	-	(335,010)	
Transfer of excess depreciation	-	-	(6,830)	-	-	-	6,830	-	-	-	
Deferred tax on excess depreciation	-	-	2,049	-	-	-	(2,049)	-	-	-	
Transfer to statutory reserve	-	-	-	-	-	153,962	(153,962)	-	-	-	
Total comprehensive income for the year	-	-	(4,781)	406,377	(335,010)	153,962	2,835,225	3,055,773	52,388	3,108,161	
Transactions with owners, recorded directly through equity											
Bonus issue of shares	246,811	(246,811)	-	-	-	-	-	-	-	-	
Rights issue of shares	493,622	1,579,590	-	-	-	-	-	2,073,212	-	2,073,212	
Bonus and rights issue expenses	-	(123,980)	-	-	-	-	-	(123,980)	-	(123,980)	
Dividends paid:											
- Final for 2011	-	-	-	-	-	-	(98,724)	(98,724)	-	(98,724)	
At 31 December 2012	2,714,921	1,208,799	155,083	(30,787)	(414,094)	687,543	10,638,623	14,960,088	521,534	15,481,622	

BANK STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2012

Non-distributable ← → Distributable

Note	Share capital Shs'000	Share premium Shs'000	Revaluation surplus on property Shs'000	Investments revaluation reserve Shs'000	Statutory credit risk reserve Shs'000	Revenue reserves Shs'000	Total Equity Shs'000
At 1 January 2011	1,794,989	28,848	164,645	(96,595)	366,056	5,637,911	7,895,854
Profit for the year	-	-	-	-	-	2,533,048	2,533,048
Prior year deferred tax adjustment on available-for-sale financial assets net of deferred tax	-	-	-	(28,979)	-	-	(28,979)
Fair value loss on available-for-sale financial assets net of deferred tax	-	-	-	(311,590)	-	-	(311,590)
Transfer of excess depreciation	-	-	(6,830)	-	-	6,830	-
Deferred tax on excess depreciation	-	-	2,049	-	-	(2,049)	-
Transfer to statutory reserve	-	-	-	-	141,463	(141,463)	-
Total comprehensive income for the year	-	-	(4,781)	(340,569)	141,463	2,396,366	2,192,479
Transactions with owners, recorded directly through equity							
Bonus issue of shares	179,499	(28,848)	-	-	-	(150,651)	-
Dividends paid:	-	-	-	-	-	(89,749)	(89,749)
- Final for 2010	-	-	-	-	-	(98,724)	(98,724)
- Interim 2011	-	-	-	-	-	-	-
At 31 December 2011	1,974,488	-	159,864	(437,164)	507,519	7,695,153	9,899,860
At 1 January 2012	1,974,488	-	159,864	(437,164)	507,519	7,695,153	9,899,860
Profit for the year	-	-	-	-	-	2,907,862	2,907,862
Fair value gain on available-for-sale financial assets net of deferred tax	-	-	-	406,377	-	-	406,377
Transfer of excess depreciation	-	-	(6,830)	-	-	6,830	-
Deferred tax on excess depreciation	-	-	2,049	-	-	(2,049)	-
Transfer to statutory reserve	-	-	-	-	129,655	(129,655)	-
Total comprehensive income for the year	-	-	(4,781)	406,377	129,655	2,782,988	3,314,239
Transactions with owners, recorded directly through equity							
Rights issue	493,622	1,579,590	-	-	-	-	2,073,212
Bonus and rights issue expenses	-	(123,980)	-	-	-	-	(123,980)
Bonus issue of shares	246,811	(246,811)	-	-	-	-	-
Dividends paid:	-	-	-	-	-	(98,724)	(98,724)
- Final for 2011	-	-	-	-	-	-	-
At 31 December 2012	2,714,921	1,208,799	155,083	(30,787)	637,174	10,379,417	15,064,607

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2012

Bank			Group		
2012 Shs'000	2011 Shs'000		Note	2012 Shs'000	2011 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES					
4,863,667	1,061,287	Cash generated from operations	39 (a)	5,343,733	692,663
(1,311,294)	(950,051)	Income tax paid	15 (c)	(1,406,507)	(1,020,833)
3,552,373	111,236	Net cash generated from / (used in) operating activities		3,937,226	(328,170)
CASH FLOWS FROM INVESTING ACTIVITIES					
(1,137,538)	-	Investment in NC Uganda	25 (a)	-	-
(107,554)	(307,052)	Purchase of equipment	27	(258,698)	(375,026)
(339,005)	(306,759)	Purchase of intangible assets	28 (a)	(455,620)	(311,238)
290	990	Proceeds from sale of motor vehicle and equipment	39 (c)	688	1,012
(1,583,807)	(612,821)	Net cash used in investing activities		(713,630)	(685,252)
CASH FLOWS FROM FINANCING ACTIVITIES					
(100,675)	(182,749)	Dividends paid	35	(100,675)	(182,749)
2,073,212	-	Rights Issue of shares	36 (a)	2,073,212	-
(123,980)	-	Bonus and rights issue expenses	36 (a)	(123,980)	-
1,848,557	(182,749)	Net cash generated from / (used in) financing activities		1,848,557	(182,749)
3,817,123	(684,334)	NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS		5,072,153	(1,196,171)
6,179,353	6,863,687	CASH AND CASH EQUIVALENTS AT 1 JANUARY		7,055,642	8,254,584
-	-	Effect of foreign exchange rate changes		(17,646)	(2,771)
9,996,476	6,179,353	CASH AND CASH EQUIVALENTS AT 31 DECEMBER	39 (b)	12,110,149	7,055,642

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NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2012

1) Reporting Entity

NIC Bank Limited (The "Bank/Parent") and its subsidiaries (together, the Group) provide retail, corporate banking, brokerage, bancassurance and investment banking services. NIC Bank Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The Bank's shares are listed on the Nairobi Securities Exchange (NSE). NIC Bank Limited and its subsidiaries operate in Kenya, Tanzania and in Uganda through its subsidiary NIC Bank Tanzania Limited and NC Uganda Limited.

The address of its registered office is as follows:

**LR Plot No.8182
NIC House, Masaba Road
P O Box 44599
Nairobi-GPO 00100**

2) Standards and interpretations affecting the reported result or financial position

Adoption of new and revised International Financial Reporting Standards (IFRSs)

(i) *New standards and amendments to published standards effective for the year ended 31 December 2012*

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

Amendments to IFRS 7 Disclosures –
Transfers of Financial Assets

The amendments to IFRS 7 increase the disclosure requirements for transactions involving transfers of financial assets. These amendments are intended to provide greater transparency around risk exposures of transactions where a financial asset is transferred but the transferor retains some level of continuing exposure in the asset.

The application of the amendment had no effect on the Group's financial statements as the Group did not transfer any such financial assets during the year.

Amendments to IAS 12 Deferred Tax:
Recovery of Underlying Assets

The amendments to IAS 12 provide an exception to the general principle set out in IAS 12 Income Taxes that the measurement of deferred tax should reflect the manner in which an entity expects to recover the carrying amount of an asset. Specifically, the amendments establish a rebuttable presumption that the carrying amount of an investment property measured using the fair value model in IAS 40 Investment Property will be recovered entirely through sale. The amendments were issued in response to concerns that application of IAS 12's general approach can be difficult or subjective for investment property measured at fair value because it may be that the entity intends to hold the asset for an indefinite or indeterminate period of time, during which it anticipates both rental income and capital appreciation.

The application of the amendments had no effect on the Group's financial statements as the Group had no investment property in its statement of financial position.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

2) Standards and interpretations affecting the reported result or financial position (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

(ii) New standards and amendments to published standards effective for the year ended 31 December 2012 (continued)

Amendments to IFRS 1 Severe Hyperinflation	The amendments regarding severe hyperinflation provide guidance for entities emerging from severe hyperinflation either to resume presenting IFRS financial statements or to present IFRS financial statements for the first time
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The amendments had no effect on the Group's financial statements as the Group did not trade in such hyperinflation environment.

(iii) New and amended standards and interpretations in issue but not yet effective in the year ended 31 December 2012

	Effective for annual periods beginning on or after
IFRS 7, Amendments-Disclosure: offsetting financial assets and financial liabilities	1 January 2013
IFRS 9, Financial Instruments (as revised in 2010)	1 January 2015
IFRS 10, Consolidated Financial Statements	1 January 2013
IFRS 11, Joint Arrangements	1 January 2013
IFRS 12, Disclosure of Interests in Other Entities	1 January 2013
IFRS 13, Fair Value Measurement	1 January 2013
IAS 19, Employee Benefits (2011) - Revised requirements for pensions and other post retirement benefits, termination benefits and other changes.	1 January 2013
IAS 27, Separate Financial Statements (as revised in 2011)	1 January 2013
IAS 28, Investments in Associates and Joint Ventures	1 January 2013
IAS 32, Financial Instruments: Presentation - Amendments to application guidance on the offsetting of financial assets and financial liabilities	1 January 2014

(iii) Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 31 December 2012 and future annual periods

• IFRS 9: Financial Instruments

IFRS 9 Financial Instruments issued in November 2010 and amended in October 2010 and December 2011 introduces new requirements for the classification and measurement of financial assets.

IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.

The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

2) Standards and interpretations affecting the reported result or financial position (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

(iii) *Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 31 December 2012 and future annual periods (continued)*

• IFRS 9: Financial Instruments (continued)

Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss was recognised in profit or loss.

IFRS 9 is effective for annual periods beginning on or after 1st January 2015, with earlier application permitted.

The directors anticipate that IFRS 9 will be adopted in the company's financial statements for the annual period beginning 1st January 2015 and that the application of IFRS 9 may have a significant impact on amounts reported in respect of the Group's financial assets and financial liabilities (e.g the Group will classify financial assets as subsequently measured at either amortised cost or fair value). However, it is not practicable to provide a reasonable estimate of that effect until a detailed review is done.

• IFRS 10: Consolidated Financial Statements

IFRS 10 requires a parent to present consolidated financial statements as those of a single economic entity, replacing the requirements previously contained in IAS 27 'Consolidated and Separate Financial Statements' and SIC-12 'Consolidation - Special Purpose Entities'.

The standard identifies the principles of control, determines how to identify whether an investor controls an investee and therefore must consolidate the investee, and sets out the principles for the preparation of consolidated financial statements. The Standard introduces a single consolidation model for all entities based on control, irrespective of the nature of the investee (i.e. whether an entity is controlled through voting rights of investors or through other contractual arrangements as is common in 'special purpose entities'). Under IFRS 10, control is based on whether an investor has:

- power over the investee
- exposure, or rights, to variable returns from its involvement with the investee, and
- the ability to use its power over the investee to affect the amount of the returns.

The standard is effective for annual periods beginning on or after 1st January 2013. The Group will apply this amendment prospectively.

• IFRS 11: Joint Arrangements

IFRS 11 replaces IAS 31 'Interests in Joint Ventures'. It requires a party to a joint arrangement to determine the type of joint arrangement in which it is involved by assessing its rights and obligations and then account for those rights and obligations in accordance with that type of joint arrangement.

Joint arrangements are either joint operations or joint ventures:

- A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement (joint operators) have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint operators recognise their assets, liabilities, revenue and expenses in relation to its interest in a joint operation (including their share of any such items arising jointly)
- A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement (joint venturers) have rights to the net assets of the arrangement. A joint venturer applies the equity method of accounting for its investment in a joint venture in accordance with IAS 28 'Investments in Associates and Joint Ventures (2012)'. Unlike IAS 31, the use of 'proportionate consolidation' to account for joint ventures is not permitted.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

2) Standards and interpretations affecting the reported result or financial position (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

(iii) Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 31 December 2012 and future annual periods (continued)

• IFRS 11: Joint Arrangements (continued)

The standard is effective for annual periods beginning on or after 1st January 2013. The Group will apply this amendment prospectively. The directors anticipate no material impact to the Group's financial statements currently. However, the Group would have to apply this standard to any such arrangements entered in the course of its expansion strategy.

• IFRS 12: Disclosure of Interests in Other Entities

IFRS 12 requires the extensive disclosure of information that enables users of financial statements to evaluate the nature of, and risks associated with, interests in other entities and the effects of those interests on its financial position, financial performance and cash flows.

In high-level terms, the required disclosures are grouped into the following broad categories:

- Significant judgements and assumptions - such as how control, joint control, significant influence has been determined
- Interests in subsidiaries - including details of the structure of the group, risks associated with structured entities, changes in control, and so on
- Interests in joint arrangements and associates - the nature, extent and financial effects of interests in joint arrangements and associates (including names, details and summarised financial information)
- Interests in unconsolidated structured entities - information to allow an understanding of the nature and extent of interests in unconsolidated structured entities and to evaluate the nature of, and changes in, the risks associated with its interests in unconsolidated structured entities

IFRS 12 lists specific examples and additional disclosures which further expand upon each of these disclosure objectives, and includes other guidance on the extensive disclosures required.

The adoption of IFRS 12 in the Group's financial statements for the annual period beginning 1st January 2013 and that the application of the new standard would result in more extensive disclosures in the financial statements.

• IFRS 13: Fair Value Measurements

IFRS 13 replaces the guidance on fair value measurement in existing IFRS accounting literature with a single standard. The IFRS is the result of joint efforts by the IASB and FASB to develop a converged fair value framework. The IFRS defines fair value, provides guidance on how to determine fair value and requires disclosures about fair value measurements. However, IFRS 13 does not change the requirements regarding which items should be measured or disclosed at fair value.

IFRS 13 applies when another IFRS requires or permits fair value measurements or disclosures about fair value measurements (and measurements, such as fair value less costs to sell, based on fair value or disclosures about those measurements).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

2) Standards and interpretations affecting the reported result or financial position (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

(iii) *Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 31 December 2012 and future annual periods (continued)*

• **IFRS 13: Fair Value Measurements (continued)**

With some exceptions, the standard requires entities to classify these measurements into a 'fair value hierarchy' based on the nature of the inputs:

- Level 1 - quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 - inputs other than quoted market prices included within Level 1 that are observable for the asset or liability, either directly or indirectly;
- Level 3 - unobservable inputs for the asset or liability.

The scope of IFRS 13 is broad; it applies to both financial instrument items and non-financial instrument items for which other IFRSs require or permit fair value measurements and disclosures about fair value measurements, except in specified circumstances. In general, the disclosure requirements in IFRS 13 are more extensive than those required in the current standards. For example, quantitative and qualitative disclosures based on the three-level fair value hierarchy currently required for financial instruments only under IFRS 7 Financial Instruments: Disclosures will be extended by IFRS 13 to cover all assets and liabilities within its scope.

The directors anticipate that the application of the new Standard may affect the amounts reported in the financial statements and result in more extensive disclosures in the financial statements, however, the Group is yet to assess IFRS 13's full impact and intends to adopt the standard no later than the accounting period beginning on or after 1st January 2013.

• **Disclosures — Offsetting Financial Assets and Financial Liabilities (Amendments to IFRS 7)**

Amends the disclosure requirements in IFRS 7 Financial Instruments: Disclosure to require information about all recognised financial instruments that are set off in accordance with paragraph 42 of IAS 32 Financial Instruments: Presentation.

The amendments also require disclosure of information about recognised financial instruments subject to enforceable master netting arrangements and similar agreements even if they are not set off under IAS 32. The IASB believes that these disclosures will allow financial statement users to evaluate the effect or potential effect of netting arrangements, including rights of set-off associated with an entity's recognised financial assets and recognised financial liabilities, on the entity's financial position.

The amendments to IFRS 7 are effective for annual periods beginning on or after 1st January 2013 and interim periods within those annual periods. The director's anticipate that the application of these amendments to IFRS 7 may result in more disclosures being made with regard to offsetting financial assets and financial liabilities in the future.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

2) Standards and interpretations affecting the reported result or financial position (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

(iii) Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 31 December 2012 and future annual periods (continued)

• Presentation of Items of Other Comprehensive Income (Amendments to IAS 1)

These amend IAS 1, Presentation of Financial Statements, to revise the way other comprehensive income is presented.

The amendments:

- Preserve the amendments made to IAS 1 in 2007 to require profit or loss and other comprehensive income (OCI) to be presented together, i.e. either as a single 'statement of profit or loss and comprehensive income', or a separate 'statement of profit or loss' and a 'statement of comprehensive income' – rather than requiring a single continuous statement.
- Require entities to group items presented in OCI based on whether they are potentially reclassifiable to profit or loss subsequently, i.e. those that might be reclassified and those that will not be reclassified.
- Require tax associated with items presented before tax to be shown separately for each of the two groups of OCI items (without changing the option to present items of OCI either before tax or net of tax).

The above amendments are generally effective for annual periods beginning on or after 1 July 2012. The company will apply the amendments prospectively. Other than presentation, the directors anticipate no material impact to the company's financial statements.

• Offsetting Financial Assets and Financial Liabilities (Amendments to IAS 32)

Amends IAS 32 Financial Instruments: Presentation to clarify certain aspects because of diversity in application of the requirements on offsetting, focused on four main areas:

- the meaning of 'currently has a legally enforceable right of set-off'
- the application of simultaneous realisation and settlement
- the offsetting of collateral amounts
- the unit of account for applying the offsetting requirements.

The amendments to IAS 32 are not effective until annual periods beginning on or after 1 January 2014, with retrospective application required. The directors anticipate that the application of this amendment may result in more disclosures being made with regard to offsetting of financial assets and financial liabilities in the future. The Group will apply the amendments prospectively.

• IAS 19 (as revised in 2012)- Employee Benefits

The amendments to IAS 19 change the accounting for defined benefit plans and termination benefits. The most significant change relates to the accounting for changes in defined benefit obligations and plan assets. The amendments require the recognition of changes in defined benefit obligations and in fair value of plan assets when they occur, and hence eliminate the 'corridor approach' permitted under the previous version of IAS 19 and accelerate the recognition of past service costs. The amendments require all actuarial gains and losses to be recognised immediately through other comprehensive income in order for the net pension asset or liability recognised in the consolidated statement of financial position to reflect the full value of the plan deficit or surplus.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

2) Standards and interpretations affecting the reported result or financial position (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) (continued)

(iii) *Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 31 December 2012 and future annual periods (continued)*

- **IAS 19 (as revised in 2012)- Employee Benefits (continued)**

The amendments to IAS 19 are effective for annual periods beginning on or after 1st January 2013 and require retrospective application with certain exceptions. The directors anticipate that the amendments to IAS 19 will be adopted in the Group's financial statements for the annual period beginning 1st January 2013 and that the application of the amendments to IAS 19 will not have an impact on the financial statements.

- **IAS 27: Separate Financial Statements (2012)**

Amended version of IAS 27 which now only deals with the requirements for separate financial statements, which have been carried over largely unamended from IAS 27 Consolidated and Separate Financial Statements. Requirements for consolidated financial statements are now contained in IFRS 10 Consolidated Financial Statements.

The Standard requires that when an entity prepares separate financial statements, investments in subsidiaries, associates, and jointly controlled entities are accounted for either at cost, or in accordance with IFRS 9 Financial Instruments.

The Standard also deals with the recognition of dividends, certain group reorganisations and includes a number of disclosure requirements.

The standard is effective for annual periods beginning on or after 1st January 2013. The Group will apply this amendment prospectively. The directors anticipate no material impact to the Group's financial statements.

- **IAS 28: Investments in Associates and Joint Ventures (2012)**

This Standard supersedes IAS 28 Investments in Associates and prescribes the accounting for investments in associates and sets out the requirements for the application of the equity method when accounting for investments in associates and joint ventures.

The Standard defines 'significant influence' and provides guidance on how the equity method of accounting is to be applied (including exemptions from applying the equity method in some cases). It also prescribes how investments in associates and joint ventures should be tested for impairment.

The standard is effective for annual periods beginning on or after 1st January 2013. The Group will apply this amendment prospectively. The directors, however, anticipate no material impact to the Group's financial statements.

(iv) *Early adoption of standards*

The Group did not early-adopt new or amended standards in 2012.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies

a) Statement of compliance

The Group's consolidated financial statements for the year 2012 have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board [IASB]. Additional information required by the regulatory bodies is included where appropriate.

For the Kenyan Companies Act reporting purposes, in these financial statements the "balance sheet" is represented by/is equivalent to the statement of financial position and the "profit and loss account" is presented in the statement of comprehensive income. The Group's consolidated financial statements were authorised for issue on 20th February 2013.

b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis of accounting except for property that is measured at revalued amounts and the following financial instruments, measured at fair value:

- Derivative financial instruments
- Financial instruments at fair value through profit or loss
- Available for sale financial instruments
- Certain investments in equity instruments at fair value through profit or loss.

c) Presentation of financial statements

The consolidated financial statements comprise the consolidated and Bank statements of comprehensive income, consolidated and Bank statements of financial position, the consolidated and Bank statements of changes in equity, the consolidated and Bank statements of cash flows and the notes to the financial statements.

The Group classifies its expenses by the nature of expense methodology.

The disclosures on risks from financial instruments are presented in the financial risk management report contained in note 4.

The consolidated and Bank statements of cash flows shows the changes in cash and cash equivalents arising during the period from operating, investing and financing activities.

d) Foreign currencies

i) Functional and presentation currency

The financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Bank's functional and presentational currency.

Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

ii) Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the respective functional currencies of the operations using the exchange rates prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

d) Foreign currencies (continued)

ii) Transactions and balances (continued)

Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when fair value was determined. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction.

Foreign currency exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised through profit or loss.

iii) Group companies

The results and financial position of Group entities that have a functional currency different from the presentation currency are retranslated into the presentation currency as follows:

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are expressed in Kenyan shillings using exchange rates prevailing at the reporting date. Income and expense items of foreign operations are retranslated at average exchange rates for the period.

Foreign currency exchange differences are reported as 'exchange differences on translations of foreign operations' and are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity.

e) Use of estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates and assumptions about future conditions. The use of available information and the application of judgement are inherent in the formation of estimates. The preparation of financial statements also requires management to exercise its judgement in the process of applying the Group's accounting policies. Actual results in future may differ from estimates upon which financial information is prepared.

Estimates and underlying assumptions are reviewed on an on going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

Significant assumptions and estimates to the financial statements and areas involving a higher degree of judgement or complexity are disclosed in note 5.

f) Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Bank and all its subsidiaries for the year ended 31st December, 2012. A list of the Bank's subsidiaries is set out in note 25(b).

Subsidiaries are those companies in which the Bank has power to exercise control over the operations of the entities. Subsidiaries are included in the consolidated financial statements from the date group gains effective control. Entities controlled by the group are consolidated until the date that control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

Intra-group balances and any unrealised income and expenses arising from intra-group transactions are eliminated in preparing the consolidated financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

f) Basis of consolidation (continued)

The acquisition method of accounting is used when subsidiaries are acquired by the group. The cost of an acquisition in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the consideration transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the acquired identifiable assets and the liabilities assumed are generally measured and recognised at their fair value.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the Group's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

In the event that the amounts of net assets acquired is in excess of the aggregate of the consideration transferred, the amount of non-controlling interest and the fair value of Group's previously held equity interest, the difference is recognised immediately in the profit or loss as a bargain purchase.

In a business combination achieved in stages, the previously held equity interest is re-measured at the acquisition-date fair value with the resulting gain or loss recognised in the profit or loss. Changes in the group's ownership interest in a subsidiary that do not result in a loss of control are treated as transactions between equity holders and are reported in equity.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

g) Income recognition

1. Interest income and expense

Interest income and expense for all interest bearing financial instruments are recognised in the statement of comprehensive income on accrual basis using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate is established on initial recognition of the financial instrument.

The calculation of the effective interest rate includes all fees and points paid or received transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial instrument.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

g) Income recognition (continued)

II. Fee and commission income and expenses

In the normal course of business, the Group earns fees and commission income from a diverse range of services to its customers. Fees and commission income and expenses that are integral to the effective interest rate on a financial instrument are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, investment management fees, placement fees, brokerage fees, bancassurance fees, and syndication fees, are recognised as the related services are performed. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fees and commission expense relates mainly to transaction and service fees, which are incurred as the services are received.

III. Net trading income

Net trading income arises from the margins which are achieved through market-making and customer business and from changes in market value caused by movements in interest and exchange rates, equity prices and other market variables. It comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest, dividends and foreign exchange differences.

h) Financial instruments

I. Recognition

The Group initially recognises loans and receivables, deposits and debt securities issued on the date that they are originated. All other financial instruments are initially recognised on the trade date at which the Group becomes a party to the contractual provisions of the instrument.

II. Classification

1. Financial assets

The Group classifies its financial assets into the following categories:

- At fair value through profit or loss
- Loans, advances and receivables
- Held-to-maturity investments
- Available for sale investments

Management determines the appropriate classification of its investments at initial recognition

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets classified as held for trading and those designated at fair value through profit or loss at inception.

A financial asset is classified as held for trading if acquired principally for the purpose of selling in the short term. Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments. Financial instruments included in this category are recognised initially at fair value, transactions costs are taken directly to profit or loss. Gains and losses arising from changes in fair value are included directly in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

II. Classification (continued)

1. Financial assets (continued)

Financial assets at fair value through profit or loss (continued)

The group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting measurement mismatch or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to senior management on a fair value basis.

Financial assets for which the fair value option is applied are recognised in the statement of financial position as 'Financial assets designated at fair value'. Fair value changes relating to financial assets designated at fair value through profit or loss are recognised in 'Net gains on financial instruments designated at fair value through profit or loss'.

Loans, advances and receivables

Loans and advances to customers and trade receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market and which the Group does not intend to sell immediately or in the near term. Loans and advances to customers are recognised when cash is advanced to borrowers.

Held-to-maturity investments

These are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group has the positive intention and ability to hold to maturity. Where a sale occurs, other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

Available-for-sale investments

Available-for-sale financial assets are assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Available for sale financial assets are initially recognised at fair value and measured subsequently at fair value with gains and losses being recognised in other comprehensive income and accumulated in the investments revaluation reserve with the exception of;

- impairment losses
- interest calculated using the effective interest rate method
- foreign exchange gains and losses on monetary assets which are recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

II. Classification (continued)

2. Financial liabilities

Financial liabilities are recognised when the Group enters into the contractual provisions of the arrangements with counterparties, which is generally on trade date, and initially measured at fair value, which is normally the consideration received, net of directly attributable transaction costs incurred. Subsequent measurement of financial liabilities is at amortised cost using effective interest rate method. Financial liabilities will include deposits from banks or customers, trade payables in the brokerage and lines of credit for which the fair value option is not applied.

III. Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or substantially all the risks and rewards of ownership incidental to the financial asset are transferred. A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished.

IV. Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financial assets at 'fair value through profit or loss' are subsequently carried at fair value. Gains and losses arising from changes in the fair value in those assets are recognised in profit or loss.

Gains and losses arising from changes in the fair value of 'available-for-sale financial assets' are recognised in other comprehensive income in the period in which they arise and accumulated in the investment revaluation reserves.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments previously recognised in the investment revaluation reserves are reclassified to profit or loss.

Dividends on available-for-sale equity instruments are recognised in profit or loss as part of other income when the Group's right to receive payments is established.

The fair values of quoted investments are based on current bid prices. If the market for a financial asset is not active (and for unquoted securities), the Group establishes fair value by using valuation techniques that include the use of various valuation methodology. The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them.

Loans and receivables and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

V. Impairment of financial assets

1. Amounts carried at amortised costs

The Group reviews regularly, on a case-by-case basis, whether any objective evidence exists of impairment, individually for financial assets that are significant and individually or collectively for financial assets that are not individually significant. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Loans and receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of loans and receivables is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of the receivables. The amount of provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in the profit or loss as 'impairment loss on loans and receivables'. When a loan or receivable is uncollectible, it is written off against the related allowance account. Subsequent recoveries of amounts previously written off are credited through profit or loss.

Objective evidence that loans and receivables are impaired can include significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue), the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the Group are considered indicators that the loans or receivable is impaired.

In assessing impairment losses, the Group considers the following factors, in each category:

i) Individually assessed loans

- The aggregate exposure to the Group.
- The viability of the customer's business model and its capacity to trade successfully out of financial difficulties and generate sufficient cash flows to meet its debt obligations.
- The realisable value of the security (or other mitigants) and likelihood of successful repossession net of any costs involved in recovery of amounts.
- The amount and timing of expected receipts and, in cases of liquidation or bankruptcy, dividend available.
- The extent and complexity of other creditors commitment ranking pari passu with the Group and the likelihood of other creditors continuing to support the customer.

ii) Collectively assessed

- For loans not subject to individual assessment, to cover losses which have been incurred but have not yet been identified.
- For homogeneous groups of loans that are not considered individually significant, where there is objective evidence of impairment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

v. Impairment of financial assets (continued)

1. Amounts carried at amortised costs (continued)

Homogeneous groups of loans

For homogeneous groups of loans that are not considered individually significant, or in other cases, when the portfolio size is small or when information is insufficient or not reliable enough, the Group adopts a formulaic approach which allocates progressively higher percentage loss rates in line with the period of time for which a customer's loan is overdue. Loss rates are calculated from the discounted expected future cash flows from a portfolio. These rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure they remain appropriate.

Loan write – offs

An uncollectible loan is written off against the relevant provision for impairment, either partially or in full, when there is no realistic prospect of recovery and the proceeds from realising the security have been substantially or fully recovered.

Restructured loans

Restructured loans, whose terms have been renegotiated are no longer considered to be past due but are treated as new loans after the minimum required number of payments under the new arrangement have been received.

2. Amounts classified as available for sale

In the case of equity securities classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered as an indicator that the securities are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from other comprehensive income and recognised in profit or loss. Impairment losses recognised in profit or loss on equity instruments are not reversed through profit or loss.

vi) Impairment of non financial assets

At the end of each reporting period, the Group reviews the carrying amount of its tangible and intangible assets to determine whether there is any indication that these assets have suffered an impairment loss.

If objective evidence on impairment losses exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the profit or loss. In cases where the asset is carried at revalued amount, the impairment loss is treated as a revaluation decrease.

In determining the recoverable amount, the Group considers the higher of the fair value of the asset less costs to sell, and value in use. In estimating value in use, the Group is cognisant of the estimated future cash flows discounted to the present value using a pre-tax discount rate that is reflective of the current market assessment of time value of money and the risks specific to the asset itself.

Intangible assets with indefinite useful life are tested for impairment annually, and when there is indication that the asset may be impaired.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

h) Financial instruments (continued)

vi) Impairment of non financial assets (continued)

Where impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised, unless such asset is carried at revalued amount, in which case the reversal of the impairment loss is treated as revaluation income.

i) Offsetting

Financial instruments are offset and the net amount reported in the statement of financial position when, and only when, there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

j) Employee expenses

I. Retirement benefit obligations

The Group operates a defined contribution plan under which the Group pays fixed contributions into a separate entity. The Group has no obligation, legal or constructive, to pay further contributions if the scheme does not have sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the Group and the employees.

In addition, the Group also contributes to the National Social Security Fund in Kenya, Parastatal Pension Fund in Tanzania and National Social Security Fund in Uganda, which are defined contribution scheme registered under respective Acts of Parliament in the respective countries.

The Group's contributions to the defined contribution schemes are charged to the profit or loss in the year in which they relate.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

II. Short-term benefits

Short-term employee benefit obligations (e.g medical reimbursements and insurance) are measured on an undiscounted basis and are expensed as the employee renders service.

The monetary benefits for employee accrued leave entitlement at the reporting date are recognised as an expense accrual.

k) Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised on straight line basis over the period of the lease. When a lease includes land and buildings elements, the bank assesses the classification of each element as either a finance lease or an operating lease. In determining classification of the land element, an important consideration is that land normally has an indefinite economic life. Therefore the finance lease or operating lease classification of the land is considered a critical area of judgment. See note 5 to these financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

l) Income tax expense

Income tax expense comprises current and deferred tax. Current tax is the expected tax payable on the taxable profit for the year using currently enacted tax rates, and any adjustment to tax payable in respect of previous years.

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred tax is provided using the liability method, for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Currently enacted tax rates are used to determine deferred tax.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

The tax effects of carry-forwards of unused losses or unused tax credits are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

m) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding adjusted for the effects of all potentially dilutive ordinary shares.

n) Dividends on ordinary shares

Dividends are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.

o) Cash and cash equivalents

Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisition. These includes notes and coins on hand, unrestricted balances held with Central Banks, items in the course of collection from other banks, deposits held at call with banks, net of deposits and balances due to banking institutions and treasury bills with original maturities of less than three months. Such assets are generally subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

p) Leases

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of an asset to the lessee, the arrangement is classified as a finance lease within loans and receivables. All other lessees are classified as operating leases.

Minimum lease payments made under finance leases are apportioned between the finance income and the reduction of the outstanding principal. The finance income is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the asset.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease. Rentals payable under operating leases are charged to profit or loss over the terms of the relevant lease.

q) Repurchase agreements

When the Group purchases a financial asset and simultaneously enters into an agreement to re-sell the asset (or a substantially similar asset) at a fixed price on a future date ("reverse repo or stock borrowing"), the arrangement is accounted for as a loan or receivable, and the underlying asset is not recognised in the Group's financial statements.

r) Property and equipment

I. Recognition and measurement

Items of fixtures and equipment are stated at historical cost less accumulated depreciation. Buildings comprising mainly of the head office are stated in the statement of financial position at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to a working condition for its intended use. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items of property and equipment.

The gain or loss arising on the disposal or retirement of an item of property or equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the profit or loss for the year.

II. Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are charged to profit or loss for the year as incurred.

In relation to buildings, revaluations are performed with sufficient regularity such that the carrying amounts do not differ materially from those that would be determined using fair value at the reporting date. Any increase arising on the revaluation is recognised in other comprehensive income and accumulated in the revaluation surplus on property. Decreases that offset previous increases of the same asset are recognised in other comprehensive income and charged against the revaluation surplus on property; all other decreases are charged to the profit or loss for the year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

r) Property and equipment (continued)

III. Depreciation

Depreciation which is recognised in profit or loss is calculated on a straight-line basis to allocate the costs or revalued amounts over their estimated useful lives as follows:

Building	2.5%
Furniture, fittings and equipment	20.0%
Motor vehicles	20.0%
Computers	33.3%

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus on property to revenue reserves, net of deferred tax.

s) Intangible assets

I. Goodwill

Goodwill arises on business combinations through acquisition of subsidiaries when the cost of acquisition exceeds the fair value of the Group's share of the identifiable assets, liabilities and contingent liabilities acquired. If the Group's interest in the fair value of the identifiable assets, liabilities and contingent liabilities of an acquired business is greater than the cost to acquire, the excess is recognised immediately in profit or loss.

Goodwill is allocated to cash-generating units for the purpose of impairment testing, which is undertaken at the lowest level at which goodwill is monitored for internal management purposes. Impairment testing is performed at least annually, and whenever there is an indication that the cash-generating unit may be impaired, by comparing the present value of the expected future cash flows from a business with the carrying value of its net assets, including attributable goodwill. Goodwill is stated at cost less accumulated impairment losses which are charged to profit or loss.

II. Computer software

Acquired computer software and related licences are stated at cost less accumulated amortisation. Subsequent expenditure on software products is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Where software is not an integral part of the related hardware it is recognised as an intangible asset.

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The estimate useful life of software is three to five years.

III. License

Separately acquired licences in business combination are initially recognised at their fair value at the acquisition date (which is regarded as cost). Licences with an indefinite useful life are not amortised and are reviewed at each reporting date to determine whether events and circumstances continue to support an indefinite useful life assessment of the asset. Where the Group re-assesses the useful life of an intangible asset as finite rather than indefinite, the asset may be considered to be impaired. The Group tests the asset for impairment annually and whenever there is an indication that the intangible asset may be impaired by comparing its recoverable amount, with the carrying amount and recognising any excess of the carrying amount over the recoverable amount as an impairment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

t) Legal and other claims

Provisions for legal claims are recognised when the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

u) Share capital and share premium

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

v) Statutory credit risk reserves

IAS 39 requires the Group to recognise an impairment loss when there is objective evidence that loans and receivables are impaired. However, prudential guidelines issued by banking regulators require the Group to set aside amounts for impairment losses on loans and receivables based on their guidelines. Extra losses over and above those already recognised under IAS 39 are accumulated under statutory reserves through appropriations of revenue reserves.

w) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds, which are credit-related instruments, are generally given by the Group to support performance by a customer to third parties. Nominal principal amounts represent amounts at risk should the Group be required to meet these obligations in the event the customer defaults. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

x) Fiduciary activities

The Group provides custody, trustee, corporate administration, investment management and advisory services to third parties, which involve the Group making allocation and purchase and sale decisions in relation to a wide range of financial instruments. Those assets that are held in a fiduciary capacity are not included in these financial statements.

y) Derivative financial instruments

Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives are intended to acquire, increase, reduce or alter exposure to market risks. The group uses derivatives for its customers and on its own account to manage exposure to market risks. Derivative assets and liabilities on different transactions are only set off if the transactions are with the same counterparty, a legal right of set-off exists and the cash flows are intended to be settled on a net basis.

z) Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group management). The management then allocates resources to each operating segment of the Group and assesses their performance. The operating segments are based on the Group's management and internal reporting structure. In accordance with IFRS 8, Operating Segments, the Group has the following business segments; corporate and institutional banking, treasury dealing and brokerage, retail banking, asset finance and investment banking and others (see note 6).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

3) Summary of significant accounting policies (continued)

aa) Comparatives

Except otherwise required, all amounts are reported or disclosed with comparative information.

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

4) Financial risk management objectives

Group risk management framework and governance structures

Risk management overview

In the financial services sector, sustainable growth in profitability involves selectively taking and managing risks. The Group's goal is to earn, on behalf of the stakeholders, an optimal, stable and sustainable rate of return for every shilling of risk we take, while continually investing in our business to meet our future growth objectives. The risk management resources and processes are designed to identify, understand, measure and report risks that the Group's businesses are exposed to, and develop governance, controls, and risk management frameworks necessary to mitigate these risks as appropriate. These resources and processes are strengthened by the Group's culture which emphasises transparency and accountability for managing risk.

The Group defines risk as an event or events of uncertainty which can be caused by internal or external factors resulting in the possibility of losses (downside risk). However, the Group appreciates that some risk events may result into opportunities (upside risk) and should therefore be actively sought and exploited.

The Group operates in an environment of numerous risks as shown below that may cause financial and non-financial results to differ significantly from expected outcomes. The Group has an enterprise-wide approach to the identification, measurement, monitoring and management of risks faced across the organisation. These risks are classified as follows:

Financial risks:

- Credit & counterparty risk
- Liquidity & funding risk
- Market risk that fall within:
 - Interest rate risk
 - Foreign exchange risk
 - Price risk

How we manage risk

Risk management in the Group is integrated with the strategic agenda and closely tied to the capitalisation levels of Group. This is intended to align risks incurred in pursuit of strategic objectives to shareholder expectations and acceptable international best practices. Through an integrated risk management framework, the Group has embedded a strong risk management culture and ensures its alignment with enterprise – wide strategic goals.

The Group is governed by the following complementary risk principles:

- i. Enterprise-wide in scope – Risk management spans all areas of the Group activities, including strategic alliances, and all boundaries, both geographic and regulatory.
- ii. Enhanced accountability – Risks are explicitly owned, understood and actively managed by the business units' management and all employees, individually and collectively.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

How we manage risk (continued)

- iii. Independent oversight – Risk policies, procedures, and reporting will be established independently and objectively.
- iv. Integrated risk and control culture – Risk management disciplines will be integrated into the daily routines, decision-making and strategy of the Group.
- v. Attainment of strategic balance – Risk will be managed to an acceptable level of exposure, recognising the need to enhance shareholder value whilst protecting shareholder equity and other stakeholders at all times.
- vi. Transparent and effective communication – Matters related to risk will be communicated and escalated in a timely, accurate and forthright manner.

The Group's risk management approach is comprehensive, proactive and continuous. It combines the experience and specialised knowledge of individual business units, risk professionals, and the corporate oversight functions. In managing risk, the Group:

- a) Defines acceptable risk appetite within a comprehensive framework, through the determination and maintenance of appropriate risk management policies, limits, guidelines and practices. Adherence to this framework is primarily managed by individual business units [risk owners] and assessed or monitored through independent oversight arms of management i.e Risk Management and Internal Audit Departments. Key risk management objectives form a substantial input in performance appraisal across the Group.
- b) Actively monitor internal and external risk events to determine and implement effective internal controls to withstand risk shocks. Each business unit and oversight functions periodically identifies and assesses its own key risks and internal controls through structured risk models.
- c) Allocates capital by thoroughly interrogating the risks faced by the Group and the potential impact on capital adequacy. This is done through the use of appropriate and validated risk measurement methodologies developed internally or/and from existing regulatory framework.
- d) Communicates quantitative and qualitative elements of the risk profile to Senior Management, the Board of Directors and other relevant stakeholders through an integrated risk management information system.
- e) Periodically employs stress testing approaches to access/understand applicability and continued relevance of risk mitigants on potential vulnerabilities.

NIC Bank Group's risk management framework

The framework has five main components which are continually reviewed and updated to ensure that they are consistent and appropriate to risk taking activities, and that they remain relevant to the Group's business and strategies. The framework consists of the following:

Policies & limits

These define the Group's overall risk appetite, and are developed based on the requirements of regulatory authorities and input from the Board of Directors and Senior Management. The policies also provide guidance to the business units by setting boundaries on the types and levels of risks the Group is prepared to assume.

Guidelines

These are directives provided to implement policies and limits as set out above. They describe the facility types, aggregate facility exposures and conditions under which the Group is prepared to do business. Risk taking outside these guidelines has to be approved by Senior Management of the Group, or by the Board of Directors, depending on set approval limits.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

Processes & standards

These are activities associated with identifying, evaluating, documenting, reporting and controlling risk. They define the breadth and quality of information required to make decisions and the expectation in terms of quality of analysis and presentation. At the operating level these are the activities that must be achieved before risk decisions are taken.

Measurement, monitoring & reporting

Measurement and reporting tools quantify risks across products, activities and business units and are used among other things, to determine risk exposures. The Risk Management Department is responsible for developing and maintaining an appropriate suite of such tools to support the operations of the various business units. Measurement information is compared against approved policies, limits and guidelines and presented to Senior Management and the Board of Directors to enable them to understand the Group's risk profile. A comprehensive summary of the Group's risk profile and performance against defined tolerance goals is presented to Senior Management and the Board Risk Management Committee and the Board of Directors for their review, action and guidance.

Independent review

The Internal audit department and the external auditors independently monitor the effectiveness of the risk management programs and internal controls through periodic testing of the design and operations of processes related to identification, measurement or assessment, monitoring, controlling and reporting of risks. Additionally, the Group's internal audit programs are derived from a risk based assessment so as to focus its audit assessment attention to risk areas of the business units deemed high on probability or impact.

The notes below provide high-level information on each of the key risk classes we face in line with the Group's objectives, policies and programs for identifying, measuring or assessing, monitoring, controlling and reporting / communicating those risks to stakeholders. It also elucidates the Group's management of its capital taking into account the approved risk appetite and profile.

a) Credit and counterparty risk

Credit risk is the potential for loss due to the Group's customers' or counterparties' failure or unwillingness to meet their contractual credit obligations. It is the single largest financial risk that the Group faces.

It arises principally from, but is not limited to, commercial and retail loans and advances, commitments from forward foreign exchange contracts, financial guarantees, letters of credit and acceptances, investments in debt securities and other exposures arising from trading and settlement activities with market counterparties.

The amounts presented in these financial statements are net of impairment allowances based on prudent assessment of customers' or counterparties' abilities to meet their contractual obligations.

The Group's lending principles are laid out in an elaborate series of corporate strategies, policies, standards, guidelines, directives and procedures, all of which are developed, approved and reviewed regularly by the Board Credit Risk Committee and respective Risk Management Committees. This is to ensure policies are current and consistent with the Group's risk appetite. The structure, limits, collateral requirements, ongoing management, monitoring and reporting of credit exposures are all governed by these principles.

Who manages credit & counterparty risk

The Board of Directors and Senior Management pay special attention to credit risk exposure at all times. The Board retains responsibility for the under-writing and independent review of the credit risk exposures through specifically constituted Board sub-committees: the Board Credit Risk Committee and the Board Risk Management Committee respectively.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

a) Credit and counterparty risk (continued)

Who manages credit & counterparty risk (continued)

To facilitate the day to day management of credit risk i.e. under-writing functions, monitoring and control, there is a specialised, independent and centralized credit review/approval team headed by the Head of Credit who reports to the Group Managing Director. The Board of Directors retains the authority to approve credit facilities that are significant in size or complexity.

Effective credit risk management begins with experienced and professional lending officers who have been mandated to authorise credit exposures for the Group. These individuals are subjected to a rigorous lender qualification process and operate within a disciplined environment with clear delegation of management discretionary limits at both the individual and joint levels depending on the size and complexity of credit decisions they make.

To facilitate quick credit decisions, the Board Credit Risk Committee has granted discretionary limits to several Senior Managers (at individual and committee levels), in line with their skills, experience and ability to make sound credit decisions.

To separate the sales and credit under-writing functions from credit operations, a credit administration unit that reports directly to the Head of Technology and Operations, handles post-approval credit administration as well as the daily monitoring of credit exposures against approved limits. This together with the complete segregation of sales activities from the underwriting process, maintains an adequate governance structure that eliminates conflicts of interest that may occur in the course of business.

Credit risk management key performance indicators, including the quality of our credit portfolios, portfolio concentrations, amongst others, are independently reviewed by the Head of Risk Management & Compliance with oversight from the Board Risk Management Committee.

Regular independent audits of the approval process and adherence to credit risk management programs are carried out by the Internal Audit Department. Adverse findings are submitted to Senior Management and the Board Audit Committee for information and corrective action. Furthermore, audit programs are carried out using a risk based approach to concentrate activities where high probability and high impact risk events are envisaged.

How credit and counterparty risk is managed

Credit and counterparty risk measurement & assessment

The estimation of credit exposures at the individual and portfolio levels is complex and requires the use of special models, as the value of products or portfolios varies with changes in market variables, expected cash-flows and the passage of time. The assessment of a portfolio of assets' credit exposures entails further estimation of the likelihood of defaults occurring, of associated losses, and of default correlations between borrowers or counterparties, the facilities granted, and their industries. This is achieved using a credit rating model developed internally for use in the business.

Credit & counterparty risk limit control and mitigation policies

The Board Credit Risk Committee regularly sets, reviews and approves exposure limits for the larger counterparties as well as tolerance limits on a portfolio basis. In turn, the Group manages the limits and controls concentrations of credit risk exposures against internal and regulatory requirements with respect to individual counterparties or related groups of counterparties, industry sectors, amongst others.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

a) Credit and counterparty risk (continued)

Credit & counterparty risk limit control and mitigation policies (continued)

Exposures to any one borrower (including bank counterparties) are further restricted by sub-allocating limits covering separate on and off – balance sheet exposures, as well as daily delivery exposures in relation to trading items e.g. forward foreign contracts.

Lending limits are reviewed regularly in view of changing business/financial risks of the borrowers, in addition to industry and general economic conditions in which they operate. To enable prudent and consistent credit assessments at the individual level, the Group has robust approval processes and models covering different business segments. This process basically captures the borrower's financial viability, industry / economic performance, geopolitical risks and its managements' ability to steer the organisation. These models are suited to counterparties who are homogeneous in nature for ease of their use.

Limits for commercial and corporate clients are reviewed at least once annually. The credit review process ensures that an appropriate facility structure, including covenant monitoring, is in place for each client. The frequency of reviews is increased in accordance with the likelihood and size/complexity of potential credit losses, with deteriorating higher-risk situations referred to independent debt recovery units for closer attention where appropriate.

The risks in industry sectors are managed through limits and lending criteria / guidelines relevant to each particular industry. Borrower limits are set within the context of established guidelines for individual borrowers and particular industries to ensure the Group does not have excessive concentration in any related group of borrowers or industry. Through this portfolio management process, loans may be syndicated to reduce overall exposure to a single name.

Exposures against tolerance limits in relation to credit risk categories are measured and monitored periodically on an aggregated basis. Actual exposures against limits are monitored daily through the management information systems in place.

Other specific control and mitigation measures are outlined below:

Although the Group only lends to counterparties that primarily demonstrate adequate capacity to repay loans, it also employs a range of policies, guidelines and models to mitigate credit risk as follows:

i) Collateral

This is only considered in those cases where the Group would want to take a credit risk mitigant. The Group has developed specific policies and guidelines for the acceptance of different classes of collateral.

Estimates of the collateral's fair values are based on the value of collateral independently and professionally assessed at the time of borrowing, and re-valued with a frequency commensurate with nature and type of the collateral and credit advanced. Collateral structures and covenants are subjected to regular review to ensure they continue to fulfil the intended purpose.

Collateral is generally not held in respect of deposits and balances due from banking institutions, items in the course of collection, and Government securities, except when securities are held for reverse purchase and securities borrowing activity.

ii) Credit rating

The Group uses an internal scoring and rating system for its borrowing clients. The system sets maximum exposure limits for individuals or groups of clients using a scoring rating attained by the borrowers. The system rating will also inform the basis of determining the value and classes of collateral acceptable for the borrower(s).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

a) Credit and counterparty risk (continued)

iii) Settlement risk

This is the risk of loss due to the failure by counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. It arises in situations where a payment in cash is made in anticipation of corresponding receipt of cash securities or other assets. Daily settlement limits are approved by the relevant authority levels and established for each counterparty to cover the aggregate of all settlement risks arising from the counterparty's market transactions on a single day. Acceptance of the counterparty's settlement risk is determined on the basis of financial strengths and other non-financial considerations subject to Board Credit Risk Committee approval.

Impairment policies

Across all its loan portfolios, the Group employs a disciplined approach to impairment allowances evaluation, with prompt identification of problem loans being a key risk management objective. The Group maintains both collective and specific impairment allowances for credit losses, the sum of which is sufficient to reduce the book value of credit assets to their estimated realisable value. Specific impairment allowances reduce the aggregate carrying value of credit assets where there is specific evidence of deterioration in credit quality. In line with regulatory guidelines, a collective allowance is maintained to cover potential impairment in the existing portfolio that cannot be associated with specific credit. These allowances are reviewed and updated on a regularly basis.

Write-off policy

The Group writes off loans and advances net of any related allowances for impairment losses when it determines that the loans are uncollectable and securities unrealisable. This determination is reached after accessing objective evidence or occurrence of significant changes in the borrower or issuer's financial position such that they are no longer able to repay the obligation, or that proceeds from the sale of collateral will not be sufficient to pay back the entire exposure. This is done after exhausting all other means including litigation. For Retail and Asset Finance loans, charge off decisions are generally based on product specific days past due status and the size of balances owed per borrower.

1. Maximum exposure to credit risk before collateral held

	2012 Shs'000	%	2011 Shs'000	%
Credit exposures				
On – balance sheet items				
Items in the course of collection	429,545	-	281,796	-
Due from banking institutions	8,188,716	7	5,692,655	7
Loans and advances to customers	71,540,092	64	56,624,621	68
Government securities	17,478,232	16	7,500,288	9
Other assets – trade receivables	71,206	-	59,826	-
	97,707,791	87	70,159,186	84
Off-balance sheet items				
Letters of credit	4,451,256	4	5,301,250	6
Guarantees and performance bonds	9,660,754	9	8,175,203	10
	14,112,010	13	13,476,453	16
	111,819,801	100	83,635,639	100

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

a) Credit and counterparty risk (continued)

I. Maximum exposure to credit risk before collateral held (continued)

The above represents the worst case scenario of credit exposure for both years, without taking into account collateral held or other credit enhancements/mitigants.

Loans and advances to customers and other trade related items (off-balance sheet items) comprise of 77% (2011: 84%) of the total credit exposure. While collateral is an important mitigant to credit risk, the Group's underwriting policy ensures that loans are strictly granted on a going concern basis with adequate demonstration of repayment capacity. Other than exposures amounting to KES 1,774,801,000 (2011 - KES 1,413,257,000) that are unsecured, all other facilities are secured by collateral in the form of charges over cash, land and buildings, marketable securities, plant and machinery, amongst others. The fair value of collateral held for impaired loans and advances is KES 679,715,000 (2011 - KES 270,751,000). The Group is confident that its credit policies and programs provide sufficient safeguards against the credit risk exposure shown in the table below:

II. Classification of loans & advances to customers

GROUP

At 31 December 2012

Gross loans and advances

Neither past due nor impaired	63,686,832	4,479,687	314,372	68,480,891
Past due but not impaired	2,326,120	160,874	-	2,486,994
Impaired	2,050,874	281,827	-	2,332,701

Total gross loans and advances

68,063,826	4,922,388	314,372	73,300,586
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Impairment Allowances

Neither past due nor impaired	-	-	-	-
Past due but not impaired	(99,464)	(8,044)	-	(107,508)
Impaired	(1,583,147)	(69,839)	-	(1,652,986)

Impairment allowances

(1,682,611)	(77,883)	-	(1,760,494)
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Net loans and advances

66,381,215	4,844,505	314,372	71,540,092
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Impairment allowance as a percentage of total loans advanced

2.47 %	1.58 %	-	2.40 %
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At 31 December 2011

Gross loans and advances

Neither past due nor impaired	50,751,921	4,350,303	-	55,102,224
Past due but not impaired	1,243,078	48,121	-	1,291,199
Impaired	1,656,672	304,605	-	1,961,277

Total gross loans and advances

53,651,671	4,703,029	-	58,354,700
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Impairment allowances

Neither past due nor impaired	-	-	-	-
Past due but not impaired	(39,034)	(519)	-	(39,553)
Impaired	(1,587,162)	(103,364)	-	(1,690,526)

Impairment allowances

(1,626,196)	(103,883)	-	(1,730,079)
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Net loans and advances

52,025,475	4,599,146	-	56,624,621
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Impairment allowance as a percentage of total gross loans and advances

3.03 %	2.21 %	-	2.96 %
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*The Kenya figures relates to the Bank

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

a) Credit and counterparty risk (continued)

Loans and advances that are neither past due nor impaired

The Group classifies loans and advances under this category if they are up to date and in line with their contractual agreements (0-30 days). Such loans would have demonstrated the meeting of their financial and non-financial conditions and the borrowers would have proven capacity to repay the loans. These exposures will normally be maintained largely within approved facility programs and with no depiction of impairment or distress signs. These exposures are categorised as normal accounts (category 1) in line with internal guidelines and those issued by regulators where applicable. A collective provision on the total outstanding balances is made and appropriated from revenue reserves to statutory credit risk reserves.

Past due but not impaired

This category includes exposures that are between 31 – 90 days past due, where losses have been incurred but have not been identified. These exposures are graded as category 2 in line with our internal guidelines and those issued by banking regulators. A collective impairment allowance is made to cover losses which have been incurred but have not yet been identified.

Impaired loans and advances

Impaired loans and advances are those which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan securities agreement(s). These loans are graded between categories 3 (91-180 days), 4(181 -360 days) and 5 (over 360 days) using the Group's internal credit rating system. These clients, under guidelines issued by the Central Banks in the regions we operate in, are termed as non-performing loans. The Group establishes a specific allowance for impairment losses that represents the estimate of losses that will be incurred in its loan portfolio.

Concentrations of risk

The Group monitors concentration of risk exposures in its lending and other portfolios by individuals or groups of related borrowers and industry sector concentrations in line with Board of Directors' approved limits. These limits are reviewed regularly using economic risk indicators identified in particular industrial sectors. An analysis of concentrations within the loans and advances to customers and off balance sheet items are as follows:

Loans and advances to customers

Bank			Group		
2012	2011		2012	2011	
%	%		%	%	
10	12	Wholesale and retail trade	11	11	
3	4	Real estate	3	4	
6	8	Agriculture	6	8	
19	14	Social community and personal services	19	15	
25	21	Manufacturing	23	22	
13	15	Transport and communication	13	16	
24	26	Other	25	24	
100	100		100	100	

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

a) Credit and counterparty risk (continued)

Contingent liabilities

Bank			Group		
2012	2011		2012	2011	
%	%		%	%	
5	2	Agriculture	5	2	
1	2	Business services	1	2	
12	9	Wholesale and retail	12	9	
-	-	Real estate and construction	1	-	
10	9	Transport and communication	9	9	
23	38	Manufacturing	23	38	
49	40	Other	49	40	
100	100		100	100	

b) Liquidity and funding risk

Liquidity risk is the potential for loss to an institution arising from either its inability to meet its obligations when they fall due or to fund increases in asset without incurring unacceptable costs or losses. Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, and to enable our core business to continue operating even under adverse liquidity circumstances.

Who manages liquidity and funding risk

The Assets and Liabilities Committee (ALCO), a management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposits withdrawals can be met when they fall due, and that the Group will not encounter difficulties in meeting its obligations or financial liabilities as they fall due.

ALCO relies substantially on the Group's Treasury Department to coordinate and ensure discipline across the Group and business units, certify sufficient liquidity under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Board Executive Committee has oversight over ALCO's activities through regular review of its minutes and significant reports outlining current exposures against approved risk limits. These reports are also reviewed by the Board Risk Management Committee on a quarterly basis.

Liquidity policies / guidelines and limits are reviewed periodically, or as the need arises.

How liquidity and funding risk is managed

I Liquidity and funding management

The Group's liquidity and funding policies require that it:

- Enters into lending contracts subject to availability of funds.
- Projects cash flows by major currencies and consider the level of liquid assets necessary in relation thereto.
- Monitors liquidity ratios against internal and regulatory requirements and guidelines.
- Maintains an array of a diverse range of funding sources as back-up facilities.
- Monitors depositor concentration to avoid undue reliance on large individual depositors and ensure a satisfactory funding mix.
- Invests in short term liquid instruments, which can easily be sold in the market when the need arises.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

b) Liquidity and funding risk (continued)

How liquidity and funding risk is managed (continued)

I Liquidity and funding management (continued)

- Ensure investments in large cash outlay projects e.g property and equipment purchases are budgeted for and carried out only when the Group has sufficient cash flows.
- Maintains liquidity and funding contingency plans. These plans and key risk indicators clearly identify early stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crisis while minimising adverse long-term implications.

II Sources of funding

The Group's major source of funding is customer deposits. To this end, the Group maintains a diversified and stable funding base comprising of the core retail and corporate customers and wholesale banking clientele. The Group places considerable importance on the stability of these deposits, which is achieved through the Group's corporate, institutional and retail banking activities and by maintaining depositor confidence in the Group's business strategies and financial strength. An analysis of concentrations within the customer deposits is as follows:

Customer deposits

Bank			Group	
2012	2011		2012	2011
%	%		%	%
-	1	Co-operative societies	-	1
8	11	Insurance companies	7	11
5	7	Non profit institutions and individuals	7	9
87	81	Private enterprises	86	79
100	100		100	100

The Group also borrows from the inter bank and wholesale markets such as pension funds and insurance companies to meet its short term liquidity and other investment objectives.

The Group does not maintain cash reserves to meet all its obligations as experience over time has shown that a minimum level of reinvestment of maturing customer funds can be predicted with a high level of certainty. Although the contractual repayments of many customer accounts are on demand or short notice, in practice short-term deposit balances remain stable as inflows and outflows broadly match.

III Exposure to liquidity risk

The key measures used by the Group for managing liquidity risk are;

- The ratio of net liquid assets to deposits from customers (liquidity ratio). For this purpose, net liquid assets include cash and cash equivalents and investments in securities for which there is an active and liquid market less any deposits from banks, as well as other borrowings and commitments maturing within the next month. The banking regulators require that the Group maintains a cash reserve ratio computed as percentage of eligible customer deposits.

The banking regulations require that the Group maintains a minimum liquidity ratio of 20%. The Group complied with the liquidity requirements during the year.

The average liquidity ratio for the year was 32% (2011 – 30%).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

b) Liquidity and funding risk (continued)

III Exposure to liquidity risk (continued)

- The maturity analysis of assets and liabilities report (note 44 (a)). The Group uses the maturity mismatch ladders to compare cash inflows and outflows each month and over a series of time-bands. The maturity mismatch ladder shows the net cash flows of the Group in various time bands. The Group net funding requirements are determined by analysing present and future cash flows of the entire statement of financial position at selected maturity dates, based on assumptions of the behaviour of assets, liabilities and off-balance sheet items. Calculations will include the cumulative net excess or shortfall over the time frame of the liquidity assessment.

The Group also monitors its liquidity exposures through an array of internally developed risk indicators such as advances to deposit ratios, proportion of largest depositors to total deposits, liquidity gap analysis ratios, inter-bank borrowings as a proportion of total deposits, amongst others. This enables the Group to arrest any early warning signs and take timely corrective action.

As part of the ALCO function, Treasury receives information from business units regarding the liquidity profile of their financial assets and liabilities plus details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment grade securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The liquidity requirements of business units and subsidiaries are met through various funding options to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

The table in note 44 (a) presents cash flows payable by the Group under financial liabilities by remaining contractual maturities at the reporting date and the cash flows receivable from financial assets by expected maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Group manages the liquidity risk based on a different basis (note 44 (b)), not resulting in a significantly different analysis.

c) Market risk

Market risk is the risk that the values of assets and liabilities or revenues will be adversely affected by changes in market conditions or market movements. Market risks in the Group arise from movements in market prices particularly changes in interest rates, foreign currency exchange rates, fixed rate securities and equity prices which we are exposed to. It is often propagated by other forms of financial risks such as credit and market liquidity risk events. The objective of market risk management programs is to manage and control market risk exposures in order to optimise return on risk taken while maintaining a good market profile as a provider of financial products and services.

Who manages market risk?

The Board Risk Management Committee reviews and approves market risk policies and limits periodically or as need arises. The Treasury Department in consultation with the Risk Management Department are responsible for the development of detailed market risk management policies, subject to review and support by ALCO and approval by the Board Risk Management Committee.

The Board receives quarterly reports of market risk exposures or activities through relevant ALCO minutes, and Treasury reports outlining current risk exposures against risk limits.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

c) Market risk (continued)

How market risk is managed

The Group's Asset & Liability Committee (ALCO) oversees the application of the framework set by the Board of Directors and monitors the Group's market risk exposures as well as activities that give rise to these exposures. Overall responsibility for the management of market risks rests with ALCO which reviews market risk activity reports monthly. Treasury is responsible for the day to day implementation of those policies or programs and limits.

In view of the fact that our market risk operations are not very complex, we basically use interest rates variance analysis models (against budget and prior month), interest rate gap analysis, proportion of interest sensitive deposits to total deposits, amongst other models and key performance indicators, appropriate for our operations. The management of market risk is supplemented by the monitoring of key market risk and economic performance variables.

The distinct market risk exposures faced by the Group are:

- Interest rate risk
- Foreign exchange risk
- Price risk

I. Interest rate risk

Interest rate risk represents exposures to instruments whose values vary with the level or volatility of interest rates. These instruments include, but are not limited to loans, debt securities, certain traded assets and liabilities, deposits, borrowings and derivative instruments. Generally, hedging instruments used by banks to mitigate such risks include related derivatives such as options and swaps.

The Group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced and invested at both fixed and floating rates. The maturities of assets and liabilities, plus the ability to replace interest bearing liabilities at an acceptable cost as they mature, are important factors in assessing the Group's exposure to changes in interest rates.

In addition to maintaining an appropriate mix between fixed and floating rates deposit base, interest rates on advances to customers and other risk assets are mainly pegged to the Group's base lending rate (floating rates). The base lending rate is adjusted from time to time to reflect prevailing market costs of deposits.

Interest rates on customer deposits are negotiated between the Group and its customers, with the Group retaining the discretion to re-negotiate the rates at maturity in line with changes in market trends. The interest rates given or charged to clients therefore fluctuate depending on the movements in the market interest rates. The Group also invests in fixed interest rate instruments issued by the Government of Kenya, Tanzania and Uganda through the Central Banks. The interest rate risk assessment table is found under note 44 (c).

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the Group's interest rate risk. It is unusual for a bank ever to completely be matched due to the nature of business terms and types of products offered.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

c) Market risk (continued)

I. Interest rate risk (continued)

Interest rate risk – stress tests

The Group monitors the impact of risks associated with the effects of fluctuations in prevailing interest rates. At 31st December 2012, the following table summarises the estimated impact of an immediate hypothetical increase or decrease in interest rates of 125 basis points on consolidated profit before income tax expense, and current interest rate risk profile.

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
249,384	158,505	125 basis points increases in interest rates	304,628	175,981
(280,401)	(196,814)	125 basis points decrease in interest rates	(370,626)	(231,602)

The model does not take into account any corrective action in response to interest rate movements, particularly in adverse situations.

II. Foreign exchange risk

Foreign currency exchange risk refers to the potential changes in current and future earnings or capital arising from movements in foreign exchange market rates. The Group, through stringent intra-day and overnight exposure limits, ensures that the potential risk of loss arising from foreign exchange fluctuations to the Group's earnings and capital is within prudential guidelines and internal policies. Any material overnight position is covered by stop loss orders with our international counter-parties.

The Group is exposed to the risk that the value of foreign financial instruments it holds will fluctuate due to changes in market foreign exchange rates. The Board of Directors periodically approves policies and limits on the maximum level of exposures by currency and in total for both overnight and intra-day positions. Foreign currency risk is addressed through the following measures:

- On a daily basis, the overall foreign exchange risk exposure is measured using spot mid-rates and does not exceed 10% of the Group's core capital.
- Any single currency exposure, irrespective of short or long positions does not exceed the limit of 10% of core capital.
- Intra-day and overnight foreign exchange positions are limited within strictly defined exposure and stop loss limits approved periodically by the Board Risk Management Committee.

The table under note 45 summarises the Group's exposure to foreign currency exchange rate risks.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

c) Market risk (continued)

II. Foreign exchange risk (continued)

Foreign exchange risk – stress test

At 31st December 2012, if the functional currencies in the economic environment in which the Group operates i.e the Kenya Shilling (KES), Tanzania Shilling (TZS) and the Uganda Shilling (UGX) had weakened or strengthened by 10% against the world's major currencies, with all other variables held constant, consolidated profit before income tax expense would have been higher or lower as depicted in below table:

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
4,284	7,655	10% depreciation/appreciation	55,245	11,875

III. Price risk

Shares quoted in the Nairobi Securities Exchange i.e "listed shares" and Treasury bonds held for trading and available for sale are stated at their fair value on the last day of business in the year. These values are subject to frequent variations due to changes in their market prices.

At 31st December 2012, if the prices at the Nairobi Securities Exchange had appreciated/depreciated by 5% with all other variables held constant, the impact on the shareholders equity would have been KES 1,095,021 (2011 – KES 1,200,585) higher/lower.

For the Treasury bonds, an increase / reduction in interest rates by 1% with all other variables held constant, will have an decrease / increase in shareholders' equity of KES 69,060,500 (2011 KES 77,112,758).

d) Capital management

The Group's objectives when managing capital are:

- To safeguard the Group's ability to continue as a going concern in order to provide acceptable returns to the shareholders and benefits for other stakeholders while maintaining an optimal capital structure.
- To comply with capital requirements set by our regulators within the markets that the Group operates in.
- To maintain a strong capital base to support continued business development.
- To create an acceptable buffer catering for unexpected losses that the Group may incur in adverse market scenarios during the course of its business.
- To manage its capital structure and make adjustments to it according to changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividend payment to shareholders, return capital to shareholders or issue capital securities.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

d) Capital management (continued)

The Group's objectives when managing capital are broadly covered as follows:

I Banking

In line with our industry, the broader concept of capital and its adequacy is based on guidelines developed by the Basel Committee's Accords and implemented for supervisory purposes by the Central Banks.

Central Bank of Kenya (CBK), Bank of Tanzania (BOT) and Bank of Uganda (BOU) largely segregate the total regulatory capital into two tiers;

- Tier 1 Capital (Core Capital), which includes ordinary share capital, share premium and retained earnings. The investment in subsidiaries or other financial institutions is deducted in arriving at tier 1 capital.
- Tier 2 Capital (Supplementary Capital) includes among others, 25% of property revaluation reserves (subject to regulatory approval) and collective impairment allowances.

The risk weighted assets are measured by means of a hierarchy of four risk weights classified according to the nature of, and reflecting an estimate of, the credit risk associated with each asset and counterparty. A similar treatment is adopted for off-balance sheet exposure, with some adjustments to reflect the more contingent nature of the potential losses.

During the year, the Bank had complied in full with all its externally imposed capital requirements (2011: the same).

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
12,569,308	9,073,356	Tier 1 capital	14,091,433	9,633,972
13,246,448	9,623,232	Tier 1 + Tier 2 capital	14,817,999	10,209,174
		Risk-weighted assets		
70,906,334	55,939,531	On-balance sheet	76,700,845	60,678,777
9,658,895	4,267,022	Off-balance sheet	9,926,665	4,577,812
80,565,229	60,206,553	Total risk-weighted assets	86,627,510	65,256,589

Regulatory ratios

			(Minimum requirements %)
15.60%	14.98%	Core capital/risk weighted assets	8%
16.29%	14.68%	Core capital/deposits	8%
16.44%	15.89%	Total capital/risk weighted assets	12%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

4) Financial risk management objectives (continued)

Group risk management framework and governance structures (continued)

d) Capital management (continued)

II Investment banking and stock brokerage businesses

The Capital Markets Authority, which regulates the Group's Investment Banking and Stock Brokerage businesses i.e. NIC Capital Limited and NIC Securities Limited respectively, prescribes minimum capitalisation requirements and a working capital of not below 20% of the prescribed minimum shareholders funds or three times the average monthly operating costs whichever is higher. The subsidiaries maintained their capital together with the other requirements well above the minimum requirements as outlined below;

	NIC Capital Shs'000	NIC Securities Shs 000
Minimum capital	250,000	50,000
Capital held as at;		
31 December 2012	437,105	341,958
31 December 2011	373,646	381,064

e) Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed debt and equity instruments traded mainly on the Nairobi Securities Exchange.
- Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices). Input data for this category is sourced mainly from Reuters and the Nairobi Securities Exchange.
- Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs).

The table below shows an analysis of financial instruments at fair value by level of the fair value hierarchy.

Bank			Note	Group	
2012 Shs'000	2011 Shs'000			2012 Shs'000	2011 Shs'000
-	-	Level 1			
		Treasury bonds - fair value through profit and loss	20	138,509	267,464
7,027,460	4,139,032	Treasury bonds - available for sale	20	7,027,460	4,139,032
-	-	Investment in quoted shares at fair value	25	28,932	25,151
78,724	474,068	Level 2			
		Derivative assets held for risk management	21	83,123	474,068
-	-	Level 3			
		Shares in NSE	25	191,000	-

There were no transfers between levels 1, 2 and 3 in the period.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

5) Critical accounting estimates and judgments in applying the Group's accounting policies

I Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the income statement, the Group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

II Held -to-maturity investments

The Group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the Group evaluates its intention and ability to hold such investments to maturity. If the Group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value and not amortised cost.

III Goodwill impairment

The Group's accounting policy for goodwill is described in Note 3(s). Goodwill is allocated to cash-generating units ('CGU') for the purpose of impairment testing. When the process of identifying and evaluating goodwill impairment demonstrates that the expected cash flows of a CGU have declined and/or that its cost of capital has increased, the effect is to reduce the CGU's estimated fair value. If this results in an estimated recoverable amount that is lower than the carrying amount of the CGU, a charge for impairment of goodwill will be recorded, thereby reducing by a corresponding amount the Group's profit for the year. Goodwill is stated at cost less accumulated impairment losses. Significant management judgement is involved in determining the cost of capital assigned to an individual CGU and in estimating its future cash flows.

IV Property and equipment

Critical estimates are made by the directors in determining depreciation rates for property and equipment.

V Fair value of trade receivables and payables

The carrying value less impairment provision of trade receivables and payables are assumed to approximate their fair values. The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Group for similar financial instruments.

VI Taxes

The Group is subjected to numerous taxes and levies by various government and quasi- government regulatory bodies. As a rule of thumb, the Group recognises liabilities for the anticipated tax/levies payable with utmost care and diligence. However, significant judgment is usually required in the interpretation and applicability of those taxes/levies. Should it come to the attention of management, in one way or the other, that the initially recorded liability was erroneous, such differences will impact on the income and liabilities in the period in which such differences are determined.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

5) Critical accounting estimates and judgments in applying the Group's accounting policies (continued)

VII Impairment of available-for-sale equity investments

The Group determines that available-for-sale equity investments are impaired when there has been a significant or prolonged decline in the fair value below its cost. This determination of what is significant or prolonged requires judgement. In making this judgement, the Group evaluates among other factors, the volatility in share price. In addition, objective evidence of impairment may be deterioration in the financial health of the investee, industry and sector performance, changes in technology, and operational and financing cash flows.

VIII Valuation of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. The directors believe that the chosen valuation techniques and assumptions used in the valuation of its investments in NSE shares are appropriate in determining the fair value of financial instruments.

IX Classification of leases of land and buildings as finance or operating leases

At the inception of each lease of land or building, the Group considers the substance rather than the form of the lease contract. Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- The lease transfers ownership of the asset to the lessee by the end of the lease term;
- The lessee has the option to purchase the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- The lease term is for the major part of the economic life of the asset even if title is not transferred;
- At the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset; and
- The leased assets are of such a specialised nature that only the lessee can use them without major modifications.

The Group also considers indicators of situations that individually or in combination could also lead to a lease being classified as a finance lease. Examples of such indicators include:

- If the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equalling most of the sales proceeds at the end of the lease); and
- the lessee has the ability to continue the lease for a secondary period at a rent that is substantially lower than market rent.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

6) Operating segments

a) Geographical segments

The Group operations are within three geographical segments, Kenya, Tanzania and Uganda. The table below contains segmental information provided to the Chief Operating Decision Maker (the Group Executive Committee of management) for the year ended 31st December 2012.

2012

	Kenya Shs `000	Tanzania Shs `000	Uganda Shs `000	Total Shs `000
Net interest income	5,008,522	355,152	120,194	5,483,868
Net fee and commission income	2,554,679	258,262	19,316	2,832,257
Operating income	7,563,201	613,414	139,510	8,316,125
Operating expenses	(2,906,115)	(430,717)	(163,841)	(3,500,673)
Impairment on loans and advances	(265,264)	(32,221)	-	(297,485)
Profit/(loss) before tax	4,391,822	150,476	(24,331)	4,517,967
Profit/(loss) after tax	2,957,922	103,203	(24,331)	3,036,794
Loans and advances to customers	66,381,215	4,844,505	314,372	71,540,092
Customer deposits	77,466,042	5,834,066	79,468	83,379,576

2011

Net interest income	3,986,047	293,441	-	4,279,488
Net fee and commission income	2,073,386	249,860	-	2,323,246
Operating income	6,059,433	543,301	-	6,602,734
Operating expenses	(2,362,770)	(376,865)	-	(2,739,635)
Impairment on loans and advances	(249,166)	(8,985)	-	(258,151)
Profit before tax	3,447,497	157,451	-	3,604,948
Profit after tax	2,597,567	109,570	-	2,707,137
Loans and advances to customers	52,025,475	4,599,146	-	56,624,621
Customer deposits	62,008,953	4,284,100	-	66,293,053

b) Business segments

The Group maintains the following business segments for allocation of resources and assessment of performance.

I. Corporate and Institutional Banking

Targets medium to large corporate clientele and institutions, with a focus on liability mobilization and asset growth.

II. Treasury dealing and brokerage

Treasury dealing targets corporate clientele and institutions, with a focus on those with a foreign exchange component in their business, whereas the stock brokerage focuses on the execution of transactions at the Nairobi Securities Exchange on behalf of high net worth and institutional clients.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

6) Operating segments (continued)

b) Business segments (continued)

III. Retail banking

Targets the mass affluent to high net worth and business banking clientele, with a focus on becoming the customers' core deposit, transactional banker and financier.

IV. Asset finance

Targets both the retail and corporate end of the market as the preferred financier in the motor vehicles, machinery and equipment segments in addition to Insurance Premium Financing (IPF) segment.

V. Investment banking

Targets large and medium sized companies for research, advisory and capital restructuring requirements.

The segment information provided to the Executive Committee of management for the reported segments is contained under note 46. There were no changes in the reportable segments during the year.

7) Interest income

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
290,551	113,675	Due from banking institutions	412,324	137,689
		Government securities		
396,382	281,549	- Held to maturity	415,849	284,756
-	21,108	- At fair value through profit or loss	60,231	46,569
685,037	328,869	- Available for sale	685,037	328,869
1,081,419	631,526		1,161,117	660,194
		Lending to customers		
3,022,674	1,791,229	- Finance leases	3,022,749	1,791,229
6,051,761	3,748,980	- Loans and advances	6,871,384	4,242,468
9,074,435	5,540,209		9,894,133	6,033,697
10,446,405	6,285,410		11,467,574	6,831,580
27,792	7,499	Interest income earned on impaired financial assets	27,792	7,499

Interest income earned on impaired financial assets represents the unwinding of discounting in accordance with IAS 39.

8) Interest expense

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
5,342,007	2,261,284	Customer deposits	5,735,877	2,417,373
124,874	62,211	Due to banking institutions	187,865	121,155
59,964	13,564	Lines of credit	59,964	13,564
5,526,845	2,337,059		5,983,706	2,552,092

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

9) Net fee and commission income

a) Fee and commission income

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
251,825	248,288	Credit related fees and commissions	265,517	260,616
687,922	635,449	Service / transaction fees	787,596	755,967
939,747	883,737		1,053,113	1,016,583

b) Fee and commission expense

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
57,918	51,257	Fees & commissions expense	64,273	58,400

10) Net trading income

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
1,074,248	851,587	Foreign exchange income	1,164,312	946,410
217,678	79,362	Bond trading income	217,678	79,362
-	-	Fair value gain/(loss) on investment in quoted shares (note 25)	1,281	(14,052)
-	-	Loss on revaluation of investment in NSE	(60,000)	-
1,291,926	930,949		1,323,271	1,011,720

11) Other operating income

The following items are included in other operating income

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
4,114	7,145	Rental income	2,526	3,581
185	574	Gain on disposal of motor vehicle & equipment (note 39 (c))	887	595
2,482	9,643	Bad debt recoveries	12,782	39,849
68,788	55,520	Trust and other fiduciary fees	68,788	55,520

12) Impairment on loans and advances

a) Specific allowance for impairment

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
1,587,161	1,321,616	At 1 January	1,690,526	1,420,444
-	-	Exchange difference on translation	(23,691)	(3,929)
204,834	274,805	Charge for the year	229,530	283,271
(208,848)	(9,260)	Write-offs	(243,379)	(9,260)
1,583,147	1,587,161	At 31 December	1,652,986	1,690,526

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

12) Impairment on loans and advances (continued)

b) Collective allowance for impairment

Bank			Group		
2012	2011		2012	2011	
Shs'000	Shs'000		Shs'000	Shs'000	
39,034	64,673	At 1 January	39,553	64,673	
60,430	(25,639)	Charge/(release) for the year	67,955	(25,120)	
99,464	39,034	At 31 December	107,508	39,553	

c) Total allowance for impairment

Bank			Group		
2012	2011		2012	2011	
Shs'000	Shs'000		Shs'000	Shs'000	
1,626,195	1,386,289	At 1 January	1,730,079	1,485,117	
-	-	Exchange difference on translation	(23,691)	(3,929)	
265,264	249,166	Charge for the year	297,485	258,151	
(208,848)	(9,260)	Release for the year	(243,379)	(9,260)	
1,682,611	1,626,195	At 31 December	1,760,494	1,730,079	

13) Employee expenses

Bank			Group		
2012	2011		2012	2011	
Shs'000	Shs'000		Shs'000	Shs'000	
1,384,811	1,147,465	Salaries and wages	1,695,590	1,381,847	
520	1,046	Gratuity provision	520	1,046	
11,120	6,890	Directors' emoluments – fees	15,181	8,809	
98,766	90,280	– other	148,701	108,773	
1,467	1,324	Pension costs – statutory contributions	19,428	13,082	
95,870	79,580	Pension costs – defined contribution	99,231	84,693	
1,592,554	1,326,585		1,978,651	1,598,250	
626	603	Number of employees	783	712	

14) Operating expenses

(a) Depreciation and amortisation

Bank			Group		
2012	2011		2012	2011	
Shs'000	Shs'000		Shs'000	Shs'000	
173,605	143,134	Depreciation (note 27)	204,346	157,151	
97,213	35,572	Amortisation of computer software (note 28)	113,461	41,512	
125	125	Amortisation of operating lease (note 29)	125	125	
270,943	178,831	At 31 December	317,932	198,788	

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

14) Operating expenses (continued)

b) Other operating expenses

The following items are included under this category:

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
4,950	4,002	Auditors' remuneration	10,859	6,918
101,037	95,846	Rental charges	169,317	137,530
19,599	25,052	Share registrations costs	19,599	25,052

15) Income tax

a) Income tax expense

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
1,470,111	987,367	Current tax	1,560,077	1,058,727
-	11,790	Income tax based on taxable profit for the year at 30%	1,295	11,790
		Prior year under provision - current tax		
1,470,111	999,157		1,561,372	1,070,517
(67,024)	(128,022)	Deferred tax (note 26)	(80,199)	(129,125)
-	(43,581)	Current year	-	(43,581)
		Prior year over provision		
1,403,087	827,554		1,481,173	897,811

b) Reconciliation of tax expense to expected tax base based on accounting profit

The tax on the Group's profit before tax differs from the tax charge that would apply if all profit had been taxed using the statutory income tax rate:

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
4,310,949	3,360,602	Profit before tax	4,517,967	3,604,948
1,293,285	1,008,181	Income tax - at the statutory rate of 30 %	1,355,390	1,081,484
183,482	162,304	Tax effect of expenses not deductible for tax	342,492	168,966
(73,680)	(311,140)	Tax effect of revenues that are not taxable	(218,004)	(320,848)
-	11,790	Prior year under provision - current tax	1,295	11,790
-	(43,581)	Deferred tax - prior year	-	(43,581)
1,403,087	827,554		1,481,173	897,811
33%	25%	Effective tax rate	33%	25%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

15) Income tax (continued)

c) Current income tax payable/(recoverable) movement

Bank			Group		
2012	2011		2012	2011	
Shs'000	Shs'000		Shs'000	Shs'000	
223,321	174,215	At 1 January	220,848	171,164	
-	-	Exchange difference on translation	(2,282)	-	
1,470,111	987,367	Tax charge (note 15 (a)) - current year	1,552,111	1,058,727	
-	11,790	Tax charge (note 15 (a)) - prior year	1,295	11,790	
(1,311,294)	(950,051)	Income taxation paid	(1,406,507)	(1,020,833)	
382,138	223,321	At 31 December	365,465	220,848	
-	-	Comprising;	-	-	
-	-	Current income tax recoverable	(17,860)	(8,690)	
382,138	223,321	Current income tax payable	383,325	229,538	
382,138	223,321	At 31 December	365,465	220,848	

16) Earnings per share

Earnings per share is calculated by dividing the profit attributable to equity holders of the parent company by the weighted average number of ordinary shares outstanding during the year.

Bank			Group		
2012	2011		2012	2011	
2,907,862	2,533,048	Profit attributable to equity holders of the Bank (Shs'000)	2,984,406	2,652,458	
		Weighted average number of shares for purposes of basic and diluted earnings per share:			
394,897,562	394,897,562	Issued ordinary shares at 1 January	394,897,562	394,897,562	
50,733,370	34,736,362	Effects of Rights Issue exercised	50,733,370	34,736,362	
49,362,195	49,362,195	Effects of Bonus shares issued	49,362,195	49,362,195	
494,993,127	478,996,119	At 31 December	494,993,127	478,996,119	
5.87	5.29	Earnings Per Share (Shs)	6.03	5.54	

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent company. There were no discontinued operations during the year.

During the year, the company issued bonus shares in the ratio of one bonus share for every ten shares held (2011: 1 for every 10 shares held). The bonus issue was approved by way of ordinary resolution at the last Annual General Meeting. Because the bonus issue was without consideration, it is treated as if it had occurred before the beginning of 2011, the earliest period presented.

There were no potentially dilutive ordinary shares outstanding as at 31st December 2012 and 31st December 2011. Diluted earnings per share is therefore the same as basic earnings per share.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

17) Cash and balances with Central Banks

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
830,855	562,869	Cash on hand	1,081,132	718,687
998,928	-	Balances with Central Banks:	998,928	-
221,306	907,767	- Reverse purchase agreement	472,081	956,716
		- Other (available for use by the Group)		
2,051,089	1,470,636	Included in cash and cash equivalents [note 39 (b)]	2,552,141	1,675,403
3,912,180	3,293,990	Mandatory reserve deposits	4,498,821	3,963,513
5,963,269	4,764,626		7,050,962	5,638,916

The mandatory reserve deposits mainly represents regulatory cash ratio requirements based on the customer deposits with the Group. As at 31st December 2012 the cash ratio requirement in Kenya was 5.25% (2011 – 5.25%), in Tanzania 10.0% (2011 – 10.0%) and Uganda 8.5% of eligible deposits. These funds are not available for the day to day operations of the Group and are non interest earning.

18) Items in the course of collection

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
375,240	250,024	Clearing account balances	429,545	281,796

19) Due from banking institutions

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
395,976	428,214	Deposits due from banking institutions	807,078	598,221
6,173,988	4,058,261	Balances due from banking institutions	7,381,638	5,094,434
6,569,964	4,486,475		8,188,716	5,692,655
3.44%	1.92%	Weighted average effective interest rate as at year end	3.27%	2.17%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

20) Government securities

Securities held to maturity are stated at amortised cost while those classified as "Fair value through profit or loss" and "Available for Sale" are stated at fair value.

a) Government securities are categorised as follows:

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
9,194,971	3,077,723	Investment securities - Held to maturity	10,312,263	3,093,792
-	-	Held for dealing purposes	-	-
7,027,460	4,139,032	Fair value through profit or loss	138,509	267,464
7,027,460	4,139,032	Available for sale	7,027,460	4,139,032
16,222,431	7,216,755		7,165,969	4,406,496
			17,478,232	7,500,288

The table below summarises the weighted average effective interest rate for Government securities as at year end.

Bank			Group	
2012 %	2011 %		2012 %	2011 %
9.26	10.80	Held to maturity	9.20	11.50
-	-	Fair value through profit or loss	15.70	9.28
8.51	9.16	Available for sale	8.51	9.16

b) The maturity profile of Government securities is as follows:

	Held to maturity Shs `000	Designated at fair value through profit or loss Shs `000	Available for sale Shs `000	Total Shs `000
Group				
2012				
Included in cash and cash equivalents	4,511,027	-	-	4,511,027
Less than 1 year	4,512,444	3,725	2,018,456	6,534,625
1-5 years	985,235	112,695	3,393,385	4,491,315
Over 5 years	303,557	22,089	1,615,619	1,941,265
	10,312,263	138,509	7,027,460	17,478,232
2011				
Included in cash and cash equivalents	16,069	-	178,366	194,435
Less than 1 year	845,034	267,464	1,146,003	2,258,501
Over 5 years	2,232,689	-	2,814,663	5,047,352
	3,093,792	267,464	4,139,032	7,500,288

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

b) The maturity profile of Government securities is as follows: (continued)

	Held to maturity Shs '000	Designated at fair value through profit or loss Shs '000	Available for sale Shs '000	Total Shs '000
Bank 2012				
Included in cash and cash equivalents	4,045,142	-	-	4,045,142
Less than 1 year	3,861,037	-	2,018,456	5,879,493
1-5 years	985,235	-	3,393,385	4,378,620
Over 5 years	303,557	-	1,615,619	1,919,176
	9,194,971	-	7,027,460	16,222,431
2011				
Included in cash and cash equivalents	-	-	178,366	178,366
Less than 1 year	845,034	-	1,146,003	1,991,037
Over 5 years	2,232,689	-	2,814,663	5,047,352
	3,077,723	-	4,139,032	7,216,755

21) Derivative assets held for risk management

The amount represents the fair value of forward foreign exchange contracts. These derivative assets and liabilities are measured at fair value through the profit or loss. Notional principal amounts are the amounts underlying the contract at the reporting date.

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
78,724	474,068	Fair value of forward contracts	83,123	474,068
10,366,805	4,375,431	Notional value of forward contracts	10,904,232	4,375,431

22) Loans and advances to customers

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
20,269,271	16,327,451	Finance lease receivables	20,292,251	16,327,451
46,826,281	37,300,335	Commercial loans	52,040,061	42,003,364
968,274	23,885	Bills discounted	968,274	23,885
68,063,826	53,651,671	Gross loans and advances to customers	73,300,586	58,354,700
		Provisions for impairment		
1,583,147	1,587,162	Specific allowance	1,652,986	1,690,526
99,464	39,034	Collective allowance	107,508	39,553
1,682,611	1,626,196	Total impairment	1,760,494	1,730,079
66,381,215	52,025,475	Net loans and advances to customers	71,540,092	56,624,621
467,727	69,510	Net non performing loans and advances to customers	679,715	270,751

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

22) Loans and advances to customers (continued)

Finance lease receivables, may be analysed as follows:

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
1,528,575	2,538,997	Not later than 1 year	1,551,555	2,538,997
18,776,274	13,838,598	Later than 1 year and not later than 5 years	18,780,053	13,838,598
20,304,849	16,377,595		20,331,608	16,377,595
(35,578)	(50,144)	Unearned future finance income on finance leases	(39,357)	(50,144)
20,269,271	16,327,451	Present value of minimum lease payments receivable	20,292,251	16,327,451

The Group enter into finance leasing arrangements for certain plant, equipment, motor vehicles and aircraft. The average term of finance leases entered into is 3 years. Unguaranteed residual values of assets leased under finance leases are estimated at nil (2011: nil).

The weighted average effective interest rates on loans and advances to customers at year end were as follows:

Bank			Group	
2012	2011		2012	2011
%	%		%	%
13.20	16.19	Finance lease receivables	13.20	16.19
11.62	14.72	Commercial loans	11.81	14.84
16.08	11.89	Bills discounted	16.08	11.89

23) Other assets

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
98,350	134,983	Prepayments	148,514	147,690
516,806	111,525	Other receivables	694,022	127,970
-	-	Trade receivables	71,206	59,827
615,156	246,508		913,742	335,487

24) Due from Group companies

	Bank	
	2012	2011
	Shs'000	Shs'000
NIC Capital	4,616	3,054
NIC Securities	5,390	3,412
NIC Bank Tanzania	1,171,950	1,354,380
NC Bank Uganda	421,294	-
	1,603,250	1,360,846

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

25) Investments

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
2,285,324	1,147,786	Investment in subsidiaries	-	-
-	-	Quoted shares at fair value	28,932	25,151
-	-	Unquoted equity security at cost	23,999	27,781
-	-	Unquoted equity investment in NSE at fair value	191,000	-
2,285,324	1,147,786		243,931	52,932

a) The movement in investments is as follows:

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
1,147,786	1,147,786	At 1 January	52,932	51,703
-	-	Exchange differences on translation	(3,782)	-
-	-	Additions at cost - investment in quoted shares	6,133	22,973
-	-	Unquoted equity security at cost	-	26,781
-	-	Unquoted equity investment in NSE at fair value	191,000	-
1,137,538	-	Investment in NC Uganda	-	-
-	-	Changes in fair value - investment in quoted shares	1,281	(14,052)
-	-	Disposal - quoted shares	(3,633)	(34,473)
2,285,324	1,147,786	At 31 December	243,931	52,932

All available-for-sale financial assets are denominated in Kenya Shillings. None of the financial assets are impaired.

b) Investment in subsidiaries (at cost)

BANK Name	Principal activity	Holding %	2012 Shs `000	2011 Shs `000
NC Bank Uganda	Banking	100	1,137,538	-
NIC Bank Tanzania	Banking	51	596,285	596,285
NIC Capital	Financial advisory	100	500,000	500,000
NIC Insurance Agents	Insurance agency	100	1,000	1,000
National Industrial Credit Trustees	Dormant	100	500	500
Mercantile Finance Company	Dormant	100	50,000	50,000
The African Mercantile Banking Company	Dormant	100	1	1
			2,285,324	1,147,786

NIC Capital Limited has a subsidiary, NIC Securities Limited whose results have been incorporated in these financial statements. Details of NIC Securities Limited at cost are as follows:

Name	Principal activity	Holding %	2012 Shs `000	2011 Shs `000
NIC Securities Limited	Brokerage services	91.3%	438,370	438,370

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

25) Investments (continued)

b) Investment in subsidiaries (at cost) (continued)

All the subsidiary companies have their financial year ending 31st December and are incorporated as limited liability companies. Except for NIC Bank Tanzania Limited and NC Bank Uganda Limited which are incorporated and domiciled in Tanzania and Uganda respectively, all other subsidiaries are incorporated and domiciled in Kenya.

NC Bank Uganda Limited was established in 2012 to offer banking services for our customers in Uganda. In its first year of operations, the audited financial statements for the year ended 31st December 2012 show that the company made a loss equivalent to KES 24,331,000.

NIC Bank Limited acquired 51% of Savings & Finance Commercial Bank Limited now renamed NIC Bank Tanzania Ltd with effective control being passed on 1st May 2009. The audited financial statements for the year ended 31st December 2012 show that the company made a profit equivalent to KES 103,203,000 (2011 - KES 109,570,000).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements for the year ended 31st December 2012 show that the company made a profit of KES 63,459,000 (2011 - KES 41,733,000).

NIC Capital Limited (NICCL) acquired NIC Securities Ltd (NICSL) with effective control being passed on 1st January 2008. Subsequently, substantially through rights issues, the shareholding of NICCL in NICSL has increased to 91.3%. NICSL offers brokerage services and is a registered broker with the Nairobi Securities Exchange. The audited financial statements for the year ended 31st December 2012 show that the company made a profit of KES 20,894,000 (2011 - KES 11,381,000). The results of NIC Securities Limited are consolidated in these financial statements.

NIC Insurance Agents Limited was a 68% subsidiary of Mercantile Finance Company Limited (MFC). In 2010, NIC Bank Limited acquired the non-controlling interest and now directly owns 100% of the company. The company offers Bancassurance services. The audited financial statements for the year ended 31st December 2012 show that the company made a profit of KES 12,906,000 (2011 - KES 11,427,000).

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2011 - KES nil).

Mercantile Finance Company Limited did not trade during the year ended 31st December 2012. Its activities are limited to the recovery of its non performing debts. The audited financial statements show that the company made no profit or loss for the year (2011 - KES nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31st December 2012. The audited financial statements show that the company made no profit or loss for the year (2011 - KES nil).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

26) Deferred tax asset

The net deferred tax computed at the enacted rate of 30%, is attributable to the following items:

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
		Assets:		
(9,688)	(6,957)	Leave pay provision	(9,854)	(7,283)
(281,660)	(104,704)	Excess depreciation over capital allowances	(272,756)	(105,132)
(184,040)	(111,396)	Collective allowance for impairment	(185,785)	(111,397)
-	-	Available for sale financial assets	-	-
-	(158,378)	- current year	-	(158,378)
-	(28,979)	- prior year	-	(28,979)
-	-	Other provisions	(214)	(8,075)
-	-	Tax losses	(22,603)	(4,066)
(475,388)	(410,414)		(491,212)	(423,310)
		Liabilities:		
174,161	-	Available for sale financial assets	174,161	-
59,419	61,468	Revaluation surplus	59,419	61,468
(241,808)	(348,946)		(257,632)	(361,842)

Comprising:

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
		Movement in net deferred tax is as follows:		
(348,946)	10,014	At 1 January	(361,842)	(1,825)
-	-	Exchange differences on translation	10,248	46
		Fair value re-measurement of available-for-sale financial assets:		
174,161	(158,378)	- current year	174,161	(158,378)
-	(28,979)	- prior year	-	(28,979)
		Charge to profit or loss (note 15 (a))		
(67,023)	(128,022)	- current year	(80,199)	(129,125)
-	(43,581)	- prior year	-	(43,581)
(241,808)	(348,946)	At 31 December	(257,632)	(361,842)
(241,808)	(348,946)	Deferred tax asset	(257,632)	(361,842)
(241,808)	(348,946)	At 31 December	(257,632)	(361,842)

As at 31st December 2012, the Group had accumulated tax losses available for future relief of KES 75,342,429 – relating to NC Uganda Ltd (2011: KES 13,555,000 – relating to NIC Securities Ltd).

Under the Kenyan legislation, with effect from 1st January 2011, tax losses can only be carried forward to a maximum of four years. In Uganda, the tax losses can be carried forward for an indefinite period.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

27) Property and equipment

GROUP

	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work in progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2011	370,000	1,017,058	18,814	30,233	1,436,105
Additions	-	177,986	8,412	188,628	375,026
Transfers	-	39,486	-	(39,486)	-
Disposals	-	(3,490)	-	-	(3,490)
At 31 December 2011	370,000	1,231,040	27,226	179,375	1,807,641
At 1 January 2012	370,000	1,231,040	27,226	179,375	1,807,641
Additions	-	157,111	36,690	64,896	258,698
Transfers - WIP	-	158,688	-	(158,688)	-
Disposals	-	(19,992)	(2,071)	-	(22,063)
Translation adjustments	-	(6,323)	(1,197)	(5,127)	(12,648)
At 31 December 2012	370,000	1,520,524	60,648	80,456	2,031,628
Comprising:					
Cost	144,617	1,520,524	60,648	80,456	1,806,245
Valuation - 2008	225,383	-	-	-	225,383
	370,000	1,520,524	60,648	80,456	2,031,628
DEPRECIATION					
At 1 January 2011	22,424	651,780	11,371	-	685,575
Charge for the year	11,212	140,854	5,085	-	157,151
Eliminated on disposals	-	(3,073)	-	-	(3,073)
At 31 December 2011	33,636	789,561	16,456	-	839,653
At 1 January 2012	33,636	789,561	16,456	-	839,653
Charge for the year	11,212	184,299	8,835	-	204,346
Eliminated on disposals	-	(19,888)	(2,374)	-	(22,262)
At 31 December 2012	44,848	953,972	22,917	-	1,021,737
NET BOOK VALUE					
At 31 December 2012	325,152	566,552	37,731	80,456	1,009,891
At 31 December 2011	336,364	441,480	10,770	179,375	967,988

Buildings were revalued at KES 370 million as at 31st December 2008 by registered professional valuers, Knight Frank Limited on an open market value basis by reference to market evidence of recent transactions for similar properties. Buildings are revalued every 3-5 years. At 31st December 2012, the net book value of buildings based on original cost was KES 127,088,000 (2011 - KES 131,470,000). There were no capitalised borrowing costs related to the acquisition of property and equipment during the year 2012 (2011 - KES nil).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of KES 538,099,158 (2011 - KES 473,718,790) which were fully depreciated. The notional depreciation charge on these assets would have been KES 120,399,602 (2011 - KES 105,159,025). Computer equipment are included under furniture, fittings and equipment. Work in progress mainly related to the acquisition of banking software and related hardware in 2011 and the branch expansion programme in Tanzania and Kenya in 2012.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

27) Property and equipment (continued)

BANK

	Buildings Shs `000	Furniture, fittings and equipment Shs `000	Motor vehicles Shs `000	Work In progress Shs `000	Total Shs `000
COST OR VALUATION					
At 1 January 2011	370,000	958,078	14,789	-	1,342,867
Additions	-	153,092	4,467	149,493	307,052
Disposals	-	(3,469)	-	-	(3,469)
At 31 December 2011	370,000	1,107,701	19,256	149,493	1,646,450
At 1 January 2012	370,000	1,107,701	19,256	149,493	1,646,450
Additions	-	71,711	18,878	16,965	107,554
Transfers	-	158,688	-	(158,688)	-
Disposals	-	(19,968)	(268)	-	(20,236)
At 31 December 2012	370,000	1,318,132	37,866	7,770	1,733,768
Comprising:					
Cost	144,617	1,318,132	37,866	7,770	1,421,067
Valuation – 2008	225,383	-	-	-	225,383
	370,000	1,318,132	37,866	7,770	1,646,450
DEPRECIATION					
At 1 January 2011	22,424	625,287	6,890	-	654,601
Charge for the year	11,212	128,889	3,033	-	143,134
Eliminated on disposals	-	(3,053)	-	-	(3,053)
At 31 December 2011	33,636	751,123	9,923	-	794,682
At 1 January 2012	33,636	751,123	9,923	-	794,682
Charge for the year	11,212	158,150	4,243	-	173,605
Eliminated on disposals	-	(19,864)	(267)	-	(20,131)
At 31 December 2012	44,848	889,409	13,899	-	948,156
NET BOOK VALUE					
At 31 December 2012	325,152	428,723	23,967	7,770	785,612
At 31 December 2011	336,364	356,578	9,333	149,493	851,768

Buildings were revalued at KES 370 million as at 31st December 2008 by registered, professional valuers, Knight Frank Limited on an open market value basis by reference to market evidence of recent transactions for similar properties. At 31st December 2012, the net book value of buildings based on original cost was KES 127,088,000 (2011 – KES 131,470,000).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of KES 522,846,292 (2011 – KES 456,796,033) which were fully depreciated. The notional depreciation charge on these assets would have been KES 116,797,128 (2011 – KES 91,359,213). Computers are included under furniture, fittings and equipment. Work in progress mainly relates to the acquisition of banking software related hardware in 2011 and the branch expansion programme.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

28) Intangible assets

Bank			Group		
2012 Shs'000	2011 Shs'000		Note	2012 Shs'000	2011 Shs'000
642,337	400,544	Computer software	28 (a)	752,066	410,796
-	-	Goodwill	28 (b)	375,426	375,426
-	-	NSE Licence	28 (c)	-	251,000
642,337	400,544	At 31 December		1,127,492	1,037,222

Details of the intangible assets are as follows:

a) Computer software

Bank				Group		
Capitalised Shs `000	Work-in Progress* Shs `000	Total Shs `000		Capitalised Shs `000	Work-in Progress* Shs `000	Total Shs `000
266,703	45,876	312,579	COST	281,442	45,876	327,318
45,819	260,940	306,759	At 1 January 2011	49,067	262,171	311,238
45,876	(45,876)	-	Additions	45,876	(45,876)	-
358,398	260,940	619,338	At 31 December 2011	376,385	262,171	638,556
358,398	260,940	619,338	At 1 January 2012	376,385	262,171	638,556
-	-	-	Translation adjustment	(886)	(1,272)	(2,158)
84,607	254,398	339,005	Additions	84,609	371,011	455,620
515,338	(515,338)	-	Transfers	629,007	(629,007)	-
958,343	-	958,343	At 31 December 2012	1,089,115	2,903	1,092,018
183,222	-	183,222	AMORTISATION	186,248	-	186,248
35,572	-	35,572	At 1 January 2011	41,512	-	41,512
218,794	-	218,794	At 31 December 2011	227,760	-	227,760
218,794	-	218,794	At 1 January 2012	227,760	-	227,760
-	-	-	Translation adjustments	(1,268)	-	(1,268)
97,213	-	97,213	Charge for the year	113,461	-	113,461
316,007	-	316,007	At 31 December 2012	339,953	-	339,953
			Net Book Value			
642,337	-	642,337	At 31 December 2012	749,162	2,903	752,066
139,604	260,940	400,544	At 31 December 2011	148,625	262,171	410,796

Computer software of the Group with a gross value of KES 210,660,661 (2011 – KES 150,198,967) are fully amortised but still in use. The notional amortisation charge on the assets would have been KES 42,132,132 (2011 – KES 30,039,793).

*Work in progress relates to the purchase of the new banking software.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

28) Intangible assets (continued)

b) Goodwill

The goodwill consists of equity interest held by the Group in;

	2012		2011	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	51.0	251,996	51.0	251,996
NIC Securities	91.3	123,430	91.3	123,430
At 31 December		375,426		375,426

Goodwill is reviewed annually for impairment or more frequently when there are indications that impairment may have occurred. There was no impairment identified in 2012 (2011: KES nil).

c) NSE Licence

This licence refers to the seat then held at the Nairobi Securities Exchange (NSE) by the Group through NIC Securities Limited. The seat had been revalued at KES 251 million, based on an arm's length transaction of a similar seat. Due to the demutualisation of NSE, the seat was converted to ordinary equity shares in NSE in 2012 and has been reclassified under investments (note 25) valued at KES 191 million.

29) Operating lease prepayments – Leasehold land

GROUP AND BANK

Cost

At 31 December

Amortisation

At 1 January
Charge for the year

At 31 December

Net book value

	2012 Shs '000	2011 Shs '000
At 31 December	10,000	10,000
At 1 January	2,500	2,375
Charge for the year	125	125
At 31 December	2,675	2,500
Net book value	7,375	7,500

30) Customer deposits

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
29,541,017	21,085,185	Current accounts	31,448,785	22,228,140
987,637	1,509,284	Savings accounts	1,395,680	2,027,182
46,629,310	39,198,516	Term deposits	50,005,226	41,821,752
308,078	215,968	Other deposits	529,885	215,979
77,466,042	62,008,953	At 31 December	83,379,576	66,293,053
5.17%	7.49%	Weighted average effective interest rate as at year end	5.31%	7.37%

Customer deposits include financial instruments classified as liabilities at amortised cost. Included in term deposits are deposits which are at fixed interest rates whereas all other deposits are at variable rates.

Other deposits are those held as collateral for irrevocable commitments mainly under import letters of credit and performance bonds. Their fair value approximates the carrying amount.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

31) Due to banking institutions

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
3,044,959	206,149	Maturing within 90 days:	3,571,280	788,647
		Due to banking institutions		
8.36%	21.9%	Weighted average effective interest rate as at year end	7.92%	21.5%

Deposits due to banking institutions include financial instruments classified as liabilities at amortised cost.

32) Lines of credit

GROUP AND BANK

As at 31st December 2012, the Group had an unsecured revolving medium term lines of credit for onward lending with;

- Agence Francaise De Development (PROPARCO). The amount outstanding was USD 22,413,574 (2011 – USD 2,241,231) equivalent to KES 1,927,567,000 (2011 – KES 190,280,000).
- The Dutch Development Finance Institution, FMO. The amount outstanding was USD 20,091,244 (2011 – Nil) equivalent to KES 1,727,847,000 (2011 – Nil).

Maturity

Payable within one year
Payable after one year and within three years
Payable after three years

2012	2011
Shs `000	Shs `000
51,583	117,842
1,402,041	72,438
2,201,790	-
3,655,414	190,280
3.32%	5.23%

Weighted average effective interest rate as at year end

Lines of credit are financial instruments classified as a liabilities at amortised cost.

33) Due to group companies

BANK

	2012	2011
	Shs `000	Shs `000
Deposits held		
- NIC Capital	142,105	85,456
- Mercantile Finance Company	5,210	5,210
- NIC Securities	198,145	177,282
- NIC Insurance Agents	16,951	11,339
Other payables		
- Mercantile Finance Company	42,020	42,020
- NIC Bank Tanzania	17,859	808
- NC Bank Uganda	188,070	-
	610,360	322,115

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

34) Other liabilities

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
253,378	257,521	Bills payable	270,269	298,089
1,205,930	391,850	Other payables and accruals	1,383,178	479,880
-	-	Preference shares	29,899	34,815
2,630	2,176	Legal and other claims	15,050	13,332
-	-	Trade payables	92,179	53,236
32,293	23,191	Leave pay provision	32,847	24,277
1,494,231	674,738	At 31 December	1,823,422	903,629

Legal and other claims relate substantially to a provision for charges brought against the Group by customers of the stock brokerage subsidiary, NIC Securities Limited. In the directors' opinion, after taking appropriate legal advice, the outcome of these legal claims will not give rise to any significant loss beyond the amounts provided at 31st December 2012.

The preference shares relate to East African Development Bank (EADB) which invested TZS 650 million in 8% non-redeemable and non-cumulative preference shares issued by NIC Bank Tanzania in November 2004. The preference shareholders have the discretion to transfer to the existing shareholders or may convert their shares into ordinary shares upon attainment of certain covenants. Dividends on the preference shares are payable when there are sufficient cash resources at the date of declaration, subject to the business and industry requirements of the company, making of prudent reserves and provisions in general and complying with all applicable legislation.

35) Unclaimed Dividends

GROUP AND BANK

The movement in unclaimed dividends is as follows:

	2012 Shs'000	2011 Shs'000
At 1 January		
Final dividend declared	55,905	50,181
Interim dividend declared	98,724	89,749
Dividends paid	-	98,724
	(100,675)	(182,749)
At 31 December	53,954	55,905

At the Annual General Meeting scheduled for 8th May 2013, a first and final dividend in respect of 2012 of KES 1.00 per share (2011 – KES 0.25 interim dividend and KES 0.25 final dividend per share) amounting to a total of KES 542,984,000 (2011 – KES 197,448,000) is to be proposed by the directors.

The total estimated dividend for the year to be paid is therefore KES 1.00 per share (2011 – KES 0.50 per share) amounting to a total of KES 542,984,000 (2011 – KES 197,448,000). The final proposed dividend for the year is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

Payment of dividends to members with shareholding of up to 12.5% is subject to withholding tax at the rate of 5.0% for residents and 10.0% for non-residents.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

36) Share capital and reserves

(a) Share capital and share premium

GROUP AND BANK

	Number of shares	Share capital Shs '000	Share premium Shs '000
Balance at 1 January 2011	358,997,784	1,794,989	28,848
Bonus issue	35,899,778	179,499	(28,848)
Balance at 31 December 2011	394,897,562	1,974,488	-
Balance at 1 January 2012	394,897,562	1,974,488	-
Rights issue	98,724,391	493,622	1,579,590
Bonus issue	49,362,195	246,811	(246,811)
Bonus and Rights issue expenses	-	-	(123,980)
Balance at 31 December 2012	542,984,148	2,714,921	1,208,799

As at 31st December 2012 the authorised share capital of the Bank comprised of 800,000,000 (2012 - 400,000,000) ordinary shares with a par value of KES 5. The issued shares as at 31st December 2012 are 542,984,148 (2011: 394,897,562) and are fully paid. Issued and fully paid ordinary shares, which have a par value of KES 5, carry one vote per share and carry a right to dividend.

During the year, the company capitalized the sum of KES 246,811,000 from the credit of the share premium account and appropriated the amount to ordinary shareholders by way of a 1 for 10 bonus issue. The bonus issue was approved by way of ordinary resolution at the Annual General Meeting held on 2nd May 2012. The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at General Meetings of the Bank.

During the year, the Bank undertook a successful Rights Issue of one share for every four shares held amounting to 98,724,391 shares at KES 21, resulting in an increase of capital of KES 493,622,000 and share premium of KES 1,579,590,000.

Premiums from the issue of shares are reported as share premiums. During the year, a portion of this was utilised to cater for the Rights Issue and related Rights Issue expenses.

(b) Revaluation surplus on property

Revaluation reserve is made up of the periodic adjustment arising from the valuation of buildings, net of the related deferred taxation. The reserve is not available for distribution to the shareholders.

(c) Investments revaluation reserves

This represents the unrealized increase or decrease in the fair value of available-for-sale investments after deduction of deferred income taxes, excluding impairment losses. The reserve is not available for distribution to the shareholders.

(d) Foreign currency translation reserves

The reserves represent exchange differences arising from translation of the net assets of the Group's foreign operations which are NIC Bank Tanzania Limited and NC Bank Uganda Limited from their functional currency (Tanzania Shillings and Uganda Shillings respectively), to the Group's presentation currency (Kenya Shillings). These differences are recognised directly through other comprehensive income and accumulated in the foreign currency translation reserve in equity. The reserve is not available for distribution to the shareholders.

(e) Statutory credit risk reserves

Where impairment losses required by prudential guidelines issued by the banking regulators exceed those computed under the International Financial Reporting Standards (IFRS), the excess is recognised as a statutory reserve and accounted for as an appropriation from revenue reserves. The reserve is not available for distribution to the shareholders.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

36) Share capital and reserves (continued)

(f) Revenue reserves

This represents undistributed profits from current and previous years.

37) Non-controlling interests

The total non controlling interest consists of equity interest in subsidiaries;

Group	2012		2011	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	49.0	486,558	49.0	435,988
NIC Securities	8.7	34,976	8.7	33,158
At 31 December		521,534		469,146

a) NIC Bank Tanzania

On 1st May 2009, the Group acquired a 51% stake in one of Tanzania's mid-sized commercial banks, Savings & Finance Commercial Bank Ltd, later renamed NIC Bank Tanzania Limited. NIC Bank Tanzania Ltd was founded as a non-bank financial institution in 1994, converted to a fully fledged commercial bank in 2005 and has branches in Dar es Salaam (2), Mwanza (1), Arusha (1) and Kahama (1).

Movement in non-controlling interests

	2012 Shs'000	2011 Shs'000
At 1 January	435,988	382,299
Share of profit	50,570	53,689
At 31 December	486,558	435,988

b) NIC Securities

On 31st December 2007, the Bank acquired 57.7% of NIC Securities Limited (formerly Solid Investment Securities Limited) through its wholly owned subsidiary NIC Capital Limited. Through combinations of direct buy-outs and additional rights issues, the Group increased its shareholding in the subsidiary to 91.3% in 2009.

Movement in non-controlling interests

	2012 Shs'000	2011 Shs'000
At 1 January	33,158	32,168
Share of profit	1,818	990
At 31 December	34,976	33,158

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

38) Off balance sheet financial instruments, contingent liabilities and commitments

a) Contingent liabilities

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
4,404,221	5,289,500	Letters of credit	4,451,256	5,301,250
9,410,641	7,896,163	Guarantees & performance bonds	9,660,754	8,175,203
13,814,862	13,185,663	At 31 December	14,112,010	13,476,453

In the ordinary course of business, the Group conducts business involving letters of credit, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for purchase and sale of foreign currencies, the nominal amounts of which are not reflected in the statement of financial position.

Letters of credit are commitments by the Group to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers. Guarantee and performance bonds are issued by the Group, on behalf of customers, to guarantee performance by customers to third parties. The Group will only be required to meet these obligations in the event of default by the customers.

(b) Operating lease prepayments

i) The group as a lessor

At the end of the reporting period, the Group had contracted with tenants for the following future lease receivables:

GROUP AND BANK

	2012	2011
	Shs'000	Shs'000
Within one year	2,244	2,580
In the second to fifth year inclusive	-	2,244
At 31 December	2,244	4,824

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months notice to vacate the premises.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

38) Off balance sheet financial instruments, contingent liabilities and commitments (continued)

(b) Operating lease prepayments (continued)

ii) The group as a lessor

At the end of the reporting period, the Group had non-cancellable operating leases which fall due as follows:

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
		Premises		
112,693	106,145	Within one year	154,669	132,303
348,230	325,294	In the second to fifth year inclusive	676,519	413,484
460,923	431,439	At 31 December	831,188	545,787
		Office equipment		
2,854	1,348	Within one year	2,854	1,348
149	-	In the second to fifth year inclusive	149	-
3,003	1,348	At 31 December	3,003	1,348

Operating lease payments represent rentals payable by the Group for its business premises and office equipment. Premises leases are negotiated for an average term of 6 years, while office equipment is for an average term of 3 years. For these contingent liabilities, no reimbursement is expected.

c) Capital commitments

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
51,012	852,668	Authorised and contracted for	85,051	930,120
399,950	223,360	Authorised but not contracted for	469,867	252,092
450,962	1,076,028	At 31 December	554,918	1,182,212

The capital commitments largely relate to branch expansion activities and software acquisition. The Group's management is confident that future net revenues and funding will be sufficient to cover this commitment.

d) Legal proceedings

Besides the provision made (see note 34), various claims against the Group are considered without merit, and the Group is defending them vigorously. It is not possible to estimate the Group's possible loss in relation to these matters, nor the effect that they might have upon operating results in any particular financial period. No contingent liability associated with legal actions has been disclosed as professional advice indicates that it is unlikely that any significant loss will arise.

e) Other credit commitments

Commitments to lend are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for fixed periods. The Group may withdraw from its contractual obligations to extend credit by giving reasonable notice to the customers.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

39) Notes to the consolidated statement of cashflows

a) Cash generated from operations

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
		Reconciliation of profit before tax to cash generated from operations		
4,310,949	3,360,602	Profit before tax	4,517,967	3,604,948
		Adjustments for:		
173,605	143,134	Depreciation	204,346	157,151
125	125	Amortisation of operating lease prepayments	125	125
-	-	Loss on revaluation of investment in NSE	60,000	
97,213	35,572	Amortisation of intangible assets	113,461	41,512
-	-	(Gain) / loss on revaluation of fair value through profit and loss investments	(1,281)	14,052
(186)	(574)	Gain on sale of equipment	(888)	(595)
4,581,706	3,538,859	Profit before working capital changes	4,893,730	3,817,193
(618,190)	(1,296,906)	Increase in balances with Central Banks; – Mandatory reserve deposits	(535,536)	(1,582,227)
(14,355,740)	(13,684,596)	Increase in loans and advances to customers	(14,915,471)	(15,869,642)
-	-	Proceeds on disposal of quoted shares – held for trading	3,633	34,473
-	-	Outflows on purchase of quoted shares – held for trading	(6,133)	(22,973)
-	-	Investment in unquoted shares – available for sale	-	(26,781)
(4,558,361)	(2,719,906)	Increase in Government securities maturing after 90 days	(5,080,814)	(2,759,747)
395,344	(470,745)	Net movement in derivatives held for risk management	390,945	(470,745)
(368,648)	(77,682)	Increase in other assets	(578,255)	(120,593)
45,841	(821,837)	Increase in amount due to / (from) group companies	-	-
15,457,089	16,691,292	Increase in customer deposits	17,086,523	17,800,829
819,492	15,812	Increase in other liabilities	619,977	5,880
3,465,134	(113,004)	Increase / (decrease) in line of credit	3,465,134	(113,004)
4,863,667	1,061,287	Cash generated from operations	5,343,733	692,663

b) Cash and cash equivalents

Analysis of balances of cash and cash equivalents as shown in the consolidated statement of cash flows and notes:

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
2,051,089	1,470,636	Cash and balances with Central banks	2,552,141	1,675,403
375,240	250,024	Items in course of collection	429,545	281,796
6,569,964	4,486,475	Due from banking institutions	8,188,716	5,692,655
4,045,142	178,366	Government securities	4,511,027	194,435
(3,044,959)	(206,149)	Due to banking institutions	(3,571,280)	(788,647)
9,996,476	6,179,353	At 31 December	12,110,149	7,055,642

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

39) Notes to the consolidated statement of cashflows (continued)

c) Proceeds from sale of motor vehicle and equipment

Bank				Group	
2012 Shs'000	2011 Shs'000		Note	2012 Shs'000	2011 Shs'000
20,236	3,469	Disposal at cost	27	22,063	3,490
(20,131)	(3,053)	Depreciation eliminated on disposal	27	(22,262)	(3,073)
185	574	Gain on disposal of motor vehicle and equipment	11	887	595
290	990	Proceeds from sale of motor vehicle and equipment		688	1,012

40) Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

In the normal course of business, a number of banking transactions are entered into with related parties i.e. staff, directors, their associates and companies associated with directors. These include loans, deposits and foreign currency transactions. Loans and advances to customers at 31st December include loans and advances to staff and to companies associated with directors. Contingent liabilities at 31st December include guarantees and letters of credit for companies associated with directors.

Loans and advances to customers:

Companies associated with directors

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
1,179,687	1,018,418	At 1 January	1,186,810	1,040,829
(206,451)	161,269	Net movement during the year	(197,446)	145,981
973,236	1,179,687	At 31 December	989,364	1,186,810
81,250	90,295	Interest earned	83,475	91,683
328,653	356,282	Guarantees and letters of credit to companies associated with directors	337,658	356,282

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties.

Employees/Staff

Bank			Group	
2012 Shs'000	2011 Shs'000		2012 Shs'000	2011 Shs'000
611,700	467,649	At 1 January	624,343	479,096
32,459	144,051	Net movement during the year	40,557	145,247
644,159	611,700	At 31 December	664,900	624,343
46,513	30,768	Interest earned	50,017	33,420

These loans and advances are performing and are adequately secured.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

40) Related party transactions (continued)

Customer deposits

Companies associated with directors

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
4,696,934	4,980,085	At 1 January	4,744,307	5,007,296
(1,447,431)	(283,151)	Net movement during the year	(1,343,817)	(262,989)
3,249,503	4,696,934	At 31 December	3,400,490	4,744,307
325,127	288,345	Interest paid	326,770	288,623

Employees/Staff

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
97,173	58,225	Customer deposits	99,056	78,998
21,808	38,948	At 1 January	33,982	20,058
118,981	97,173	At 31 December	133,038	99,056
6,535	2,439	Interest paid	6,539	2,495

Other amounts outstanding at the end of the reporting period are disclosed in notes 24 and 33.

Key management compensation

The remuneration of directors and other members of key management during the year was as follows:

Bank			Group	
2012	2011		2012	2011
Shs'000	Shs'000		Shs'000	Shs'000
243,994	212,675	Salaries and other benefits	329,683	242,781
11,120	6,890	Directors' remuneration	15,181	8,809
98,766	90,280	Fees for services as directors	148,701	108,773
109,886	97,170	Other emoluments (included in key management compensation above)	163,882	117,582

In line with policy, the above compensation is a consolidated salary package encompassing all employment benefits and pension.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

41) Assets pledged as security

As at 31st December 2012, there were no assets pledged by the Group to secure liabilities and there were no secured Group liabilities (2011: KES nil).

42) Fiduciary activities

The Group holds asset security documents on behalf of customers with a value of KES 39,120,242,383 (2011 - KES 30,037,235,373). These securities are held by the custody services department and comprise deposits with financial institutions, government securities and quoted and unquoted securities, among others.

43) Events after the balance sheet date

The Board of Directors of NIC Bank Tanzania Limited where NIC Bank owns 51% shareholding as at 31st December 2012, has approved the raising of additional capital of TZS 8.5 billion (KES 459 million) through a Rights Issue. The Board of Directors of NIC Bank Limited has approved full participation in the Rights Issue which will involve an additional investment of TZS 4,335 million (KES 234 million) in NIC Tanzania. In addition, the Board of Directors approved the acquisition of additional shares from existing shareholders, and the take-up of Rights that are not exercised by existing shareholders. This will involve an investment of TZS 6,925 million (KES 374 million). This brings the total additional investment in NIC Tanzania to TZS 11,261 million (KES 608 million). The Rights Issue is expected to be concluded by 30th June 2013.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

44) (a) MATURITY ANALYSIS OF FINANCIAL LIABILITIES AND ASSETS

FINANCIAL LIABILITIES

	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	4 to 5 Years Shs'000	Over 5 Years Shs'000	Total Shs'000
Customer deposits	51,456,116	26,828,480	4,962,908	132,072	-	-	83,379,576
Due to banking institutions	3,396,893	174,387	-	-	-	-	3,571,280
Lines of credit	12,605	-	38,978	1,402,041	2,201,790	-	3,655,414
Unclaimed dividends	53,954	-	-	-	-	-	53,954
Other liabilities	1,823,422	-	-	-	-	-	1,823,422
Total financial liabilities	56,742,990	27,002,867	5,001,886	1,534,113	2,201,790	-	92,483,646

FINANCIAL ASSETS

Cash and balances with Central Banks	4,351,367	2,268,740	419,686	11,169	-	-	7,050,962
Items in the course of collection	429,545	-	-	-	-	-	429,545
Due from banking institutions	6,617,379	1,571,337	-	-	-	-	8,188,716
Government securities	1,120,248	4,374,917	5,290,023	2,420,950	2,352,916	1,919,177	17,478,231
Derivative assets held for risk management	83,123	-	-	-	-	-	83,123
Loans and advances to customers	11,051,916	8,614,929	16,102,807	15,753,461	15,774,966	4,242,013	71,540,092
Other assets	913,742	-	-	-	-	-	913,742
Total financial assets	24,567,321	16,829,923	21,812,516	18,185,580	18,127,882	6,161,190	105,684,412
Net liquidity gap	32,175,669	10,172,944	(16,810,630)	(16,651,467)	(15,926,092)	(6,161,190)	(13,200,766)

At 31 December 2011

Total financial liabilities	33,770,119	25,335,477	8,154,251	971,667	-	-	68,231,514
Total financial assets	15,976,919	13,658,436	13,077,714	14,619,883	19,214,879	-	76,547,831
Net liquidity gap	17,793,200	11,677,041	(4,923,463)	(13,648,216)	(19,214,879)	-	(8,316,317)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

44) (b) LIQUIDITY RISK (UNDISCOUNTED)

FINANCIAL LIABILITIES

Customer deposits	Upto 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Years Shs'000	Total Shs'000
Lines of credit	57,662,814 12,605	23,167,076 -	5,341,141 38,978	129,058 1,402,041	- 2,582,794	86,300,089 4,036,418

Total financial liabilities

	57,675,419	23,167,076	5,380,119	1,531,099	2,582,794	90,336,507
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FINANCIAL ASSETS

Cash and balances with Central Banks	4,712,288	1,892,815	436,386	10,544	-	7,052,033
Items in the course of collection	429,545	-	-	-	-	429,545
Due from banking institutions	8,454,422	-	-	-	-	8,454,422
Government securities	1,403,385	4,255,344	6,089,208	3,170,098	3,233,988	18,152,023
Derivative assets held for risk management	83,123	-	-	-	-	83,123
Loans and advances to customers	11,349,615	8,793,583	17,728,567	21,635,038	27,649,509	87,156,312

Total financial assets

	26,432,378	14,941,742	24,254,161	24,815,680	30,883,497	121,327,458
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Net liquidity gap

	31,243,041	8,225,334	(18,874,042)	(23,284,581)	(28,300,703)	(30,990,951)
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At 31 December 2011

Total financial liabilities	34,706,321	26,047,533	8,254,870	1,296,273	-	70,304,997
Total financial assets	15,726,936	14,016,953	14,472,776	20,659,885	27,117,328	91,993,878
Net liquidity gap	18,979,385	12,030,580	(6,217,906)	(19,363,612)	(27,117,328)	(21,688,881)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

44) (c) INTEREST RATE RISK

FINANCIAL ASSETS

	Effective Rates %	Up to 1 Month Shs'000	1 to 3 Months Shs'000	4 to 12 Months Shs'000	1 to 3 Years Shs'000	Over 3 Year Shs'000	Non - interest Bearing Shs'000	Total Shs'000
Cash and balances with Central Banks	6.50	998,929	-	-	-	-	6,052,033	7,050,962
Items in the course of collection	-	-	-	-	-	-	429,545	429,545
Due from banking institutions	3.27	7,888,374	-	-	-	-	300,342	8,188,716
Government securities	8.89	5,402,390	4,143,924	1,499,949	2,420,950	4,011,019	-	17,478,232
Derivative assets held for risk management	-	-	-	-	-	-	83,123	83,123
Loans and advances to customers	13.63	66,445,992	529,086	2,060,101	2,504,913	-	-	71,540,092

Total financial assets

FINANCIAL LIABILITIES

Customer deposits	5.31	20,811,162	22,471,216	4,981,969	109,906	-	35,005,323	83,379,576
Due to banking institutions	7.92	3,412,060	159,220	-	-	-	-	3,571,280
Lines of credit	3.32	12,552	-	37,656	1,268,471	2,336,735	-	3,655,414

Total financial liabilities

Interest rate sensitivity gap

		24,235,774	22,630,436	5,019,625	1,378,377	2,336,735	35,005,323	90,606,270
		56,499,911	(17,957,426)	(1,459,575)	3,547,486	1,674,284	(28,140,280)	14,164,400

At 31 December 2011

Total financial assets		59,666,806	1,150,795	2,214,403	4,086,638	2,698,922	6,394,780	76,212,344
Total financial liabilities		11,463,225	25,207,290	7,509,616	971,667	-	22,120,182	67,271,980
Interest rate sensitivity gap		48,203,581	(24,056,495)	(5,295,213)	3,114,971	2,698,922	(15,725,402)	8,940,364

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

45) FOREIGN EXCHANGE (CURRENCY) RISK

FINANCIAL ASSETS

Cash and balances with Central Banks
Due from banking institutions
Loans and advances to customers
Other assets

Total financial assets

FINANCIAL LIABILITIES

Customer deposits
Due to banking institutions
Other liabilities
Lines of credit

Total financial liabilities

Net balance sheet position

OFF BALANCE SHEET POSITION

At 31 December 2011

Total financial assets
Total financial liabilities

Net balance sheet position

OFF BALANCE SHEET POSITION

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Banks	651,994	86,276	140,406	247	878,923
Due from banking institutions	6,458,638	658,709	1,217,353	259,154	8,593,854
Loans and advances to customers	26,092,406	454,094	1,246,209	33,900	27,826,609
Other assets	1,208,946	27,822	5,534	15,038	1,257,340
Total financial assets	34,411,984	1,226,901	2,609,502	308,339	38,556,726
FINANCIAL LIABILITIES					
Customer deposits	22,107,334	2,152,925	3,403,956	47,935	27,712,150
Due to banking institutions	818,101	79,973	-	63,222	961,296
Other liabilities	694,585	35,409	689	7,079	737,762
Lines of credit	3,655,414	-	-	-	3,655,414
Total financial liabilities	27,275,434	2,268,307	3,404,645	118,236	33,066,622
Net balance sheet position	7,136,550	(1,041,406)	(795,143)	190,103	5,490,104
OFF BALANCE SHEET POSITION	(6,452,705)	1,129,998	786,441	(107,640)	(4,643,906)
At 31 December 2011					
Total financial assets	18,009,128	2,027,165	1,915,163	96,545	22,048,001
Total financial liabilities	15,094,574	2,014,630	1,909,499	44,281	19,062,984
Net balance sheet position	2,914,554	12,535	5,664	52,264	2,985,017
OFF BALANCE SHEET POSITION	(2,770,052)	-	-	(45,763)	(2,815,815)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

FOR THE YEAR ENDED 31 DECEMBER 2012

46) Segmental reporting – by business segments

At 31 December 2012

	Corporate & Institutional Banking Shs '000	Treasury Dealing and Brokerage Shs '000	Retail Banking Shs '000	Asset Finance Shs '000	Investment Banking and Others Shs '000	Total Shs '000
Total operating income	3,182,065	1,263,939	1,792,763	1,209,138	868,220	8,316,125
Profit before tax and impairment allowances	2,004,252	951,474	650,217	970,270	239,239	4,815,452
Customer loans and advances	45,404,675	-	6,955,826	14,020,714	5,158,877	71,540,092
Customer deposits	52,835,422	-	24,441,729	188,891	5,913,534	83,379,576

At 31 December 2011

	Corporate & Institutional Banking Shs '000	Treasury Dealing and Brokerage Shs '000	Retail Banking Shs '000	Asset Finance Shs '000	Investment Banking and Others Shs '000	Total Shs '000
Total operating income	2,707,633	1,075,901	1,227,312	900,720	691,168	6,602,734
Profit before tax and impairment allowances	1,636,598	827,234	478,500	645,316	275,451	3,863,099
Customer loans and advances	35,998,147	-	3,792,914	12,274,414	4,559,146	56,624,621
Customer deposits	41,946,169	-	20,062,784	-	4,284,100	66,293,053

Liabilities and all other assets, other than advances to customers, are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in segment information.

There were no revenues deriving from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the fifty third Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Kenyatta International Conference Centre (KICC), Nairobi on Wednesday 8th May 2013, at 11.00 am for the following purposes:-

1. To read the Notice convening the Meeting.
2. To receive, consider and if thought fit, adopt the Financial Statements for the year ended 31st December 2012 and the Directors' and Auditors' Reports thereon.
3. To approve the payment of a first and final dividend of KES 1.00 (2011 interim and final KES 0.50 per share) on the paid up capital of KES 2,714,920,740.
4. To approve the payment of fees to the Directors for the year ended 31st December 2012.
5. To elect Directors:
 - I) In accordance with Articles 108, 109 and 110 of the Company's Articles of Association, the following directors retire by rotation and being eligible, offer themselves for re-election:
 - i) J P M Ndegwa
 - ii) G A Maina
 - II) Special business:

F M Mbiru, who has attained the age of 70, retires in accordance with Section 186 (2) of the Companies Act (Cap 486). Special Notice has been received by the Company pursuant to Section 142 of the Companies Act, that the following resolution be proposed in accordance with Section 186 (5) of the said Act, and, if thought fit, passed by the members:

"That F M Mbiru, a Director who has attained the age of 70 years, be and is hereby re-elected as a director of the Company".
6. Special notice having been received pursuant to Sections 142 and 160(1) of the Companies Act (Cap 486 of the laws of Kenya, that members consider and if deemed fit pass the following resolution:

'That PricewaterhouseCoopers be appointed Auditors of the Company in place of the retiring auditors, Deloitte & Touche, to hold office until the conclusion of the next general meeting at which accounts are laid before the Company, subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap 488) and to authorize the Directors to fix their remuneration'.
7. To transact any other business of the Annual General Meeting of which due notice has been received.

BY ORDER OF THE BOARD

Livingstone Murage

**Group Company Secretary
Nairobi**

3rd April 2013

1. "A Member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his, her or its behalf. A proxy need not be a Member of the Company. To be valid a proxy must be duly completed by the Member and lodged with the Group Company Secretary at the Company's registered office situated at NIC Bank Limited, NIC House, Masaba Road, Nairobi, Kenya, before 11 am on Monday 6th May 2013, failing which it will be invalid. In the case of a Member which is a corporate body then the proxy must be given under its common seal."
2. A copy of this notice, proxy form and full copy of the Group financial statements including explanatory notes are available from our website www.nic-bank.com or a printed copy may be obtained from the Company's share registrars, Custody & Registrar Services Limited upon request and also will be made available at the venue and on the day of the Annual General Meeting.

TANGAZO LA MKUTANO MKUU WA MWAKA

Tangazo hili limetolewa kuwa Mkutano Mkuu wa Mwaka wa hamsini na tatu wa wenye hisa wa Benki ya NIC utafanyika katika Ukumbi wa KICC, Nairobi siku ya Jumatano tarehe 8 mwezi Mei, 2013 saa 5.00(tano) asubuhi kwa sababu zifuatazo:-

1. Kusoma tangazo lililoitisha mkutano.
2. Kuipokea, kuizingatia na ikiwa sawa kuikubali Taarifa ya Kifedha ya Mwaka uliomalizika tarehe 31 Disemba, 2012 na Wakurugenzi pamoja na Ripoti ya Wakaguzi wa Mahesabu.
3. Kuthibitisha kuwa malipo ya mgao wa kwanza na mwisho wa shilingi 1.00 (2011 ya kati na ya mwisho shilingi 0.50 kwa kila hisa) kwenye malipo ya mtaji yaliyolipwa ya shilling 2,714,920,740.
4. Kuidhinisha gharama ya Wakurugenzi ya mwaka uliomalizika tarehe 31 Desemba, 2012.
5. Kuchagua Wakurugenzi:
 - I) Kwa mujibu wa kanuni ya 108, 109 na 110 ya Kanuni za Msingi za Ushirikiano wa Kampuni, Wakurugenzi wafuatao watastaafu kwa kufuatana na wanaweza kuchaguliwa ama kujitolea wenyewe kuchaguliwa tena:
 - i) J P M Ndegwa
 - ii) G A Maina
 - II) Biashara Maalum:

Bw. F M Mbiru, ambaye amefikia umri wa miaka 70, anastaafu kwa mujibu wa sehemu ya 186(2) ya kifungu cha Sheria cha 486. Kampuni imepokea Tangazo Maalum kufuatana na Sehemu ya 142 ya Sheria za Kampuni kuwa azimio lifuatalo lipendekezwe kwa mujibu wa sehemu ya 186 (5) ya kifungu hicho cha sheria na ikiwa sawa ipitishwe na wanachama:

"Kuwa Bw. F M Mbiru, Mkurugenzi ambaye amefikia umri wa miaka 70 awe na achaguliwe kama Mkurugenzi wa Kampuni"
6. Tangazo Maalum limepokelewa kufuatana na Sehemu ya 142 na 160 (1) ya Sheria za Kampuni ya kifungu cha Sheria cha 486 na ikiwa sawa ipitishwe na wanachama:

'Kwamba PricewaterhouseCoopers wateuliwe kuwa wakaguzi wa kampuni badala ya Deloitte & Touche wanaostaafu, na washikilie hatamu hadi wakati wa kuhitimishwa kwa mkutano wa jumla utakaofuatia ambapo akaunti zitawekwa mbele ya Wanahisa wa Kampuni ilimradi Benk Kuu ya Kenya iidhinisha kufuatana na sehemu ya 24(1) ya Sheria ya Mabenki (Maelezo ya 488) na kuelekeza Wakurugenzi kuamua malipo yao.'
7. Kuendesha biashara yoyote nyingine ambayo wametangaziwa.

KWA MAPENDEKEZO YA KAMATI

Livingstone Murage

**Katibu Mkuu wa Kampuni
Nairobi.**

3 Aprili 2013.

1. "Mwanachama ahudhurie mkutano na apige kura katika mkutano na atakayekosa kuhudhuria amtafute mtu atakayepiga kura kwa niaba yake. Aliyetumwa kwa niaba ya mwanachama si lazima awe mwanachama wa kampuni. Ili akubalike kupiga kura kwa niaba ya mwanachama lazima ajulikane vyema na mwanachama na aidhinishwe na katibu wa shirika la kampuni asajiliwe katika ofisi za Benki ya NIC, zilizoko kwenye Jumba la NIC, barabara ya Masaba, Nairobi, Kenya kabla ya saa tano asubuhi siku ya Jumatatu tarehe 6 Mei mwaka wa 2013 na asipofika hapo hataweza kushiriki katika uchaguzi. Ikiwa mwanachama ni shirika basi uwakilishaji lazima uwe chini ya mhuri wake."
2. Nakala ya ilani hii, fomu ya wakala na nakala yote ya taarifa ya kifedha ya kampuni nzima yakiwemo yale ya maelezo yako kwenye tovuti yetu www.nic-bank.com au nakala zilizochapishwa zaweza kupatikana kutoka kwa msajili wa hisa za Kampuni, Custody & Registrar Services Limited, kufuatia maombi na pia itapatikana katika ukumbi siku ya Mkutano wa Jumla wa Mwaka.

[illegible]

NOTES

[illegible]

[illegible]

PROXY FORM

**The Group Company Secretary,
NIC Bank Limited
NIC House
Masaba Road,
P. O. Box 44599,
00100, GPO Nairobi**

I/We _____

of _____

being a member / members of NIC Bank Limited and entitled to

votes hereby appoint _____

of _____

or failing him _____

of _____

as my / our Proxy to vote for me / us on my / our behalf at the Annual General meeting of the company to be held on 8th May 2013 and at any adjournment thereof.

As witness my / our hand this _____ day of _____ 2013

Signature (s) of

Note : In case of a Corporation, the Proxy must be made under its Common Seal

FOMU YA UWAKILISHI

**Katibu wa Kampuni,
NIC Bank Limited
NIC House
Masaba Road,
P. O. Box 44599,
00100,GPO Nairobi**

Mimi / Sisi _____

wa anuani hii _____

nikiwa mwanachama / tukiwa wanachama wa NIC Bank Limited na

nikiwa /tukiwa na haki ya kura _____

namchagua / tunamchagua _____

wa sanduku la posta _____

na akiwa hatapata nafasi nimechagua / tumechagua _____

wa sanduku la posta _____

akiwa mwakilishi wangu / wetu kunipigia / kutupigia kura kwa niaba yangu / yetu katika Mkutano wa Mwakawa Kampuni utakaofanyika tarehe 8 Mei 2013 au tarehe yoyote iwapo mkutano utahairishwa. Nashuhudia kwa mkono / mikono yangu / yetu siku hii ya

Tarehe _____ mwezi wa _____ 2013

Sahihi

Elewa : Mwakala akiwa anawakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa kampuni hiyo (common seal).

BUSINESS REVIEW

CORPORATE GOVERNANCE

FINANCIAL STATEMENTS

OTHER INFORMATION

NIC BANK GROUP

NIC BANK LIMITED BRANCHES

HEAD OFFICE AND BRANCH

NIC House, Masaba Road, Nairobi.

CITY CENTRE

Prudential Building, Kaunda Street.

THE JUNCTION

Dagoretti/Ngong Road.

PRESTIGE

Prestige Plaza, Ngong Road.

THE MALL

Westlands.

HARAMBEE AVENUE

Jeevan Bharat Building, Harambee Av.

GALLERIA (BOMAS)

Galleria Shopping Mall,

Langata Road.

VILLAGE MARKET

Village Market, Limuru Road.

TAJ MALL

The Junction of North Airport Road

& Outering Road.

SAMEER PARK

Sameer Park Building.

ABC, WESTLANDS

ABC Place, New Building, Waiyaki Way

KAREN

Karen Office Park.

MOMBASA BRANCHES

NKRUMAH

NSSF Building, Nkrumah Road.

NYALI

City Mall, Nyali.

HARBOUR HOUSE

Moi Avenue.

NAKURU BRANCH

Vickers House, Kenyatta Avenue.

MERU BRANCH

Njuri Ncheke Street.

THIKA BRANCH

Thika Arcade.

KISUMU BRANCH

Oginga Odinga Street.

ELDORET BRANCH

Zion Mall, Uganda Road.

NIC BANK TANZANIA LIMITED BRANCHES

HEAD OFFICE AND BRANCH

Ground & Mezannine Floor,

Harbour View Towers.

Samora Avenue, Dar-es-Salaam

KARIAKOO

Aggrey/Sikukuu street

ILALA

Plot No. 29 Block W,

Lindi/Shauri moyo streets.

MWANZA

Plot 5, Nyerere Road.

ARUSHA

Central Plaza, Sokoine Road.

KAHAMA

Isaka Road.

NC BANK UGANDA BRANCH

HEAD OFFICE AND BRANCH

NC Bank Uganda (NCUG)

Rwenzori Towers, Nakasero Road.

NIC CAPITAL LIMITED

NIC House, Masaba Road.

NIC SECURITIES LIMITED

NIC House, Masaba Road.

NIC INSURANCE AGENTS LIMITED

NIC House, Masaba Road.

24 Hour Customer Contact Center (Nairobi) Tel: 020 2888217 / 0711 041111 / 0732 1141111
email: customercare@nic-bank.com

NIC BANK LIMITED

Head office

NIC House, Masaba Road

P.O. Box 44599 - 00100 GPO Nairobi

Tel: +254 (20) 2888000 / 4948000 | Fax: +254 (20) 2888505

Email: info@nic-bank.com

Website: www.nic-bank.com



@nicbankkenya